

NIC Bank Limited Annual Report & Financial Statements 2010



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CHAIRMAN'S STATEMENT



I am pleased to present the NIC Bank Group Annual Report and Financial Statements for the year ended 31 December 2010.

FACTORS THAT SHAPED OUR BUSINESS IN 2010

The Kenyan economy improved significantly during 2010, supported by favourable weather conditions, business friendly micro and macroeconomic policies, and increased investors' optimism following the peaceful conduct of the national referendum and passage of the new constitution. Average growth rate for the year is estimated at 5.4% by the World Bank, which is better than earlier anticipated and significantly higher than that of 2008 (2.1%) and 2009 (2.3%).

The 12 month overall inflation declined from 5.3% in 2009 to 3.8% in 2010. The general downward trend was mainly attributed to good weather and rainfall across the country, which led to a bumper harvest and lower cost of electricity as the power producers generated a greater portion of their power using the lower cost hydro-electricity generation sources. The decline in mobile telephony costs as a result of competition within the communication sector also favourably impacted overall inflation.

In 2010, the Central Bank of Kenya (CBK), to support the Government's economic recovery efforts, pursued an expansionary monetary policy intended to lower interest rates across the banking system and facilitate access to cheaper credit by the private sector whilst maintaining inflation within acceptable levels. This was largely successful and in the process helped to reduce the cost of funds of commercial banks. The annual average interest rate on the 91 - days Treasury bill for 2010 was 3.65% as compared to 7.36% in 2009. The average annual interest rate on the 182 - days Treasury bill also fell in tandem from 8.15% in 2009 to 3.88% in 2010.

The Central Bank Rate (CBR), which is the rate at which the CBK lends to commercial banks, declined by 100 basis points to 6.0% as at the end of December 2010 from 7.0% as at January 2010. The CBK was able to maintain the low interest rate regime by maintaining high market liquidity as well as prudently managing the controlled Government borrowing program.

CHAIRMAN'S STATEMENT

In the foreign exchange markets, the Kenya Shilling was stable against most major currencies and reported minimal upheavals. In terms of specific performance, the Kenya Shilling gained 1.2% against the Euro but was down against the other major currencies, losing 2.4%, 6.5% and 20.8% against the Sterling Pound, the US Dollar and the Japanese Yen, respectively.

With regard to the performance of the capital markets, the Nairobi Stock Exchange (NSE) experienced one of the busiest trading years in the recent past. After three successive years of losses, the NSE rebounded strongly in 2010, with the NSE 20 Share Index recording an overall 37% rise, despite a 4% decline in the fourth quarter of 2010. From a low of 3,260 points at the beginning of January 2010, the Index rallied strongly to a high of 4,701 points as at 26 October 2010 before declining to close the year 2010 at 4,433 points. This favourable performance, which was driven by enhanced investor confidence, saw both local and foreign investors return to the capital markets. Further, the performance of the NSE was boosted by the strong financial results reported by most companies across all sectors of the economy.

The bond market exhibited increased volatility in 2010, with high liquidity in the financial markets resulting in all Government primary bonds being heavily oversubscribed. The average maturity profile of domestic debt also lengthened with the issue of longer dated bonds, including a new 25 year bond, two new 15 year bonds and the reopening of the existing 20 and 15 year bonds enabling the Government to reduce the rollover risk associated with short term debt. Overall, there was increased Treasury bond trading in 2010, with bonds worth Shs 479 billion transacted compared to Shs 111 billion traded in 2009.

The corporate bond market was equally active, with several corporate issuers coming to the market to raise debt, thus taking advantage of the low interest rate regime. Other short dated instruments, including commercial papers, were also more actively used in 2010 as compared to 2009, underscoring the robust economic activity in all sectors.

The Kenyan banking sector performance mirrored that of the Kenya economy and posted commendable performance. The banking industry's pre-tax profits rose from Shs 45.3 billion for the period ended 30th November 2009 to Shs 66.0 billion for the period ended 30th November 2010, representing a 45.7% growth rate, while total assets grew by 24.6% to Shs 1.7 trillion as at the end of November 2010. Growth in the balance sheet was mainly driven by growth in deposits, capital injections and retention of profits.

On the regional front, the Tanzanian economy, home to the Group's maiden cross border acquisition, is estimated to have grown by a commendable 5.5% in 2010 (2009 – 5.5%) on the back of well structured rescue packages implemented by the Tanzania Government to enable the economy weather the after shocks of the global financial crisis. This rate of growth achieved, as it was, in an election year, underscores the country's political maturity. The annual inflation rate for 2010 was on a downward trend from 10.9% recorded as at January 2010 to 5.5% in December 2010.

NIC BANK GROUP FINANCIAL RESULTS

NIC Bank Group reported a profit before tax of Shs 2,608 million for the year ended December 31, 2010, compared to Shs 1,527 million in the previous year. This represents an increase of 71%.

This sterling performance was driven in part by growth in our lending book, which expanded by 25% to close at Shs 41 billion from the Shs 33 billion reported in the prior year. To fund this growth, the Group's deposit base grew to Shs 48 billion as at December 2010, reflecting a 23% increase relative to 2009. Despite the reduction in base lending rates, net interest income recorded a commendable increase of 41% (Shs 985m). Thus, the Group's financial position strengthened significantly, closing the year with a total asset base of Shs 59 billion, representing a 24% growth year on year.

Non-funded income also continued to contribute significantly to the overall profitability of the Bank with favourable economic conditions to drive both the bond trading and foreign exchange trading income. Consequently non-funded income increased by 28% to Shs 1,869 million in 2010. Non-funded income now constitutes 35% of the Group's total operating income.

Despite the expansion in the Group's outlets and the human resource base, total operating expenses were well contained growing by 13% over the prior year to Shs 2.6 billion.

CHAIRMAN'S STATEMENT

Similarly, in spite of the expansion in the total loan book by 25 %, the quality of the Group's lending business improved considerably, as reflected by the reduction in impairment charge on loans and advances to Shs 317m (2009 – 463m). This mainly reflects robust credit selection, appraisal and approval processes, and the effective and regular interaction with customers, especially in times of distress.

The improved profitability raised the Group's capital base to Shs 7.9 billion, a growth of Shs 1.5 billion, with all key banking regulatory performance indicators reporting favorable trends. NIC Bank has maintained its position as one of the best capitalized banks in the country.

DIVIDEND

With the strong performance of the NIC Bank Group during the year an interim dividend of Shs 0.25 per share (Shs 89m) was declared and paid in October 2010 and now the directors recommend a final dividend of Shs 0.25 per share (Shs 89m) bringing the total cash dividend for the year to Shs 179 million.

The directors also recommend a bonus issue of one (1) ordinary share for every ten (10) ordinary shares held.

The cash dividend and the bonus issue when combined effectively represent a distribution of 20% of the profits after tax for 2010. The balance of the profits will be retained to ensure that the Group has sufficient levels of capital reserves in line with its growth strategy.

SERVICE DELIVERY OUTLETS AND PRODUCTS

The branch expansion program has been well received by the Group's customers and the contribution of the newly opened branches has been favourable. Plans are under way to open more branches in Nairobi and its environs in 2011 and thus increase the service points through which customers can access the Group's products. The Galleria branch, located on Langata Road, opened its doors to the public in February 2011, while the establishment of additional branches in Eldoret town, the Village Market and Sameer Business Park is nearing completion.

The branch expansion initiative is supplemented by new products which are currently under development that will be modeled around agency banking. In this regard, NIC Bank recently partnered with Postbank to provide cash collection and disbursement services to our customers through Postbank's network of 92 branches nationwide.

In line with the core promise to be a 'One Stop Shop' for customers, the Group is in the process of evaluating the capacity of the core banking technology system in order to increase efficiency and enhance products and services in line with the emerging trends in the banking industry.

On products and customer offerings, the Group continued to review its offerings in a bid to make them consistent with customer needs. The new Entrepreneur Account which was launched during the year and which is complemented by the Entrepreneur Club, aims to empower budding entrepreneurs within NIC Bank's Business Banking target market with business relevant information through seminars held at regular intervals across the country.

SUBSIDIARIES AND DIVERSIFICATION

Diversification, by both geography and business lines, remains the essence of the Group's strategy, and underpins the potential for sustainable earnings growth in each business line over the very long term.

The growth and development of the subsidiary companies has remained a key strategic thrust and is aimed at broadening both the range of financial services offered to customers and ensuring diversity within NIC Bank Group.

On the regional front, the Tanzania subsidiary, renamed NIC Bank Tanzania Ltd in December 2010, is now firmly on a growth path. Following a period of restructuring the previous year, a profit of the equivalent of Shs 133 million was recorded in 2010. The experiences gained from this first cross border investment will go a long way in informing future expansion initiatives.

CHAIRMAN'S STATEMENT

I am also pleased to report that all the local subsidiaries reported profits in 2010. The investment bank, NIC Capital's profit rose to Shs 31.9 million and it is now recognized as an innovative and significant player in both the equity and debt capital markets, being retained as the transaction advisor in a number of key mandates. NIC Securities with the recovery in the stock market recorded a profit of Shs 20 million while in bancassurance NIC Insurance Agents posted an improved profit of Shs 5 million.

TALENT REMAINS KEY

A vital component of the growth and success achieved by the NIC Bank Group is the performance of its employees. In this regard, the Group is privileged to have a talented staff complement, which is dedicated and passionate in their respective responsibilities.

To attract and retain this calibre of employees, the Group has built and sustains a healthy, vibrant environment where people are treated with respect, are remunerated and rewarded for their performance, have opportunity to develop their careers professionally and have room to be creative.

All employees of the Group, numbering 514 as at 31st December, 2010, are committed to offering the highest standards of service delivery enshrined in the corporate values of being professional, innovative, passionate, responsive and unquestionable integrity.

CORPORATE GOVERNANCE

Managing for all stakeholders is another critical aspect of the Group's long-term success and includes having strong practices in corporate governance and compliance. NIC Bank Group consistently maintains what are considered global best practices for corporate governance, details of which can be found in the Corporate Governance section of this report. Beyond the rules, policies and procedures put in place is the fostering of a culture of belief and adherence to the highest standards of business ethics.

During the year, 2010 NIC Bank was recognized externally for having many best-in-class governance practices. This included the Bank winning the inaugural overall Champion of Governance award, which was co-sponsored by the Institute of Certified Public Secretaries of Kenya (ICPSK), Central Bank of Kenya, Retirement Benefits Authority and Insurance Regulatory Authority, amongst others. The Bank was also declared runners-up in the Corporate Governance category under the Financial Reporting (FiRe) Awards promoted jointly by the Nairobi Stock Exchange (NSE), the Institute of Certified Public Accountants of Kenya (ICPAK), and the Capital Markets Authority (CMA).

SOCIAL RESPONSIBILITY

Corporate social responsibility is an integral part of how the Group relates with stakeholders. For NIC Bank, corporate social responsibility is about doing business in a way that is ethical, fair and transparent. This includes being mindful of the environment, helping the less privileged in society, and promoting the well-being of employees.

The commitment to corporate social responsibility extends from maintaining high standards of integrity in business activities to a role in supporting the communities where the Group operates. In this respect, the project which began in 2009 under the auspices of the United Nations Environment Programme (UNEP), the East African Wildlife Society, the Kenya Forests Working Group, Nature Kenya, and the Kenya Forest Service through 'Tupande Pamoja' continued with its tree planting initiative. Working alongside the local community of Nyamweru Village, the Group continued to offer 'after care' to the over 10,000 indigenous seedlings which were planted in the Uplands Forest.

Further, the Group provided financial support to a number of key initiatives which included Junior Achievement, whose scope of activities include educating young people, and the Smart Youth Investment, an initiative that aims to encourage a culture of thrift and savings among youth. Financial support also continued to other specific projects, including the Palm House Foundation, Zawadi Kenya, and Starehe Boys and Girls Schools.

CHAIRMAN'S STATEMENT

NIC BANK GROUP'S OUTLOOK FOR THE FUTURE

As we look into 2011 and beyond, we expect market conditions to remain strong though not without challenges. The outlook for Kenya's economy is positive as most of the preconditions for take off are being addressed pragmatically. Attainment of high economic growth is however greatly hinged on the success of the implementation of the new constitution and the sustenance of a conducive socio-economic and political climate. Various infrastructure projects are underway and advancements in the financial and ICT sectors will provide strong support to economic growth. However, the rising fuel and commodity prices, the looming drought and the impact of international events on the stability of exchange rates are among the factors which may slow down the current economic growth momentum.

Looking at the prospects for the Group, they are obviously closely linked to the fortunes of Kenya's economy and, in addition, intensified competition is anticipated in the sectors within which NIC Bank operates. Nevertheless we remain optimistic and have set ourselves stretching targets for further growth. Among the strategies being pursued is further diversification while also ensuring that the full potential is derived in those areas in which NIC Bank Group excels and has industry leadership.

I am confident that NIC Bank Group will achieve its goals with the continued dedication of our directors, management and staff.

APPRECIATION

The financial results that we have reported, which represent a significant accomplishment by any measure, are the result of the collective input of our many stakeholders.

Securing and retaining the confidence of customers is critical to success in any industry and none more so than financial services. At the NIC Bank Group we strive to remain close to our customers and responsive to their needs. It is their support that has enabled the growth achieved in 2010 and in appreciating this, I assure them of our commitment to fulfilling and exceeding their requirements and expectations in 2011 and beyond.

The hard work and dedication of our employees was equally essential to attaining the Group's results in 2010. With their talent and commitment the Group is well placed to seize the opportunities and to address the challenges that will present themselves in 2011 and the years ahead.

I also greatly appreciate the co-operation availed to the Group by our other business partners and stakeholders, including our regulators, the Central Bank of Kenya and the Capital Markets Authority.

In closing, I would like to thank the shareholders, for continuing to believe in NIC Bank Group's vision for growth and which requires reinvesting of profits; and my fellow directors, for their wise counsel and dedicated service both on the Board and its committees.

J P M NDEGWA
Chairman

23 February 2011

Nina furaha kuwawasilisha Ripoti ya mwisho wa Mwaka na Taarifa za Kifedha za Benki ya NIC ya mwaka uliomalizikia tarehe 31 Desemba 2010.

HALI ZILIZOLEKEZA BIASHARA YETU KATIKA MWAKA WA 2010

Uchumi wa Kenya uliimarika kwa kiasi kikubwa mnamo wa 2010, kufuatia hali nzuri za kimazingira, sera za kibiashara zinazoambatana na sekta ndogo na kubwa za uchumi, na ongezeko la matumaini ya wawekezaji kufuatia uendeshaji wa amani wa kura ya kitaifa ya maoni na kupelekea kupitishwa kwa Katiba Mpya. Makadirio ya kukua kwa uchumi yaliyofanywa na Benki ya Dunia yalifikia asilimia 5.4, yakiwa bora kuliko matarajio ya awali na zaidi kidogo juu ya yale ya mwaka wa 2008 (asilimia 2.1) na 2009 (asilimia 2.3).

Mfumko wa bei katika miezi 12 kwa jumla ulirudi chini kutoka asilimia 5.3 mnamo mwaka wa 2009 hadi asilimia 3.8 mnamo mwaka wa 2010. Kupunguka huku kwa jumla kulikusishwa na hali nzuri ya hewa na mvua kunyesha kote nchini, hali iliyopelekea kupatikana kwa mavuno maradufu na gharama ndogo ya umeme, huku wazalishaji-umeme wakizalisha kawi yao kwa kutumia gharama ndogo ya kuzalishia umeme unaotokana na maji. Kupungua kwa gharama ya kupiga simu kulikotokana na ushindani mkali wa wawekezaji kwenye sekta hiyo ya mawasiliano pia kupunguza kwa ujumla hali ya mfumko wa bei ya bidhaa.

Ili kusaidia jitihada za Serikali kufufua uchumi, Benki Kuu ya Kenya (CBK) mnamo 2010, iliunda sera makhosusi ya kifedha kwa lengo la kupunguza viwango vya riba katika mifumo yote ya benki na kuwezesha sekta ya kibinafsi kufikia mikopo kwa gharama nafuu huku ikidhibiti mfumko katika viwango vinavyokubalika. Hii ilifanikiwa pakubwa na katika njia hiyo ilisaidia kupunguza gharama za hazina za fedha za mabanki. Kiwango cha riba kwa wastani kila mwaka katika Hawala ya Serikali ya siku-91 mnamo 2010 ilikuwa asilimia 3.65 ikilinganishwa na asilimia 7.36 mnamo 2009. Na kiwango cha riba kwa wastani kila mwaka katika Hawala ya Serikali kwa siku-182 pia kilishuka kwa muingiliano na asilimia 8.15 mnamo 2009 hadi asilimia 3.88 mnamo mwaka wa 2010.

Viwango vya Benki Kuu (CBR), vikiwa viwango ambavyo CBK hukopesha benki za kifedha, vilishuka kwa msingi wa alama 100 hadi asilimia 6.0 kufikia mwisho wa Desemba 2010 kutoka asilimia 7.0 mnamo Januari 2010. CBK iliweza kumudu maongozi ya kiwango cha chini cha riba kwa kudhibiti uwepo mwingi wa pesa taslimu katika soko, sawa na kumudu kwa hekima mpango wa ukopaji wa Serikali uliodhibitiwa.

Katika soko la ubadilishanaji fedha za kigeni, Shilingi ya Kenya ilikuwa imara dhidi ya sarafu nyingi kuu na kuweza kupitia vizingiti vichache. Katika matokeo maalum, Shilingi ya Kenya iliimarika kwa asilimia 1.2 dhidi ya Euro lakini ikashuka tena ukilinganisha na sarafu nyingine kuu, ambapo ilidhoofika kwa asilimia 2.4, 6.5 na 20.8 dhidi ya Pauni ya Uingereza, Dola ya Marekani na Yen ya Japan, mtawalia.

Kwa kuzingatia matokeo ya soko la hisa, Soko la Hisa la Nairobi (NSE) ilishuhudia mojawapo ya mwaka wenye shughuli nyingi sana za kibiashara katika miaka ya hivi majuzi. Baada ya miaka mitatu mfululizo ya hasara, NSE ilirindima kwa nguvu katika mwaka 2010, ambapo Nambapeo ya 20 ya Hisa za NSE ilisajili kuimarika kwa jumla ya asilimia 37, licha ya kushuka kwa asilimia 4 katika robo ya mwisho ya mwaka wa 2010. Kutoka alama ya chini ya pointi 3,260 mwanzoni mwa Januari 2010, Nambapeo iliimarika vyema hadi upeo wa pointi 4,701 kufikia tarehe 26 Oktoba 2010 kabla ya kufunga mwaka wa 2010 ikiwa chini kwa pointi 4,433. Matokeo mazuri, yaliyopatikana kutokana na imani kubwa ya wawekezaji, ilishuhudia wawekezaji wote wa ndani na nje ya nchi wakirudi katika soko la hisa. Kadhalika, matokeo ya NSE yaliimarishwa na matokeo mazuri ya kifedha yaliyopatikana katika kampuni nyingi kwenye sekta zote za uchumi nchini.

Soko la hati ya dhamana lilishuhudia miyeyuko zaidi katika mwaka 2010, ambapo malipo ya pesa katika masoko yote ya kifedha ya hati dhamana za kimsingi za Serikali yaliongezeka kwa kiasi kikubwa. Pia hesabu komavu ya wastani ya madeni ya ndani iliongezeka baada ya kutolewa kwa hati dhamana za muda mrefu, ikiwemo hati ya dhamana mpya ya miaka 25, hati mbili mpya za bondi za miaka 15 na kufungua tena kwa hati dhamana zilizokuwepo za miaka 20 na 15 iliyowezesha Serikali kupunguza hatari-fuatilizi zinazohusiana na madeni ya kipindi kifupi. Kwa ujumla, kulikuwa na ongezeko la biashara ya hati dhamana ya Serikali iliyozwa katika kipindi cha mwaka wa 2010, ambapo hati zenye thamani ya Shilingi 479 bilioni ziliuzwa ikilinganishwa na Shilingi 111 bilioni zilizouzwa mnamo 2009.

Kadhalika hati dhamana ya mashirika ya kibiashara pia ilikuwa thabiti, ambapo mashirika kadha ya kibiashara yaliingia kwenye soko kwa lengo la kuchangia ongezeko la kiwango cha madeni, ili kunufaika na viwango vya chini

TAARIFA YA MWENYEKITI

vya riba. Vyombo vingine vya muda mfupi, ikiwemo stakabadhi na nyaraka za kibiashara, pia vilitumiwa zaidi katika 2010 ikilinganishwa na 2009, na hivyo kusisitiza uwepo wa shughuli kabambe za kiuchumi katika sekta zote.

Matokeo ya sekta ya benki ya Kenya yalisawiri uchumi wa Kenya na kupata matokeo ya kuridhisha. Faida ya beki zote kabla ya ushuru iliongezeka kutoka Shilingi bilioni 45.3 kufikia kipindi kilichoishia tarehe 30 Novemba 2009 hadi Shilingi bilioni 66.0 katika kipindi kilichokamilika tarehe 30 Novemba 2010, hii ikiwakilisha kiwango cha kukua kwa uchumi cha asilimia 45.7, huku jumla ya mali ikikua kwa asilimia 24.6 hadi Shilingi trilioni 1.7 kufikia mwishoni mwa Novemba 2010. Kustawi kwa hesabu ya matumizi ya fedha kuliwezesha hasa na kuongezeka katika uwekaji pesa, uimarishaji wa mfuko wa mtaji na urejeshaji faida katika biashara.

Katika maeneo ya ukanda huu, uchumi wa Tanzania, makao makuu ya mali iliyonunuliwa nje ya mipaka ya Kenya, inakadiriwa kukua vyema kwa asilimia ya 5.5 katika mwaka 2010 (2009 – asilimia 5.5) kutokana na mipango madhubuti ya uokoaji iliyotekelezwa na serikali ya Tanzania ili kuupa uchumi nguvu hata kama zipo athari za mfumko na mtikisiko wa uchumi wa dunia. Kiwango hiki cha ustawi kilichopatikana, kama kilivyokuwa, katika mwaka wa uchaguzi kinadhihirisha ukomavu wa nchi hii kisiasa. Mfumko wa bei katika mwaka 2010 ulishuka kutoka kwa asilimia 10.9 iliyorekodiwa kufikia Januari 2010 hadi asilimia 5.5 mnamo Desemba 2010.

MATOKEO YA KIFEDHA YA BENKI YA NIC BANK GROUP

Kampuni ya NIC Bank Group ilipata faida ya Shilingi milioni 2,608 kabla ya ushuru katika mwaka uliomalizika Desemba 31, 2010, ikilinganishwa na Shilingi milioni 1,527 katika mwaka uliotangulia. Hii inawakilisha ongezeko la asilimia 71.

Ufanisi huu wa kujivunia uliwezesha kwa kiasi kikubwa na ongezeko la mkopo, lililopanuka kwa asilimia 25 na kufunga mwaka kwa Shilingi bilioni 41 kutoka kwa Shilingi bilioni 33 iliyoripotiwa mwaka uliotangulia. Ili kufadhili ustawi huu, akiba katika Benki hii ilikua hadi kufikia Shilingi bilioni 48 kufikia Desemba 2010, hii ikiakisi ongezeko la asilimia 23 ikilinganishwa na mwaka wa 2009. Licha ya kupuzwa kwa kiwango cha kimsingi cha mikopo, mapato ya riba baada ya kuondolewa gharama yaliimarika kwa asilimia 41 (ikiwa ni shilingi milioni 985). Kwa hivyo, nafasi ya kifedha ya Kampuni hii iliimarika kwa kiasi cha kuridhisha, na ikafunga mwaka ikiwa na jumla ya amali ya Shilingi bilioni 59, hii ikiwakilish kukua kwa asilimia 24 mwaka baada ya mwingine.

Mapato yasiyofadhiliwa pia yalizidi kuchangia pakubwa kwa jumla ya faida ya Benki pamoja na hali nzuri za kiuchumi zilizoongoza biashara ya hati za dhamana na mapato yanayotokana na ubadilishanaji wa pesa. Kwa hali hiyo, mapato yasiyofadhiliwa yaliongezeka kwa asilimia 28 na kufikia Shilingi milioni 1,869 mnamo 2010. Kwa sasa mapato yasiyofadhiliwa yanachangia asilimia 35 ya jumla ya pesa za matumizi ya Benki.

Licha ya kupanuliwa kwa matawi ya benki na idadi ya wafanyikazi, jumla ya pesa za matumizi ilithibitiwa vyema na kukua kwa asilimia 13 ikilinganishwa na mwaka uliotangulia hadi Shilingi bilioni 2.6.

Vivyo hivyo, licha ya upanuzi katika jumla ya mikopo kwa asilimia 25, utoaji mikopo wa Benki uliimarika vyema, kama ilivyoonekana katika upunguzaji wa ada zinazotowazwa juu ya mikopo na rubuni hadi kufikia Shilingi milioni 317 (2009 – shilingi milioni 463). Hii hasa inaakisi uteuzi mwafaka, tathmini na shughuli ya uidhinishaji wa mikopo na muingiliano madhubuti na wa mara kwa mara na wateja, hasa wakati wa dhiki.

Ongezeko la faida lilizidisha mtaji wa Benki hadi kufikia Shilingi bilioni 7.9, ikiwa ni ongezeko la Shilingi bilioni 1.5, huku matokeo ya viashiria vikuu vya benki yakiripoti mwelekeo mzuri. Benki ya NIC imehifadhi nafasi yake kama mojawepo wa benki zilizojikita vyema nchini.

MGAO

Kufuatia matokeo mazuri ya Kampuni ya NIC Bank Group katika mwaka huo, mgao wa muda wa Shilingi 0.25 kwa kila hisa (Shilingi milioni 89) ulitangazwa na kulipwa mnamo Oktoba 2010 na sasa wakurugenzi wamependekeza mgao kamili wa Shilingi 0.25 kwa kila hisa (Shilingi 89) na hivyo kufikisha jumla ya pesa za mgao katika mwaka kuwa Shilingi milioni 179.

Wakurugenzi hao pia walipendekeza toleo la bonasi ya hisa moja (1) ya kawaida kwa kila hisa kumi (10) za kawaida zinazomilikiwa.

Mgao wa pesa taslimu na kutolewa kwa bonasi ikichanganywa vyema inawakilisha asilimia 20 ya ugawanyaji wa faida baada ya ushuru kuondolewa mnamo 2010. Salio la faida litahifadhiwa ili kuhakikisha kuwa Kampuni ina viwango vizuri vya hifadhi ya mtaji kulingana na mkakati wake wa ustawi.

MATAWI YA UTOAJI HUDUMA NA BIDHAA

Mpango wa upanuzi wa miradi ya kampuni imepokelewa vyema na wateja wa Benki na mchango wa matawi mapya umependeza. Kuna mipango ya kufungua matawi zaidi mjini Nairobi na viunga vyake katika mwaka wa 2011 na hivyo kuongeza vituo vya huduma ambavyo wateja wanaweza kutumia kupata bidhaa za benki. Tawi la Galleria, lililoko barabara ya Lang'ata Road, lilifunguliwa mnamo Februari 2011 ili kuhudumia umma, huku ujenzi wa matawi zaidi katika mji wa Eldoret, Village Market na Sameer Business Park ukikaribia kukamilika.

Jitihada za kupanua matawi haya zinasaidiwa na bidhaa mpya zinazostawishwa kwa sasa na ambazo zitaimarishwa kwa kuzingatia huduma za haraka za benki. Kwa kuzingatia hili, majuzi Benki ya NIC ilishirikiana na Postbank ili kutoa huduma za kupokea na kutoa pesa taslimu kwa wateja kupitia kwenye mtandao wa matawi 92 ya Postbank kote nchini.

Kuhusiana na ahadi kuu ya kuwa 'Duka la Bidhaa Zote za Benki' ('One Stop Shop') kwa wateja, Benki hii imo katika harakati za kutathmini uwezo mkuu wa mfumo wa teknolojia ya benki ili kuongeza huduma bora na kuboresha fedha na huduma kwa uwiano na mielekeo ibuka katika biashara za benki.

Kuhusu matoleo ya bidhaa na huduma, Kampuni iliendelea kurekebisha matoleo yake kwa lengo la kuyawianisha na mahitaji ya wateja. Hazina ya Akaunti Mpya ya Ujasiri-amali 'New Entrepreneur Account' iliyozinduliwa mwaka huo na ambayo inakamilishana na ile ya Klabu ya Ujasiriamali, 'Entrepreneur Club', inayolenga kuwapa uwezo wenye ari ya kuwekeza katika soko lengwa la biashara ya Benki ya NIC na kutoa habari mwafaka za biashara kupitia semina za kila mara zinazoandaliwa kwa hatua muhimu kote nchini.

KAMPUNI TANZU NA UPANUZI

Upanuzi, kwa misingi ya kijiografia na kibiashara, inasalia kuwa nguzo muhimu za mikakati ya Kampuni, inadhihirisha uwezo wa kumudu ustawi thabiti wa mapato katika kila fani ya biashara kwa kipindi kirefu zaidi.

Ukuaji na ustawi wa kampuni tanzu unabakia kuwa nguzo ya nguvu zetu na unalenga kupanua idadi ya huduma za kifedha zinazotolewa kwa wateja na kuhakikisha upanuzi katika Kampuni ya NIC.

Katika maeneo ya ukanda huu, kampuni-tanzu ya Tanzania, iliyobadilishwa jina na kuwa NIC Bank Tanzania Ltd, mnamo Desemba 2010, inaendelea kufanya vyema. Kufuatia kipindi cha marekebisho cha mwaka uliotangulia, faida sawa na shilingi milioni 133 ilipatikana mnamo 2010. Tajriba ya kibiashara iliyopatikana kutokana na uwekezaji katika mataifa jirani utawezesha kutoa mbinu mwafaka za upanuzi katika siku za usoni.

Pia nina fahari kutangaza kwamba kampuni-tanzu zote za humu nchini zilirekodi faida katika mwaka wa 2010. Faida ya NIC Capital iliimarika hadi Shilingi milioni 31.9 na sasa inatambuliwa kama mshirika mkuu na mbunifu katika hisa zisizo na riba ya kudumu na deni la masoko ya hisa, likihifadhiwa kama mshauri wa kifedha kuhusu majukumu kadha makuu. Faida ya NIC Securities ilikuwa Shilingi milioni 20 huku ya NIC Insurance ikisajili ongezeko la faida ya Shilingi milioni 5.

KIPAWA KAMA NGUZO KUU

Kiungo muhimu cha ustawi na ufanisi uliopatikana na Kampuni ya NIC Bank Group ni utekelezaji wajibu wa wafanyikazi wake. Kwa msingi huo, Kampuni inajivunia wafanyakazi wenye kipawa, waliojitolea na wanaopenda majukumu yao.

Ili kuvutia na kuhifadhi tabaka hili la wafanyikazi, Kampuni imeunda na itaendelea kudhibiti mazingira mazuri ambamo watu watachukuliwa kwa heshima, kulipwa na kutuzwa kwa kasi ya utendakazi wao, kupewa nafasi ya kukuza vipawa vyao na hata taaluma pamoja na kupewa fursa ya kuwa wabunifu.

TAARIFA YA MWENYEKITI

Wafanyikazi wote wa kampuni walio 514 kwa idadi, kufikia Desemba 31, 2010 walijitolea kwa dhati kutoa huduma bora kama ilivyo katika sera za maadili mema ya kitaalamu kwa kampuni, kupenda kazi yao, kujitolea, na kuilinda hadhi ya kiwango cha juu.

USIMAMIZI WA KAMPUNI

Usimamizi kwa washikadau wote ndio sehemu nyingine changamano kwenye ufanisi wa muda mrefu wa Kampuni na hujumuisha kuwa na mienendo thabiti katika usimamizi wa shirika la kibiashara na kuyatii masharti yaliyopo. NIC Bank Group inaendelea kuthibiti mienendo inayochukuliwa kuwa bora zaidi kwa usimamizi wa shirika la kibiashara kote ulimwenguni, ambao undani wake unaweza kupatikana katika sehemu ya Usimamizi wa Shirika hili kwenye ripoti hii. Zaidi ya kanuni na masharti, sera na harakati zilizowekwa, kuna hali ya kuimarisha utamaduni wa imani na utiifu wa viwango vikuu vya maadili ya kibiashara.

Katika mwaka wa 2010 Benki ya NIC ilitambuliwa na watu wa nje kwa kuwa na mienendo mizuri ya usimamizi wa ndani. Hii ilijumuisha Benki hii kushinda tuzo ya kwanza ya Bingwa wa Usimamizi Bora 'Champion of Governance', ambayo ilidhaminiwa kwa pamoja na mashirika ya Institute of Certified Public Secretaries of Kenya (ICPSK), Benki Kuu ya Kenya, Retirement Benefits Authority na Insurance Regulatory Authority miongoni mwa mengine. Benki hii pia ilitangazwa kuwa nambari mbili katika kundi la Usimamizi wa Shirika chini ya Tuzo za Ripoti za Kifedha (FiRe) zilizotangazwa kwa ushirikiano na Soko la Hisa la Nairobi (NSE), Institute of Certified Public Accountants of Kenya (ICPAK), na Shirika la Masoko ya Mtaji wa Hisa (CMA).

WAJIBU BORA KWA JAMII

Wajibu wa Shirika kwa Jamii ni mojawapo wa viungo vya jinsi Kampuni inavyohusiana na washikadau. Kwa Benki ya NIC, wajibu wa shirika kwa jamii unahusiana na kufanya biashara kwa njia yenye maadili, nzuri na yenye uwazi. Hii inajumuisha kujali mazingira, kusaidia wasiobahatika katika jamii, na kuimarisha maslahi ya wafanyakazi.

Kujitolea kutimiza huduma ya shirika kwa jamii kunaanzia kwa kudhibiti uadilifu wa hali ya juu katika utekelezaji wa shughuli za kibiashara hadi kwa jukumu la kusaidia jamii ambazo Kampuni inaendeshea shughuli zake. Kwa msingi huo, mradi ulioanza mnamo 2009 chini ya maongozi ya shirika la Umoja wa Mataifa la Mpango wa Mazingira (UNEP), Shirika la Wanyapori la Afrika Mashariki, Kundi la Utendakazi wa Maswala ya Misitu nchini Kenya, shirika la Uhalisia wa Mazingira ya Kenya (Nature Kenya), na shirika la Huduma ya Misitu la Kenya kupitia kwa "Tupande Pamoja" uliendelea na shughuli ya upandaji miti. Likitekeleza majukumu yake chini ya jamii ya Nyamweru Village, Kampuni iliendelea kutoa utunzaji wa ziada wa zaidi ya miche 10,000 ya kiasili iliyopandwa katika Msitu wa Uplands.

Kadhalika, Kampuni ilitoa msaada wa kifedha kwa miradi kadha muhimu ambayo ilijumuisha Junior Achievement, ambayo upeo wa shughuli zake unajumuisha kusomesha vijana, na Smart Youth Investment ambao ni mradi unaolenga kuhimiza desturi ya itikisadi na uwekaji akiba miongoni mwa vijana. Ufadhili huu pia uliendelea katika miradi mingine maalum, ikiwemo Palm House Foundation, Zawadi Kenya na shule za upili za Starehe Boys na Girls.

TASWIRA YA BAADAYE YA BENKI YA NIC

Tunapomulika mwaka 2011 na miaka ya mbeleni, tunatarajia hali za masoko kubakia thabiti japo siyo bila changamoto. Taswira ya uchumi wa Kenya ni nzuri kwani kila hali za awali zinaendelea kuangaziwa kwa makini. Ufikiaji wa ustawi wa juu wa uchumi hata hivyo unaegemezwwa kwa ufanisi wa utekelezaji wa katiba mpya na kudhibiti hali iliyopo ya uchumi-jamii na siasa. Miradi kadha ya miundo-msingi inaendelea na ustawi wa sekta za kifedha na teknolojia (ICT) utashikilia kwa nguvu ukuaji wa uchumi. Hata hivyo, ongezeko la bei za mafuta na bidhaa nyinginezo, kiangazi kinachoendelea kujisonga na athari ya matukio ya kimataifa kwa uthabiti wa viwango vya ubadilishanaji ni miongoni mwa hali zinazoweza kupunguza kasi ya ukuaji wa uchumi.

Fursa ya ufanisi wa Kampuni inapoangaliwa kwa makini, inalingana kwa karibu na nafasi za uchumi wa Kenya na hata zaidi ushindani mkuu ulioko unatazamiwa katika sekta zinazopatikana katika uendeshaji wa Benki ya NIC. Vilevile, tunabakia na matumaini na tumeandaa malengo ya marefu yanayonua kuchangia kukua zaidi. Miongoni mwa mikakati inayoandamwa ni upanuzi zaidi pamoja na kuhakikisha matokeo mazuri yanapatikana katika sehemu ambazo Benki ya NIC Group imefanikiwa na kuwa na uongozi wa kiviwanda.

TAARIFA YA MWENYEKITI

Nina imani kuwa Kampuni ya NIC Bank itafikia malengo yake inapoendelea na wakurugenzi wetu wakuu, mameneja na wafanyakazi wetu waliojitolea kwa dhati.

SHUKRANI

Matokeo ya kifedha ambayo tumetangaza, ambayo yanawakilisha utimilifu katika viwango vyote, ni matokeo ya jitihada za pamoja kutoka kwa washikadau wetu wengi.

Kupata na kudhibiti imani ya wateja ni muhimu kwa maendeleo ya biashara yoyote na zaidi kabisa katika huduma za kifedha. Katika Kampuni ya NIC Bank, tunajizatiti sana ili kuwa karibu na wateja wetu na kuwajibikia matakwa yao. Ni msaada wao uliowezesha ustawi uliopatikana mnamo 2010 na kwa kushukuru hili, ninawahakikishia kujitolea kwetu kutimiza na hata kupita mahitaji na matarajio yao katika mwaka wa 2011 na zaidi.

Bidii na kujitolea kwa wafanyakazi wetu pia kulikuwa muhimu katika kufikia matokeo ya Kampuni mnamo 2010. Kutokana na vipawa vyao na kujitolea kwao, Kampuni iko katika nafasi bora kutwaa nafasi zilizopo na kukabili changamoto ambazo zitajitokeza katika mwaka wa 2011 na miaka mingine ijayo.

Pia ninatambua kwa dhati ushirikiano uliotolewa kwa Benki hii kutoka kwa washirika wengine wa kibiashara na washikadau, ikiwemo warekebishaji wetu, kama vile Benki Kuu ya Kenya na Shirika la Masoko ya Hisa.

Ninapotamatisha, ningependa kushukuru washikadau, kwa kuendelea kuwa na imani katika maono ya ustawi ya Kampuni ya NIC Bank Group na ambayo yanahitaji kuwekeza zaidi faida inayopatikana; na wakurugenzi wenzangu, kwa ushauri wenu wa hekima na huduma ya kujitolea katika kiwango cha halmashauri ya bodi na kwenye kamati mbali mbali.

J P M NDEGWA

Mwenyekiti

23 Februari 2011

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CONSOLIDATED STATEMENT OF FINANCIAL POSITION

Assets

	2006 Shs`000	2007 Shs`000	2008 Shs`000	2009 Shs`000	2010 Shs`000
Government securities	2,148,688	2,411,997	3,974,918	4,332,080	5,074,031
Loans and advances to customers	16,570,116	22,209,186	29,954,948	32,511,082	40,754,979
Property and equipment	503,173	506,813	673,997	798,255	750,530
Others	6,840,436	6,153,022	8,015,256	9,916,824	12,434,382
Total assets	26,062,413	31,281,018	42,619,119	47,558,241	59,013,922

Liabilities

Customer deposits	21,978,078	24,805,595	35,238,381	39,514,275	48,492,224
Line of credit	278,195	650,100	663,275	465,202	303,284
Other liabilities	769,898	1,087,590	1,151,713	786,510	1,865,185
Total liabilities	23,026,171	26,543,285	37,053,369	40,765,987	50,660,693

Total equity

3,036,242	4,737,733	5,565,750	6,792,254	8,353,229
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Total liabilities and equity

26,062,413	31,281,018	42,619,119	47,558,241	59,013,922
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CONSOLIDATED INCOME STATEMENT

Interest income	2,365,847	2,799,924	3,747,301	4,425,440	4,943,364
Interest expense	911,250	1,159,829	1,732,079	2,011,376	1,543,893
Net interest income	1,454,597	1,640,095	2,015,222	2,414,064	3,399,471

Non-interest income	515,441	736,294	1,149,231	1,427,014	1,814,009
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Operating income

1,970,038	2,376,389	3,164,453	3,841,078	5,213,480
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Operating expenses	1,159,607	1,226,415	1,485,728	1,850,801	2,288,448
Impairment on loans and advances	133,389	100,067	194,551	463,484	316,640

Operating expenses

1,292,996	1,326,482	1,680,279	2,314,285	2,605,088
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Profit before tax

677,042	1,049,907	1,484,174	1,526,793	2,608,392
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Income tax expense	219,068	304,220	446,493	441,075	744,474
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Profit for the year

457,974	745,687	1,037,681	1,085,718	1,863,918
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Earnings Per Share (Shs)	1.58	2.57	3.18	3.01	5.06
Dividend Per Share (Shs)	2.70	0.80	0.50	0.50	0.50

OTHER DISCLOSURES

1) Non-performing loans and advances					
a) Non-performing loans and advances	1,270,942	967,724	1,031,988	1,548,270	1,570,797
b) Allowance for impairment	646,706	479,884	621,360	1,134,091	1,420,444
c) Net non-performing loans and advances (a-b)	624,236	487,840	410,628	414,179	150,353

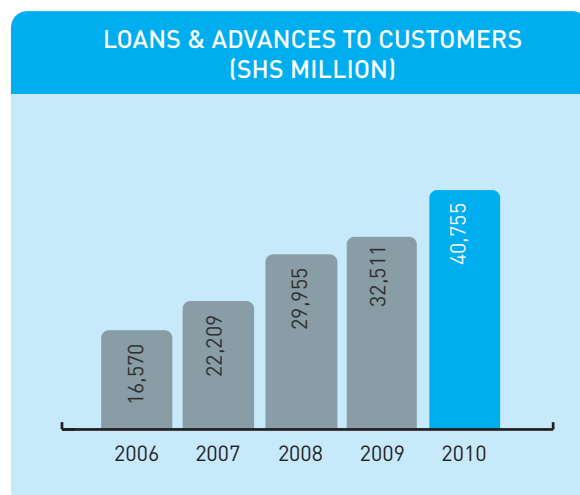
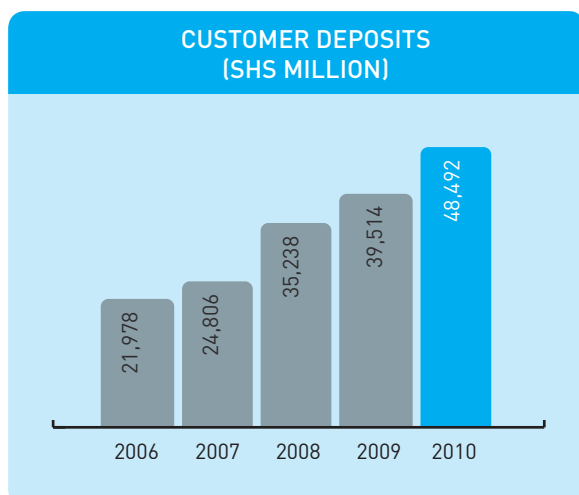
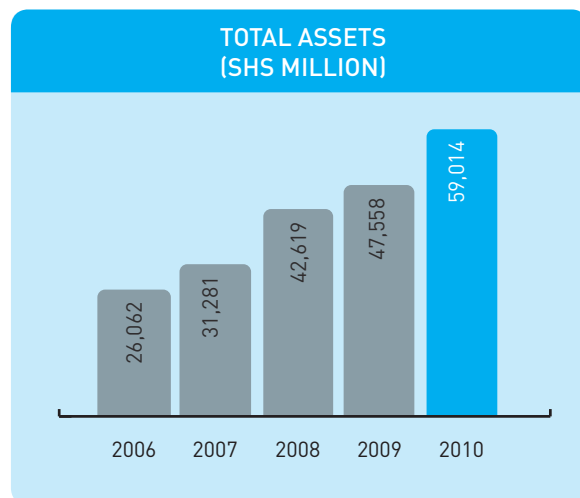
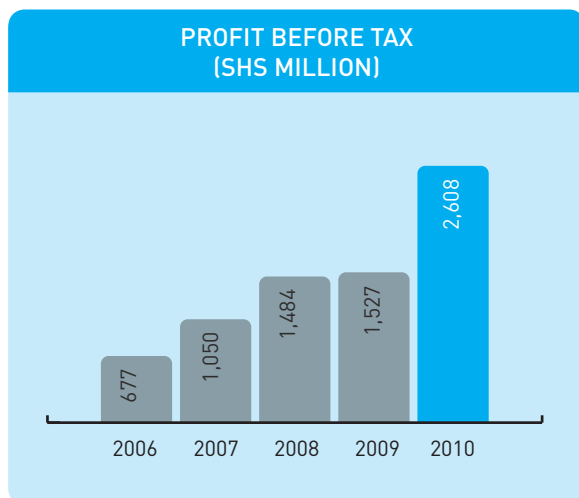
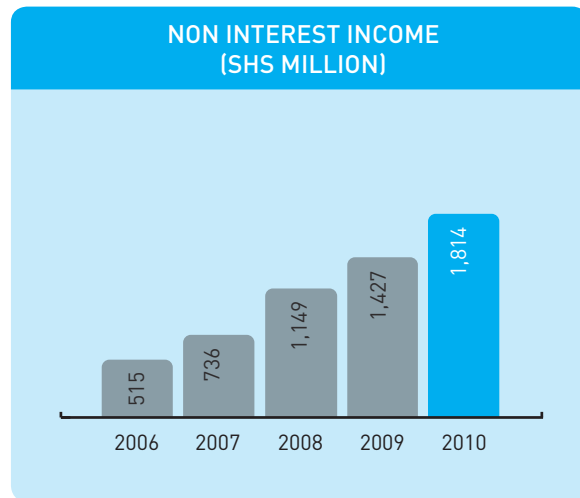
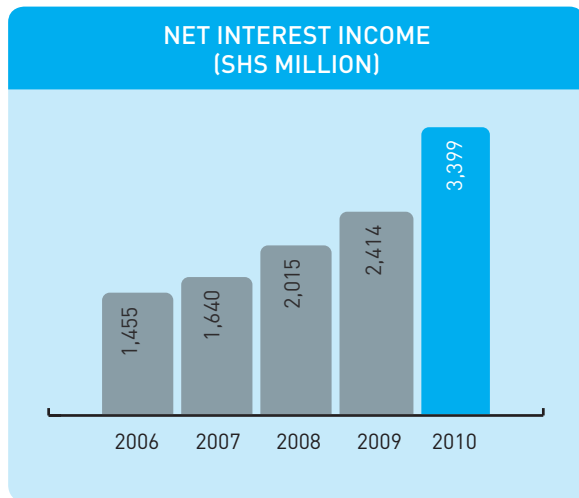
2) Number of Employees	262	290	375	484	514
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3) Number of Branches	7	10	12	16	16
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KEY PERFORMANCE INDICATORS

Return on capital employed (ROCE)	22.30%	22.16%	26.67%	22.48%	31.23%
Non-interest income to operating income	26.16%	30.98%	36.32%	37.15%	34.79%
Non-performing loans to total loans	3.77%	2.20%	1.37%	1.31%	0.43%
Return on total assets	2.60%	3.36%	3.48%	3.21%	4.42%

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MEMBERS OF THE BOARD



Back row:

F N Mwanzia
Non-Executive Director

I Ochola - Wilson
Non-Executive Director

F M Mbiru
Non-Executive Director

Front row:

J W Macharia
Group Managing Director

J P M Ndegwa
Chairman



Back row:

G A Maina
Non-Executive Director

A S M Ndegwa
Non-Executive Director

M L Somen
Non-Executive Director

P V Shah
Non-Executive Director

Front row:

L Murage
Group Company Secretary

A J Dodd
Executive Director

MEMBERS OF THE BOARD

J P M Ndegwa (Chairman)

Mr Ndegwa, aged 47, holds an MA degree from Oxford University, UK, and is an Associate of the Chartered Insurance Institute, UK and the Insurance Institute of Kenya. He is the Chairman of First Chartered Securities Limited (FCS) and a director of several companies. Prior to his present position, he was the Managing Director of Lion of Kenya Insurance Company until 2003. He joined the NIC Board on 19 November, 2003 and appointed Chairman in 2005.

F M Mbiru - Vice Chairman (Non-Executive Director)

Mr Mbiru, aged 73, has a BA (Hons) degree from Makerere University and is an Associate of the Chartered Institute of Bankers. He is currently a management consultant and a director of several companies having retired as General Manager of Barclays Bank of Kenya in 1993. He joined the NIC board on 16 February 1993.

J W Macharia (Group Managing Director)

Mr Macharia, aged 51, has a B Com (Hons) degree from University of Nairobi and an MBA from Henley Management College, UK. He is a Chartered Accountant (Institute of Chartered Accountants in England and Wales), as well as a Certified Public Accountant (Institute of Certified Public Accountants of Kenya). He has been Managing Director of various Companies within the African Banking Corporation (ABC) Group, in both Zambia and Tanzania. He joined NIC Bank in May 2005 as Managing Director, and was appointed to the NIC Board on 1 May, 2005.

A J Dodd (Executive Director)

Mr Dodd, aged 56, has a BA (Hons) degree in Economics from Portsmouth University, UK. He is an Associate of the Chartered Institute of Bankers. He has extensive regional and international banking experience covering East and Southern Africa, the Middle East and the Far East. He joined NIC Bank in January 2006 as Director, Corporate Banking, and was appointed to the NIC Board on 22 February 2006.

G A Maina (Non-Executive Director)

Mr Maina, aged 59, has a B Tech (Hons) degree in Aeronautical Engineering and Design from Loughborough University, UK. He is currently a business consultant and a director of several companies. He has extensive experience in the oil industry in Africa, the Caribbean and Central America including being Managing Director of Kenya Shell and BP Kenya limited from 1998 to 2002. He joined the NIC Board on 1 June 2002.

F N Mwanzia (Non-Executive Director)

Mr Mwanzia, aged 66, has a B Com degree from University of Nairobi and is a qualified member of the Association of Chartered Certified Accountants, UK and Chartered Institute of Secretaries and Administrators, UK. He is also a member of ICPAK and ICPSK. He is currently a businessman having retired as Group Financial Controller and Company Secretary of NAS Airport Services in 1999. He joined the NIC Board on 3 August 1995.

A S M Ndegwa (Non-Executive Director)

Mr Ndegwa, aged 43, holds a BA (Hons) degree in Philosophy, Politics and Economics from Oxford University, UK. He is the Executive Director of First Chartered Securities Limited (FCS) and a director of several companies. He previously worked for Citibank and AMBank until 1995. He joined the NIC Board on 23 April 1997.

I Ochola- Wilson (Non-Executive Director)

Mrs Ochola-Wilson, aged 62, has a BA degree from Dar-es-Salaam University and an MBA from University of British Columbia, Canada. She currently is a business consultant having retired as a Project Manager for DFID's Business Partnership Programme in 2005. She joined the NIC Board on 5 November 1999.

M L Somen (Non-Executive Director)

Mr Somen, aged 74, is a Barrister-at-Law, Grays Inn, England and holds an MBA (Hons) degree from Brasenose College, Oxford. He is an Advocate of the High Court of Kenya. He retired in 2002 as Senior Partner of Hamilton Harrison & Mathews Advocates but remained as a consultant with the firm until 2010. He joined the NIC Board on 21 February 2001.

P V Shah (Non-Executive Director)

Mr Shah, aged 37, is a lawyer by profession and a Certified Public Secretary. He holds an LLB (Hons) degree, from King's College London, Diploma in legal practice from the College of Law, London, Diploma in Legal practice from Kenya School of Law and Diploma in Management from Henley School of Management. He is an Advocate of the High Court of Kenya and currently a partner of Hamilton Harrison & Mathews Advocates. He joined the NIC Board on 23 February 2010.

L Murage (Group Company Secretary)

Mr Murage, aged 53, has a B Com (Hons) degree from University of Nairobi and is a Certified Public Accountant and a Certified Public Secretary. He is also a member of ICPAK and ICPSK. He previously worked for Price Waterhouse and Mobil Oil, before joining the banking sector in 1986. He was appointed Company Secretary on 2 September 1999.

CORPORATE INFORMATION

DIRECTORS

J P M Ndegwa – Chairman
 F M Mbiru – Vice Chairman
 J W Macharia – Group Managing Director
 A Dodd*
 G A Maina
 F N Mwanzia
 A S M Ndegwa
 I Ochola-Wilson
 M L Somen
 P V Shah
 *British

AUDIT AND COMPLIANCE COMMITTEE

F N Mwanzia – Chairman
 F M Mbiru
 A S M Ndegwa

NOMINATIONS COMMITTEE

J P M Ndegwa – Chairman
 G A Maina
 M L Somen
 I Ochola-Wilson

CREDIT RISK COMMITTEE

F M Mbiru – Chairman
 F N Mwanzia
 A S M Ndegwa
 M L Somen
 P V Shah

HUMAN RESOURCES AND COMPENSATION COMMITTEE

I Ochola-Wilson – Chairman
 F M Mbiru
 A S M Ndegwa

EXECUTIVE COMMITTEE

A S M Ndegwa – Chairman
 G A Maina
 M L Somen

REGISTERED OFFICE

NIC House
 Masaba Road
 P.O. Box 44599
 Nairobi - GPO 00100

RISK MANAGEMENT COMMITTEE

G A Maina – Chairman
 A S M Ndegwa
 I Ochola-Wilson

REGISTRARS AND TRANSFERS OFFICE

Custody & Registrars Services Limited
 6th Floor, Bruce House,
 Standard Street
 P.O. Box 8484
 Nairobi - GPO 00100

GROUP COMPANY SECRETARY

L Murage
 Certified Public Secretary (Kenya)
 NIC House, Masaba Road
 P.O. Box 44599
 Nairobi - GPO 00100

AUDITORS

Deloitte & Touche
 Certified Public Accountants (Kenya)
 Deloitte Place
 Waiyaki Way, Muthangari
 P.O. Box 40092
 Nairobi - GPO 00100

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STATEMENT ON CORPORATE GOVERNANCE

The Board is committed to ensuring that the business is run in a professional, transparent, just and equitable manner so as to protect and enhance shareholder value and satisfy the interests of other stakeholders. The principles and standards adhered to by the Board have been developed with close reference to guidelines on corporate governance issued by the Centre for Corporate Governance, the Capital Markets Authority for publicly listed companies in Kenya, the Central Bank of Kenya for the banking industry, and other best practices.

During 2010, the Board's focus was geared towards the achievement of compliance with the qualitative aspects of good governance whilst ensuring that implementation matches the needs of the business.

BOARD COMPOSITION AND APPOINTMENTS

The Board consists of ten directors, eight of whom are non-executive directors (including the Chairman) and two of whom are executive directors. Among the non-executive directors are six independent directors.

The Board members have a broad range of skills, expertise and experience and each brings independent judgement and valuable contribution to the business. The directors' abridged biographies appear on page 16 of this Annual Report.

All the non-executive directors are subject to retirement by rotation and must seek re-election by shareholders at least once every three years in accordance with the Articles of Association. Any director appointed during the year is required to retire and seek re-election at the next Annual General Meeting.

BOARD RESPONSIBILITIES

The Board's responsibilities are set out in the new Board Charter that was launched and rolled out in 2010. The Board Charter defines the governance parameters within which the Board exists and operates, sets out specific responsibilities to be discharged by the Board, its committees and directors collectively, as well as certain roles and responsibilities incumbent upon directors as individuals.

A summary of the Board's responsibilities is as follows:

- Providing entrepreneurial leadership to the Group within a framework of prudent and effective controls which enable risk to be assessed and managed
- Strategy formulation and ensuring that there are adequate policies, systems and structures to successfully implement the Group strategies

- Monitoring the Group's performance against strategic plans and objectives on an ongoing basis, as well as through mandatory quarterly meetings
- Approval for publication of quarterly financial statements
- The selection, appointment and appraisal of senior executive officers who are qualified and competent to manage the affairs of the Group effectively
- Ensuring that there are adequate structures and systems to identify, measure and monitor the Group and manage key risks facing the Group, including compliance related risks
- Reviewing the effectiveness of the systems for monitoring and ensuring compliance with laws and regulations
- Determining the terms of reference of all Board Committees and review of reports and minutes of the committees

SEPARATION OF ROLES AND RESPONSIBILITIES

The roles and responsibilities of the Chairman of the Board and the Group Managing Director remain distinct and separate. The Chairman provides overall leadership to the Board without limiting the principles of collective responsibility for Board decisions. The Group Managing Director is responsible to the Board and takes responsibility for the effective and efficient running of the Bank and its subsidiaries on a day-to-day basis.

BOARD REMUNERATION

Non-executive directors were paid a monthly fee, together with a sitting allowance for every meeting attended. They are not eligible for pension scheme membership and do not participate in any of the Group's remuneration schemes.

Details of the directors' fees for the non-executive directors and remuneration of the executive directors are set out on page 97.

DIRECTORS' SHAREHOLDING

None of the directors as at the end of year 2010 held shares in their individual capacity that were more than 1% of the Bank's total equity.

STATEMENT ON CORPORATE GOVERNANCE

BOARD AND STRATEGY MEETINGS

The Board and its committees meet regularly in accordance with business requirements.

The Board Work Plan together with the calendar of meetings for 2010 was fixed in advance and provided to all directors. Adequate notice was given for each meeting and directors received in good time detailed papers on issues to be discussed. In addition to the regular Board meetings scheduled in the year, the full Board attended a retreat in 2010 which conducted a detailed review of the Group's strategy among other things.

The Board has ownership over the Group's strategic direction. At each Board meeting progress towards the targets of the approved business plans is reviewed and guidance provided to senior management as appropriate.

The summary of the meetings and attendance is shown on page 22.

CONFLICTS OF INTEREST

Business transactions with all parties, directors or their related parties are carried out at arms' length. The directors of the Bank are under a fiduciary duty to act honestly and in the best interests of the institution.

In 2010, the directors submitted their annual declarations of interests which included:

- An acknowledgement that should it come to his/her attention that a matter concerning the Bank may result in a conflict of interest, the director is obliged to declare the same and will exclude himself/herself from any discussion or decision over the matter in question.
- An acknowledgement that should the director be appointed to the Board or acquire a significant interest in a business competing with the Group, the director will be obliged to offer his/her resignation.
- An acknowledgement that the foregoing also applies to interests of the immediate family members of the directors.

Business transactions with the directors or their related parties are disclosed on pages 96 - 97.

BOARD STRUCTURE

The Board operates under a comprehensive structure made up of committees established to assist it in discharging its responsibilities and obligations. Each

committee has a set of specific terms of reference outlining the scope of its responsibility and relevant administrative and procedural arrangements.

The Board Committees namely: Audit & Compliance; Credit Risk; Executive; Human Resources & Compensation; Nominations and Risk Management are supported by five key Management Committees: Executive Management (Excom), Management (Mancom), Assets and Liabilities Management (ALCO), Management Credit Risk and Senior Credit Risk Committees.

Membership of the various Board Committees is shown on page 17.

The Group Company Secretary sits in all the Board and committee meetings and is responsible for monitoring and coordinating the completion and dispatch of Board and committee agenda, papers and other briefing materials.

Management and external service providers and experts attend by invitation as circumstances dictate. Directors' attendance of these committees is provided on page 22.

Details of these committees are given here below:

• Audit and Compliance Committee

The committee plays a vital role in ensuring the integrity of the financial statements prior to the review and approval by the Board. The committee continually evaluates the effectiveness of the internal control systems and receives reports on the findings of the internal and external auditors and Management's corrective actions in response to the findings.

The committee meets quarterly and the external auditors are invited to attend whenever necessary but at least once in a year.

• Credit Risk Committee

The committee reviews and oversees the overall lending policies of the Group and approves credits which are above the approval limits for management. It ensures there are effective procedures to identify and manage irregular and problem credits, minimize credit loss and maximize recoveries.

The committee recommends to the Board discretionary credit limits for the Board, Credit Risk Committee and Management Credit Risk Committee.

STATEMENT ON CORPORATE GOVERNANCE

• Executive Committee

The committee assists the Board in discharging its responsibilities relative to strategy, human resources and general operations oversight. The committee meets regularly to review and recommend for Board approval major capital projects, periodic strategic plans and key policy guidelines as developed by management.

• Human Resources and Compensation Committee

The committee reviews the Human Resources policies and procedures and ensures that they adequately support the Group's strategy. It ensures that the Group's policy of providing remuneration packages that fairly reward staff for their contribution to the business, whilst considering the need to attract, retain and motivate staff of the highest caliber.

The committee ensures succession plans are in place for senior executive management of the Group.

• Nominations Committee

The Nominations Committee provides an efficient, effective and reliable mechanism that identifies and recommends to the Board the appointment of individuals to serve as directors of the Bank. It conducts regular reviews of the required mix of skills and experience of directors of the Bank in order to ensure the effectiveness of the Board and its committees in meeting the needs of the business.

• Risk Management Committee

The Risk Management Committee is responsible for setting the strategic risk parameters through policies/guidelines, tolerance limits, and approving the risk management strategy, significant policies and programs. Thereafter, it monitors compliance with the risk policies, limits and programs. It also reviews the adequacy of the risk management framework in relation to the risks faced by the Group and in comparison to the approved tolerances. The committee is assisted in these functions by various risk management committees which undertake both regular and ad-hoc reviews of the Group's risk management environment, the results of which are reported at appropriate levels for review and action.

The risk management policies which are reviewed by the committee are detailed on pages 53 - 70 and are in line with International Financial Reporting Standards.

MANAGEMENT COMMITTEES

A significant factor in the Bank's ongoing success

is the strength of the management team. Members of the management team bring together a vital combination of leadership skills and extensive banking experience from both local and international exposure. To harness that strength, the Group Managing Director has established committees to assist him in the management of the Group. These committees are chaired by the Group Managing Director and include the respective Heads of Department, with other senior managers being co-opted on a need basis. These committees include:

• The Executive Management Committee (EXCOM)

This committee meets regularly and at least monthly to discuss strategy formulation and implementation, policy matters and financial performance. It is also charged with the responsibility of ensuring compliance with the regulatory framework and guidelines and adherence to Group policy and procedures. This committee also serves as a link between the Board and Management.

• The Management Committee (MANCOM)

This committee meets monthly to review operational issues of the Group, with emphasis on the assessment and monitoring of the institution's operational risks.

• The Assets and Liabilities Management Committee (ALCO)

This committee meets every month or more frequently when necessary. ALCO, a Risk Management Committee, is tasked with the responsibility of ensuring that all foreseeable funding commitments and deposits withdrawals can be met as and when they fall due, and that the Group will not encounter difficulties in meeting its obligations or financial liabilities as they fall due. This includes management of operational risks, interest rate, market and exchange rate risks and ensuring compliance with statutory requirements governing liquidity, cash ratio and foreign exchange exposure and investment policies.

• The Management Credit Risk Committee

This committee meets regularly to approve new credit applications and renewals within the delegated limits set by the Board. The committee also regularly makes recommendations to the Board Credit Risk Committee on the revision of limits. All credit approvals are independent of the originating business unit.

STATEMENT ON CORPORATE GOVERNANCE

• The Senior Credit Risk Committee

This committee meets monthly to review the performance of the Bank's lending book and determines the level of provisions required in accordance with the approved policies and regulatory guidelines.

BOARD AND DIRECTORS EVALUATION IN 2010

In accordance with the requirements of the Central Bank of Kenya Prudential Guidelines on Corporate Governance, the Board of NIC Bank Limited carried out a self evaluation review of its capacity, functionality and effectiveness during the financial year ended 31 December 2010.

The evaluation measured the performance of the Board against its key duties and responsibilities, that of the Board Committees and individual members of the Board.

Overall it is considered that in 2010 the Board:

- Carried out its role and responsibilities satisfactorily, devoting considerable time and commitment to the Group
- Was strong being composed of mainly independent directors with a broad diversity of professional qualifications and depth of experience
- Formulated, approved and regularly reviewed the strategic direction of the Group in light of the business environment and regulatory framework
- Developed appropriate policy guidelines to assist Management in decision making
- Fulfilled its role to the Group's various stakeholders.
- Generally guided and supported the Management in achieving the Group's notable successes of the year and attaining record profitability

The overall evaluation assessment was submitted to the Central Bank of Kenya in accordance with the Prudential Guidelines on Corporate Governance.

RELATIONSHIP WITH SHAREHOLDERS

The Bank is committed to relating openly with its shareholders by providing regular information on its performance and addressing any areas of concern. This is achieved through quarterly publication of extracts of its financial performance in the daily newspapers in line with the Central Bank of Kenya requirements, distribution of annual audited accounts and holding of the Annual General Meeting. The latest results are also available on the Bank's website, www.nic-bank.com.

The Bank has engaged the services of a registrar,

Custody & Registrar Services, who together with the Group Company Secretary, regularly address issues raised by the shareholders.

INTERNAL CONTROL

The directors acknowledge their responsibility as set out on page 29 for the Group's system of internal financial control, including taking reasonable steps to ensure that adequate systems are being maintained. Internal control systems are designed to meet the particular needs of the Group, and the risks to which it is exposed with procedures intended to provide effective internal financial control. However, it is to be recognized that such a system can only provide reasonable, but not absolute, assurance against material misstatement.

The Board has reviewed the Group's internal control policies and procedures and is satisfied that appropriate controls and procedures are in place.

The Board has put in place a comprehensive risk management framework to identify all key risks, measure these risks, manage the risk positions and determine capital allocations. The policies are integrated in the overall management reporting structure. The Head of the Risk Management and Compliance Department reports directly to the Board's Risk Management Committee.

The Group's performance trend is reported regularly to the Board and includes an analysis of performance against budget and prior periods. The financial information is prepared using appropriate accounting policies which are applied consistently.

The Group has an Internal Audit Department which is an independent function that reports directly to the Board Audit and Compliance Committee and provides independent confirmation that the Group and business standards, policies and procedures are being complied with. Where found necessary, corrective action is recommended.

The Group also has a Compliance Department that reviews the compliance framework and ensures adherence to the Group and regulatory requirements.

GOING CONCERN

The Board confirms that it is satisfied that the Group has adequate resources to continue in business for the foreseeable future. For this reason, it continues to adopt the going concern basis when preparing the financial statements.

STATEMENT ON CORPORATE GOVERNANCE

BOARD & BOARD COMMITTEES MEMBERSHIP AND ATTENDANCE - 2010

Director	Classification	Designation		Board	Audit & Compliance	Credit Risk	Human Resources & Compensation	Executive	Strategy	Risk Management
J P M Ndegwa	Non-executive	Chairman Board	Membership	√					√	
			Attendance	3/4					1/1	
F M Mbiru	Non-executive	Chairman Credit Risk Committee	Membership	√	√	√	√		√	
			Attendance	4/4	4/4	8/8	2/2		1/1	
J W Macharia	Executive	Group Managing Director	Membership	√	√	√	√	√	√	√
			Attendance	4/4	4/4	8/8	2/2	3/3	1/1	3/3
G A Maina	Non-executive	Chairman Risk Management Committee	Membership	√				√	√	√
			Attendance	4/4				3/3	1/1	3/3
F N Mwanza	Non-executive	Chairman Audit & Compliance Committee	Membership	√	√	√			√	
			Attendance	3/4	4/4	8/8			1/1	
A S M Ndegwa	Non-executive	Chairman Executive Committee	Membership	√	√	√	√	√	√	√
			Attendance	4/4	4/4	7/8	2/2	3/3	1/1	3/3
I Ochola-Wilson	Non-executive	Chairman Human Resources and Compensation Committee	Membership	√			√		√	√
			Attendance	4/4			2/2		1/1	3/3
M L Somen	Non-executive		Membership	√		√		√	√	
			Attendance	3/4		5/8		3/3	1/1	
P V Shah	Non-executive		Membership	√		√			√	
			Attendance	3/4		3/4			1/1	
A Dodd	Executive		Membership	√	√	√	√	√	√	√
			Attendance	4/4	4/4	8/8	2/2	3/3	1/1	3/3

√ Member of respective committee

- When a director did not attend a Board or Board Committee meeting, an acceptable apology had been received by the Chairman in advance of the scheduled meeting.
- The Group Managing Director and the Executive Director are not members of the Audit and Compliance Committee, but attend by invitation.

STATEMENT ON CORPORATE GOVERNANCE

SHAREHOLDING PROFILES

The company, through its Registrar, files returns regularly in line with Capital Markets Authority and the Nairobi Stock Exchange under the listing regulations on transactions related to shareholders.

The number of shareholders as at 31 December 2010 was 25,250 (2009 – 25,154).

A. Principal Shareholders

The top 10 major shareholders, based on the Bank's share register as at 31 December 2010 are as follows:

Name	No. of Shares	%
First Chartered Securities Ltd	56,874,037	15.84
ICEA Asset Management Ltd	32,536,171	9.06
Livingstone Registrars Ltd	29,179,068	8.13
Rivel Kenya Ltd	27,749,262	7.73
Saimar Ltd	14,830,567	4.13
Amwa Holdings Ltd	7,098,994	1.98
Duncan Nderitu Ndegwa	5,584,958	1.56
Kenya Commercial Bank Nominees Ltd A/C 769G	5,134,878	1.43
Thuthuma Limited	4,578,301	1.28
Makimwa Consultants Ltd	4,527,356	1.26
Total	188,093,592	52.40

B. Distribution Schedule

Category	No. of Shareholders	No. of Shares	%
1-500 shares	7,271	1,519,965	0.42
501-5,000 shares	14,776	26,207,988	7.30
5,001-10,000 shares	1,516	10,671,350	2.97
10,001-100,000 shares	1,453	41,381,756	11.53
100,001-1,000,000 shares	207	59,514,023	16.58
1,000,001 and over	27	219,702,702	61.20
Total	25,250	358,997,784	100.00

C. Shareholder Profile

Category	No. of Shareholders	No. of Shares	%
Local individual investors	23,497	86,060,654	23.97
Local institutional investors	1,614	268,605,891	74.82
Foreign individual investors	122	1,963,649	0.55
Foreign institutional investors	17	2,367,590	0.66
Total	25,250	358,997,784	100.00

SUSTAINABILITY STATEMENT

As NIC Bank Group, we take cognizance of the fact that our sustainability and success is dependent upon the environment and the communities in which we operate. It is our Group policy, therefore, to ensure that our activities meet and exceed the social, economic and environmental expectations of our stakeholders.

In 2010, the NIC Bank Group renewed its focus on its main corporate social responsibility programmes i.e. Education, Child Health and Environment, with a long term view of sustaining the projects at hand.

EDUCATION

Education remains a priority for the Group as it seeks to enhance access, ensure enrollment retention and reduce disparities and inequalities in the provision of secondary school education in Kenya. To ensure efficiency and effectiveness of its sponsorships, NIC Bank Group opted to partner with well established educational trusts and non-profit organizations. Organisations that benefited include, Palm House Foundation, Edumed Trust and Starehe Endowment Fund.

In addition, NIC Bank Group partnered with Junior Achievement Kenya in inspiring young Kenyans both in and out of school to realize their entrepreneurship potential and gain skills for the work place.

NIC Bank Group yearly offers internships to fresh graduates and the Bank's staff mentors the students and equips them with various skills.

Related to education, and in addition to funding the various programmes as indicated, we renewed our focus on deepening financial literacy through a number of initiatives such as the NIC Entrepreneur Club workshops and Nairobi Exchange Smart Youth Challenge.

- The NIC Entrepreneur Club was launched by the Bank during 2010 with the objective of helping to build capacity for the club members, largely comprising of Small and Medium Sized Businesses, whilst allowing them to network amongst themselves. The NIC Entrepreneur Club workshops were held in Nairobi, Mombasa, Kisumu and Nakuru and were facilitated by both internal and external resources and high profile key note speakers.
- NIC Securities Limited, the stock brokerage arm of the Group, partnered with the NSE Investment Challenge for the second year running in the annual online competition which is a simulation of the activities that happen around trading in securities (bonds & stocks) listed on the

Nairobi Stock Exchange (NSE). The competition is a financial education tool for the youth in universities and colleges which aims to enhance financial management and entrepreneurial skills among the youth.

CHILD HEALTH

In the health sector, some of the areas we supported include the annual Operation Smile and the Mater Heart Run. Operation Smile is an international organization that provides free reconstructive surgery to children born with facial deformities. The Bank took part in their Corporate Challenge, an annual road race which raises funds for free restorative surgery on cleft lip and palate deformities in children.

Over the years, NIC Bank Group has actively participated in the Mater Heart Run – an initiative that caters for heart operations for underprivileged children.

ENVIRONMENT

In 2010, the Group's staff continued with the initiative under the '*Tupande Pamoja*', together with the local community of Nyamweru Village in monitoring the more than 10,000 indigenous seedlings planted in 2009, covering 22.4 hectares. The Nyamweru Forest Block, within the Uplands Forest, is part of the larger Aberdare Forest.

The '*Tupande Pamoja*' tree planting initiative is sponsored together with the United Nations Environment Programme, Nature Kenya and East Africa Wildlife Society and seeks to assist in the country's reforestation programs meant to increase Kenya's forest cover.

In addition, the Group sponsored 6 teams participating in the 2010 Rhino Charge, an annual off- road motorsport competition that raises funds for the conservation of Kenya's Aberdare ecosystem.

A pictorial presentation of some of the areas that benefited from our contribution and participation is highlighted on pages 26 - 27.

EMPLOYEE WELFARE

• Ethical Standards

The NIC Bank Group conducts business in compliance with high ethical standards of business practice. The Bank has a Code of Conduct which outlines the principles and policies that govern the activities of the Bank, and to which the employees must adhere. All employees and directors have committed to follow NIC Bank's Code of Conduct.

SUSTAINABILITY STATEMENT

Upon engagement, new directors and members of staff are required to sign the Code of Conduct acknowledging that they have read it and are committed to abide by it.

• Communication

The NIC Bank Group encourages dialogue and participation from all employees through the internal intranet and team-building initiatives. Further, the Group holds an annual staff conference where all staff members meet to discuss the Group's progress and strategic direction.

In 2010, following the closure of the change management cycle that began in 2007, a web-based staff engagement survey was conducted seeking feedback from employees. The aim of the survey was to facilitate the development of a conducive work environment through positive engagement with employees. Employees' view of the organization is an important management tool that provides information useful for creating an enabling work place where people learn, contribute and succeed.

The Bank received positive feedback from the People Engagement Index, which seeks to measure satisfaction, commitment, pride, loyalty, strong sense of belonging and willingness to be an advocate of the Bank. The survey also noted that considerable progress had been made since the last survey conducted in 2007.

The results further indicated that the employees support the NIC Corporate values of Passion, Integrity, Innovation, Responsiveness and Professionalism as shown on page 28.

• Staff Training & Development

NIC Bank Group attaches great importance to staff training and development and considers it a critical element of employees' success as well as that of the Group. It ensures that the organization is appropriately resourced with people who have the requisite competencies to perform their roles.

In 2010, to support employees' growth and development, people management skills development was carried out right from supervisory skills to effective leadership for senior management staff. Training programs for technical competencies were also carried out throughout the year and included areas such as:

- SME strategy for Business Banking
- Risk management for middle to senior managers
- Fraud Forgeries and Defalcations for Operations staff
- Excellence in Customer service
- Financial modelling
- Anti- Money laundering and KYC training across the Bank

The training program is designed to attain the highest standards in the financial services industry and is continuously benchmarked with other leading players. The Group policy is to provide training that strikes the appropriate balance between short and long term resource requirements with regard to the size and complexity of its operations and the enduring desire to offer the highest quality of service.

On-the-job training is the foundation upon which all other types of training depend on. The learning process is fully supplemented by a mentoring program; we acknowledge the role that experienced members of staff play in training their colleagues. In addition, tailor made courses and workshops are arranged to meet specific skill and knowledge requirements. Recent attention has been given to enhancing customer care skills and uniformity of customer experience across the branch network and at each of the subsidiaries.

To provide staff with international exposure, the Group has identified overseas strategic partners where high potential, high performing employees are attached and developed.

With the current employee skill-base, the Group is well positioned to effectively compete both locally and internationally.

SUSTAINABILITY STATEMENT



Patrick Kihara, a manager at NIC Bank serving as a judge during the Junior Achievement Regional Company Program Competitions for Nairobi and Central.



NIC Bank staff, Jackson Njagi and Apollo Asol join 'Tupande Pamoja' partners in inspecting Nyamweru Tree Nursery during a monitoring tree session.



NIC Bank Group during the 2010 Mater Heart Run.



NIC Bank Chairman, James Ndegwa, presents a cheque to Bishop Lawi Imathiu in aid of Ebenezer Women's Group that supports Internally Displaced Persons in Meru.

SUSTAINABILITY STATEMENT

Aquinas High School students flanked by their teachers and NIC Bank staff pose for a group photo outside NIC House during the Job Shadow Day organized by Juniour Achievement Kenya .



NIC Bank Group staff pose for a group photo before the start of the 2010 Corporate Challenge.

Mr. Charles Njoroge, the Trust Secretary of Edmund Trust receives a cheque from Yvonne Maranga, Communications & Corporate Affairs Manager, NIC Bank, towards 2010 Education sponsorship for Edmund Trust Kenya, the Trust Coordinator looks on.



NIC Securities General Manager, Allen Mbindyo, and local gospel artiste, Julani present a trophy to NSE Investment Challenge winners, Brief & Smart.

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OUR CORPORATE VALUES

Professionalism

Showing confidence and skill.



Passion

Showing boundless enthusiasm for what you do.



Innovation

Coming up with fresh new ways of doing things.



Integrity

Being honest and having strong moral principles.



Responsiveness

Turnaround time is key – exceed expectations.



REPORT OF THE DIRECTORS

The Board of Directors has pleasure in submitting their report together with the audited financial statements for the year ended 31 December 2010 in accordance with Section 22 of the Banking Act and Section 157 of the Kenyan Companies Act which discloses the state of affairs of the Group and Bank.

1. ACTIVITIES

The principal activities of the Group are the provision of retail and corporate banking, stock brokerage, bancassurance and investment banking services.

2. RESULTS FOR THE YEAR

The profit for the year of Shs 1,863,918,000 (2009: Shs 1,085,718,000) has been added to revenue reserves.

3. DIVIDENDS

An interim dividend of Shs 0.25 per share amounting to Shs 89,749,000 was paid to shareholders on 5 October 2010.

The Board has resolved to recommend to the shareholders at the forthcoming Annual General Meeting, scheduled for 25 May 2011, the payment of a final dividend for the year of Shs 0.25 (2009: Shs 0.25) for every ordinary share of Shs 5.

The dividends will be payable to the shareholders registered on the company's register at the close of business on 7 April 2011 and will be paid on or after 25 May 2011. The register will remain closed on 8 April 2011.

4. BONUS SHARES

Subject to receiving all the regulatory approvals, the Board proposes to issue bonus shares in the ratio of one bonus share for every ten shares held.

5. DIRECTORS

The directors who held office during the year and to date are shown on page 17.

In accordance with articles 108, 109 and 110 of the Articles of Association, A S M Ndegwa, G A Maina and I Ochola - Wilson retire by rotation and, being eligible, offer themselves for re-election.

6. AUDITORS

Deloitte & Touche, having expressed their willingness, will continue in office in accordance with section 159 (2) of the Companies Act and subject to section 24(1) of the Banking Act.

7. APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved and authorised for issue by the Board of Directors on 23 February 2011.

BY ORDER OF THE BOARD

L MURAGE

Group Company Secretary

23 February 2011

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STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and the Bank as at the end of the financial year and of the operating results of the Group for that year. It also requires the directors to ensure that the Bank and its subsidiaries keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the Group and the Bank. They are also responsible for safeguarding the assets of the Group.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and the Bank and of the Group's operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the Bank and its subsidiaries will not remain a going concern for at least the next twelve months from the date of this statement.

J P M NDEGWA
Chairman

J W MACHARIA
Group Managing Director

23 February 2011

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF NIC BANK LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of NIC Bank Limited set out on pages 32 to 102 which comprise the consolidated and Bank statements of financial position as at 31 December 2010, and the consolidated statement of comprehensive income, consolidated and Bank statements of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the Bank and its subsidiaries as at 31 December 2010 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion, proper books of account have been kept by the Bank, so far as appears from our examination of those books; and
- iii) the Bank's statement of financial position (balance sheet) is in agreement with the books of account.

Deloitte & Touche
Certified Public Accountants (Kenya)
23 February 2011
Nairobi

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2010

	Note	2010 Shs'000	2009 Shs'000
Interest income	7	4,943,364	4,425,440
Interest expense	8	(1,543,893)	(2,011,376)
NET INTEREST INCOME		3,399,471	2,414,064
Fee and commission income		683,050	692,271
Fee and commission expense		(54,705)	(34,427)
NET FEE AND COMMISSION INCOME		628,345	657,844
Foreign exchange income	9	547,568	502,475
Other operating income	10	638,096	266,695
OPERATING INCOME		5,213,480	3,841,078
Impairment on loans and advances	11(c)	(316,640)	(463,484)
Employee expenses	12	(1,262,277)	(1,030,159)
Other operating expenses	13	(1,026,171)	(820,642)
OPERATING EXPENSES		(2,605,088)	(2,314,285)
PROFIT BEFORE TAX		2,608,392	1,526,793
Income tax expense	14(a)	(744,474)	(441,075)
PROFIT FOR THE YEAR		1,863,918	1,085,718
OTHER COMPREHENSIVE INCOME:			
Net fair value (loss)/ gain on available for sale investments		(92,441)	8,769
Exchange differences on translation of foreign operation		(38,592)	(32,121)
OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX		(131,033)	(23,352)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		1,732,885	1,062,366
Profit attributable to:			
Owners of the parent		1,817,232	1,079,117
Non-controlling interests		46,686	6,601
		1,863,918	1,085,718
Total comprehensive income attributable to:			
Owners of the parent		1,686,199	1,055,765
Non-controlling interests		46,686	6,601
		1,732,885	1,062,366
EARNINGS PER SHARE			
- BASIC	15	Shs 5.06	Shs 3.01
- DILUTED	15	Shs 5.06	Shs 3.01

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2010

	Note	2010 Shs'000	2009 Shs'000
ASSETS			
Cash and balances with Central Banks	16	4,698,737	3,754,778
Items in the course of collection	17	295,760	197,149
Deposits and balances due from banking institutions	18	6,374,825	4,936,616
Government securities	19	5,074,031	4,332,080
Derivative assets held for risk management	20	3,323	1,400
Loans and advances to customers	21	40,754,979	32,511,082
Other assets	22	214,894	190,522
Current income tax recoverable	14(c)	8,180	70,563
Deferred tax asset	23	11,839	22,342
Other investments	25(a)	51,703	42,998
Property and equipment	26	750,530	798,255
Intangible assets	27	767,496	692,706
Operating lease prepayments	28	7,625	7,750
Total assets		59,013,922	47,558,241
LIABILITIES			
Customer deposits	29	48,492,224	39,514,275
Deposits and balances due to banking institutions	30	733,452	56,767
Line of credit	31	303,284	465,202
Current income tax payable	14(c)	179,344	860
Other liabilities	33	892,194	666,407
Unclaimed dividends	34	50,181	43,825
Deferred tax liability	23	10,014	18,651
Total liabilities		50,660,693	40,765,987
EQUITY			
Capital and reserves attributable to owners of the parent			
Share capital	35(a)	1,794,989	1,631,808
Share premium	35(a)	28,848	192,600
Revaluation surplus on property	35(b)	164,645	169,426
Investments revaluation reserve	35(c)	(96,595)	(4,154)
Foreign currency translation reserve	35(d)	(70,713)	(32,121)
Statutory reserves	35(e)	369,372	293,161
Revenue reserves	35(f)	5,748,216	4,173,753
Total capital and reserves attributable to owners of the parent		7,938,762	6,424,473
Non-controlling interests	36(c)	414,467	367,781
Total equity		8,353,229	6,792,254
Total liabilities and equity		59,013,922	47,558,241

The financial statements on pages 32 to 102 were approved and authorised for issue by the Board of Directors on 23 February 2011 and were signed on its behalf by:

J P M NDEGWA
(Chairman)

F N MWANZIA
(Director)

J W MACHARIA
(Group Managing Director)

L MURAGE
(Group Company Secretary)

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BANK STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2010

	Note	2010 Shs'000	2009 Shs'000
ASSETS			
Cash and balances with Central Bank of Kenya	16	4,064,614	3,272,688
Items in the course of collection	17	285,701	155,876
Deposits and balances due from banking institutions	18	4,611,935	4,056,301
Government securities	19	4,846,408	3,858,103
Derivative assets held for risk management	20	3,323	1,400
Loans and advances to customers	21	38,340,879	31,133,484
Other assets	22	168,826	155,003
Current income tax recoverable	14(c)	-	37,334
Due from Group companies	24	481,712	2,346
Investments in subsidiary companies	25(b)	1,147,786	1,147,786
Property and equipment	26	688,266	769,349
Intangible assets	27	129,357	57,893
Operating lease prepayments	28	7,625	7,750
Total assets		54,776,432	44,655,313
LIABILITIES			
Customer deposits	29	45,317,661	36,977,360
Deposits and balances due to banking institutions	30	101,479	-
Line of credit	31	303,284	465,202
Amounts due to Group companies	32	264,818	224,090
Current income tax payable	14(c)	174,215	-
Other liabilities	33	658,926	492,223
Unclaimed dividends	34	50,181	43,825
Deferred tax liability	23	10,014	18,651
Total liabilities		46,880,578	38,221,351
EQUITY			
Share capital	35(a)	1,794,989	1,631,808
Share premium	35(a)	28,848	192,600
Revaluation surplus on property	35(b)	164,645	169,426
Investments revaluation reserve	35(c)	(96,595)	-
Statutory reserve	35(e)	366,056	286,086
Revenue reserves	35(f)	5,637,911	4,154,042
Total equity		7,895,854	6,433,962
Total liabilities and equity		54,776,432	44,655,313

The financial statements on pages 32 to 102 were approved and authorised for issue by the Board of Directors on 23 February 2011 and were signed on its behalf by:

J P M NDEGWA
(Chairman)

F N MWANZIA
(Director)

J W MACHARIA
(Group Managing Director)

L MURAGE
(Group Company Secretary)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2010

	Non distributable				Distributable					
	Share capital Shs'000	Share premium Shs'000	Revaluation surplus on property Shs'000	Investments revaluation reserve Shs'000	Foreign currency translation reserve Shs'000	Statutory reserves Shs'000	Revenue reserves Shs'000	Capital and reserves attributable to owners of the parent Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Note										
At 1 January 2009	1,483,462	340,946	174,207	(12,923)	-	284,696	3,254,083	5,524,471	41,279	5,565,750
Profit for the year	-	-	-	-	-	-	1,079,117	1,079,117	6,601	1,085,718
Other comprehensive income for the year:										
Exchange differences on translation of foreign operation	-	-	-	-	(32,121)	-	-	(32,121)	-	(32,121)
Revaluation of available - for - sale financial assets	-	-	-	8,769	-	-	-	8,769	-	8,769
Total comprehensive income for the year	-	-	-	8,769	(32,121)	-	1,079,117	1,055,765	6,601	1,062,366
Transfer of excess depreciation	-	-	(6,830)	-	-	-	6,830	-	-	-
Deferred tax on excess depreciation	-	-	2,049	-	-	-	(2,049)	-	-	-
Transfer to statutory reserve	-	-	-	-	-	1,390	(1,390)	-	-	-
Bonus issue of shares	148,346	(148,346)	-	-	-	-	-	-	-	-
Acquisition of subsidiary	-	-	-	-	-	7,075	(7,075)	-	319,901	319,901
Dividends paid:										
- Final for 2008	-	-	-	-	-	-	(74,173)	(74,173)	-	(74,173)
- Interim 2009	-	-	-	-	-	-	(81,590)	(81,590)	-	(81,590)
At 31 December 2009	1,631,808	192,600	169,426	(4,154)	(32,121)	293,161	4,173,753	6,424,473	367,781	6,792,254
At 1 January 2010	1,631,808	192,600	169,426	(4,154)	(32,121)	293,161	4,173,753	6,424,473	367,781	6,792,254
Profit for the year	-	-	-	-	-	-	1,817,232	1,817,232	46,686	1,863,918
Other comprehensive income for the year:										
Exchange differences on translation of foreign operation	-	-	-	-	(38,592)	-	-	(38,592)	-	(38,592)
Fair value gain on available-for- sale financial assets	-	-	-	(92,441)	-	-	-	(92,441)	-	(92,441)
Total comprehensive income for the year	-	-	-	(92,441)	(38,592)	-	1,817,232	1,686,199	46,686	1,732,885
Transfer of excess depreciation	-	-	(6,830)	-	-	-	6,830	-	-	-
Deferred tax on excess depreciation	-	-	2,049	-	-	-	(2,049)	-	-	-
Transfer to statutory reserve	-	-	-	-	-	76,211	(76,211)	-	-	-
Bonus issue of shares	163,181	(163,181)	-	-	-	-	-	-	-	-
Bonus share issue expenses	-	(571)	-	-	-	-	-	(571)	-	(571)
Dividends paid:										
- Final for 2009	-	-	-	-	-	-	(81,590)	(81,590)	-	(81,590)
- Interim 2010	-	-	-	-	-	-	(89,749)	(89,749)	-	(89,749)
At 31 December 2010	1,794,989	28,848	164,645	(96,595)	(70,713)	369,372	5,748,216	7,938,762	414,467	8,353,229

BANK STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2010

	Note	Non distributable			Distributable			Total equity Shs'000
		Share capital Shs'000	Share premium Shs'000	Revaluation surplus on property Shs'000	Investments revaluation reserve Shs'000	Statutory reserve Shs'000	Revenue reserves Shs'000	
At 1 January 2009		1,483,462	340,946	174,207	-	284,696	3,245,831	5,529,142
Profit for the year		-	-	-	-	-	1,060,583	1,060,583
Total comprehensive income for the year		-	-	-	-	-	1,060,583	1,060,583
Transfer of excess depreciation		-	-	(6,830)	-	-	6,830	-
Deferred tax on excess depreciation		-	-	2,049	-	-	(2,049)	-
Transfer to statutory reserve	35(e)	-	-	-	-	1,390	(1,390)	-
Bonus issue of shares	35(a)	148,346	(148,346)	-	-	-	-	-
Dividends paid:		-	-	-	-	-	-	-
- Final for 2008	34	-	-	-	-	-	(74,173)	(74,173)
- Interim 2009	34	-	-	-	-	-	(81,590)	(81,590)
At 31 December 2009		1,631,808	192,600	169,426	-	286,086	4,154,042	6,433,962
At 1 January 2010		1,631,808	192,600	169,426	-	286,086	4,154,042	6,433,962
Profit for the year		-	-	-	-	-	1,730,397	1,730,397
Fair value gain on available-for-sale financial assets		-	-	-	(96,595)	-	-	(96,595)
Total comprehensive income for the year		-	-	-	(96,595)	-	1,730,397	1,633,802
Transfer of excess depreciation		-	-	(6,830)	-	-	6,830	-
Deferred tax on excess depreciation		-	-	2,049	-	-	(2,049)	-
Transfer to statutory reserve	35(e)	-	-	-	-	79,970	(79,970)	-
Bonus issue of shares	35(a)	163,181	(163,181)	-	-	-	-	-
Bonus share issue expenses	35(a)	-	(571)	-	-	-	-	(571)
Dividends paid:		-	-	-	-	-	-	-
- Final for 2009	34	-	-	-	-	-	(81,590)	(81,590)
- Interim for 2010	34	-	-	-	-	-	(89,749)	(89,749)
At 31 December 2010		1,794,989	28,848	164,645	(96,595)	366,056	5,637,911	7,895,854

CONSOLIDATED STATEMENT OF CASH FLOW FOR THE YEAR ENDED 31 DECEMBER 2010

	Note	2010 Shs'000	2009 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from /(used in) operations	38(a)	2,093,270	(170,537)
Income tax paid	14(c)	(502,270)	(628,810)
Net cash generated from /(used in) operating activities		1,591,000	(799,347)
CASH FLOWS FROM INVESTING ACTIVITIES			
Cash outflow on acquisition of subsidiary	36(a)	-	(14,949)
Acquisition of subsidiary, net of cash acquired	36(b)	-	1,092,192
Purchase of equipment	26	(102,043)	(220,564)
Purchase of intangible assets- work in progress	27(a)	(45,876)	-
Purchase of intangible assets	27(a)	(55,481)	(37,225)
Proceeds from sale of equipment	38(c)	2,402	2,676
Net cash (used in)/generated from investing activities		(200,998)	822,130
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividends paid	34	(164,983)	(148,490)
Bonus share issue expenses paid	35(a)	(571)	-
Net cash used in financing activities		(165,554)	(148,490)
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS		1,224,448	(125,707)
CASH AND CASH EQUIVALENTS AT 1 JANUARY		7,087,017	7,259,286
Effect of foreign exchange rate changes		(56,881)	(46,562)
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	38(b)	8,254,584	7,087,017

NOTES TO THE FINANCIAL STATEMENTS

1) Reporting Entity

NIC Bank Limited (The "Bank / Parent") and its subsidiaries (together, the Group) provide retail, corporate banking, brokerage, bancassurance and investment banking services. NIC Bank Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The Bank's shares are listed on the Nairobi Stock Exchange (NSE). NIC Bank Limited and its subsidiaries operate in Kenya and in Tanzania through its subsidiary NIC Bank Tanzania Limited (formerly Savings & Finance Commercial Bank Limited).

The address of its registered office is as follows:

LR Plot No.8182
NIC House, Masaba Road,
P O Box 44599
Nairobi-GPO 00100

2) Adoption of new and revised International Financial Reporting Standards (IFRSs)

a) New standards and amendments to published standards effective for the year ended 31 December 2010

Amendments and revised standards	Effective for annual periods beginning on or after
IFRS 1, First-time adoption of International Financial Reporting Standards – revised and restructured	1 July 2009
IFRS 1, First-time adoption of International Financial Reporting Standards – amendments relating to oil and gas assets and determining whether an arrangement contains a lease	1 January 2010
IFRS 2, Share-based payment – amendments relating to group cash-settled share-based payment transactions	1 January 2010
IFRS 3 (Revised 2008), Business Combinations – comprehensive revision on applying the acquisition method	1 July 2009
IAS 27, Consolidated and Separate Financial Statements; IAS 28, Investments in Associates; and IAS 31, Interests in Joint Ventures – consequential amendments arising from amendments to IFRS 3	1 July 2009
IAS 39, Financial Instruments: Recognition and Measurement amendments for eligible hedged items	1 July 2009
Various improvements resulting from May 2008, April 2009 and May 2010 Annual Improvements to IFRSs	1 July 2009 and 1 January 2010
New interpretations	
IFRIC 17, Distributions of Non-cash Assets to Owners	1 July 2009
IFRIC 18, Transfers of Assets from Customers	Transfers received on or after 1 July 2009

NOTES TO THE FINANCIAL STATEMENTS (continued)

2) Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

b) *New and amended standards and interpretations in issue but not yet effective in the year ended 31 December 2010*

<i>New and Amendments to standards</i>	<i>Effective for annual periods beginning on or after</i>
IFRS 1, First-time Adoption of International Financial Reporting Standards – limited exemption from comparative IFRS 7 disclosures for first-time adopters	1 July 2010
IFRS 1, First-time Adoption of International Financial Reporting Standards – replacement of 'fixed dates' for certain exceptions with the date of transition to IFRSs; and additional exemption for entities ceasing to suffer from severe hyperinflation	1 July 2011
IFRS 7, Financial Instruments: Disclosures – amendments enhancing disclosures about transfers of financial assets	1 January 2011
IFRS 9, Financial Instruments – Classification and Measurement	1 January 2013
IAS 12, Income Taxes – limited scope amendment (recovery of underlying assets)	1 January 2012
IAS 24, Related Party Disclosures – revised definition of related parties	1 January 2011
Various improvements resulting from May 2010 Annual Improvements to IFRSs	1 July 2010 and 1 January 2011
IAS 32, Financial Instruments: Presentation – amendments relating to classification of rights issues	1 February 2010
<i>New interpretation</i>	
IFRIC 19, Extinguishing Financial Liabilities with Equity Instruments	1 July 2010

c) *Impact of new and amended standards and interpretations on the financial statements for the year ended 31 December 2010 and future annual periods*

IFRS 3, 'Business combinations' effective 1 July 2009

The revised standard continues to apply the acquisition method to business combinations, with some significant changes. For example, all payments to purchase a business are to be recorded at fair value at the acquisition date, with contingent payments classified as debt subsequently re-measured through the profit or loss. There is a choice, on an acquisition-by-acquisition basis, to measure the non-controlling interest in the acquiree either at fair value or at the non-controlling interest's proportionate share of the acquiree's net assets. All acquisition-related costs should be expensed. The Group adopted IFRS 3 (Revised) prospectively to business combinations occurring for the period beginning on or after 1 July 2009.

IAS 27, 'Consolidated and separate financial statements' effective 1 July 2009

The revised standard requires the effects of all transactions with non-controlling interests to be recorded in equity if there is no change in control and these transactions will no longer result in goodwill or gains and losses. The standard also specifies the accounting treatment when control is lost; any remaining interest in the entity is re-measured to fair value, and a gain or loss is recognised in profit or loss. The Group adopted IAS 27 (revised) prospectively to transactions with non-controlling interests from 1 January 2010. In the future, this guidance will also tend to produce higher volatility in equity and/or earnings in connection with the acquisition of interests by the Group.

NOTES TO THE FINANCIAL STATEMENTS (continued)

2) Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

c) Impact of new and amended standards and interpretations on the financial statements for the year ended 31 December 2010 and future annual periods (continued)

IFRS 9, Financial Instruments

IFRS 9 Financial Instruments, issued in November 2009 and amended in October 2010, introduces new requirements for the classification and measurement of financial assets and financial liabilities and for derecognition.

- IFRS 9 requires all recognised financial assets that are within the scope of IAS 39, Financial Instruments: Recognition and Measurement, to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair values at the end of subsequent accounting periods.
- The most significant effect of IFRS 9 regarding the classification and measurement of financial liabilities relates to the accounting for changes in fair value of a financial liability (designated as at fair value through profit or loss) attributable to changes in the credit risk of that liability. Specifically, under IFRS 9, for financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Previously, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as at fair value through profit or loss was recognised in profit or loss.

IFRS 9 is effective for annual periods beginning on or after 1 January 2013, with earlier application permitted.

The directors anticipate that IFRS 9 will be adopted in the Group's consolidated financial statements for the annual period beginning 1 January 2013 and that the application of the new Standard will not have a significant impact on amounts reported in respect of the Groups' financial assets and financial liabilities.

IAS 24 Related Party Disclosures (as revised in 2009)

This modifies the definition of a related party and simplifies disclosures for Government-related entities.

The disclosure exemptions introduced in IAS 24 (as revised in 2009) do not affect the Group because the Group is not a Government-related entity. However, disclosures regarding related party transactions and balances in these consolidated financial statements may be affected when the revised version of the Standard is applied in future accounting periods because some counterparties that did not previously meet the definition of a related party may come within the scope of the Standard.

The amendments to IAS 32 titled Classification of Rights Issues

These address the classification of certain rights issues denominated in a foreign currency as either an equity instrument or as a financial liability. To date, the Group has not entered into any arrangements that would fall within the scope of the amendments. However, if the Group does enter into any rights issues within the scope of the amendments in future accounting periods, the amendments to IAS 32 will have an impact on the classification of those rights issues.

NOTES TO THE FINANCIAL STATEMENTS (continued)

2) Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

c) Impact of new and amended standards and interpretations on the financial statements for the year ended 31 December 2010 and future annual periods (continued)

IFRIC 19, Extinguishing Financial Liabilities with Equity Instruments

This provides guidance regarding the accounting for the extinguishment of a financial liability by the issue of equity instruments. To date, the Group has not entered into transactions of this nature. However, if the Group does enter into any such transactions in the future, IFRIC 19 will affect the required accounting. In particular, under IFRIC 19, equity instruments issued under such arrangements will be measured at their fair value, and any difference between the carrying amount of the financial liability extinguished and the fair value of equity instruments issued will be recognised in profit or loss.

Amendments to IAS 1 Presentation of Financial Statements (as part of Improvements to IFRSs issued in 2010)

The amendments to IAS 1 clarify that an entity may choose to present the required analysis of items of other comprehensive income either in the statement of changes in equity or in the notes to the financial statements. The amendment is effective for annual periods beginning on or after 1 January 2011. The Group will apply this amendment prospectively. The directors, however, anticipate no material impact to the Group financial statements.

(d) Early adoption of standards

The Group did not early-adopt any new or amended standards in 2010.

3) Summary of significant accounting policies

a) Statement of compliance

The Group's consolidated financial statements for the year 2010 have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB). Additional information required by the regulatory bodies is included where appropriate.

For the Kenyan Companies Act reporting purposes, in these financial statements the balance sheet is represented by/is equivalent to the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

b) Basis of preparation

The consolidated financial statements have been prepared on the historical cost basis of accounting except for certain properties that are measured at revalued amounts and the following financial instruments, measured at fair value:

- Derivative financial instruments
- Financial instruments at fair value through profit & loss
- Available for sale financial assets

c) Presentation of financial statements

The consolidated financial statements comprise of consolidated statement of comprehensive income, the consolidated and Bank statements of financial position, consolidated and Bank statements of changes in equity, the consolidated statement of cash flows and the notes to the financial statements.

The Group classifies its expenses by the nature of expense methodology.

The disclosures on risks from financial instruments are presented in the financial risk management report contained in note 4.

The consolidated statement of cash flows shows the changes in cash and cash equivalents arising during the period from operating activities, investing activities and financing activities.

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

d) Foreign currencies

I. Functional and presentation currency

The financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings, which is the Bank's functional and presentational currency.

Except as indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand.

II. Transactions and balances

Foreign currency transactions that are transactions denominated, or that require settlement, in a foreign currency are translated into the functional currency using the exchange rates prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised through profit or loss.

III. Group companies

The results and financial position of Group entities that have a functional currency different from the presentation currency are retranslated into the presentation currency as follows:

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group's foreign operations are expressed in Kenyan shillings using exchange rates prevailing at the end of the reporting period. Income and expense items for each profit or loss are retranslated at average exchange rates for the period.

Exchange differences arising from the above process are reported as 'exchange differences on transactions of foreign operations' and are recognised in other comprehensive income and accumulated in the foreign currency translation reserve in equity.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets of the foreign entity and translated at the ruling rate at the end of the reporting period.

e) Use of estimates and judgements

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates and assumptions. It also requires management to exercise its judgement in the process of applying the Group's accounting policies.

Significant assumptions and estimates to the financial statements and areas involving a higher degree of judgement or complexity are disclosed in note 5.

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

f) Basis of consolidation

Business combinations

The consolidated financial statements incorporate the financial statements of the Bank and all its subsidiaries for the year ended 31 December, 2010. A list of the Bank's subsidiaries is set out in note 25(b).

Subsidiaries are those companies in which the Bank either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations of the entities. Subsidiaries are included in the consolidated financial statements from the date the Group gains effective control. Entities controlled by the Group are consolidated until the date that control ceases.

Intra-group balances and any unrealised income and expenses arising from intra-group transactions are eliminated in preparing the consolidated financial statements.

The acquisition method of accounting is used when subsidiaries are acquired by the Group. The cost of an acquisition in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the consideration transferred to the Group, liabilities incurred by the Group to the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss as incurred.

At the acquisition date, the acquired identifiable assets and the liabilities assumed are general measured and recognized at their fair value.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the Group's previously held equity interest in the acquiree (if any), over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed.

In the event that the amounts of net assets acquired is in excess of the aggregate of the consideration transferred, the amount of non-controlling interest and the fair value of Group's previously held equity interest, the difference is recognised immediately in the profit or loss as a bargain purchase.

In a business combination achieved in stages, the previously held equity interest is re-measured at the acquisition-date fair value with the resulting gain or loss recognised in the profit or loss. Changes in the Group's ownership interest in a subsidiary that do not result in a loss of control are treated as transactions between equity holders and are reported in equity.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

g) Income recognition

1. Interest income and expenses

Interest income and expense for all interest bearing financial instruments are recognised within the statement of comprehensive income on accrual basis using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial instruments (or, where appropriate, a shorter period) to the carrying amount of the financial instruments. The effective interest rate is established on initial recognition of the financial instrument.

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

g) Income recognition (continued)

I. Interest income and expenses (continued)

The calculation of the effective interest rate includes all fees and points paid or received transaction costs, and discounts or premiums that are an integral part of the effective interest rate. Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial instrument.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognised using the rate of interest that was used to discount the future cash flows for purposes of measuring the allowance for impairment.

II. Fee and commission income and expenses

In the normal course of business, the Group earns fees and commission income from a diverse range of services to its customers. Fees and commission income and expenses that are integral to the effective interest rate on a financial instrument are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, investment management fees, placement fees, brokerage fees, bancassurance fees, and syndication fees, are recognised as the related services are performed. When a loan commitment is not expected to result in the draw-down of a loan, loan commitment fees are recognised on a straight-line basis over the commitment period.

Other fees and commission expense relates mainly to transaction and service fees, which are incurred as the services are received.

III. Net trading income

Net trading income arises from the margins which are achieved through market-making and customer business and from changes in market value caused by movements in interest and exchange rates, equity prices and other market variables. Trading positions are held at fair value and the resulting gains and losses are included in profit or loss, together with those arising from the long and short positions and funding costs relating to trading activities.

h) Financial instruments

I. Recognition

The Group initially recognises loans and advances, deposits and debt securities issued on the date that they are originated. All other financial instruments are initially recognised on the trade date at which the Group becomes a party to the contractual provisions of the instrument.

II. Classification

1. Financial assets

The Group classifies its financial assets into the following categories:

- Financial assets at fair value through profit or loss
- Loans, advances and receivables
- Held-to-maturity investments
- Available for sale financial assets

Management determines the appropriate classification of its investments at initial recognition.

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

h) Financial instruments (continued)

II. Classification (continued)

1. Financial assets (continued)

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets classified as held for trading and those designated at fair value through profit or loss at inception.

A financial asset is classified as held for trading if acquired principally for the purpose of selling in the short term. Derivatives are also categorised as held for trading unless they are designated and effective as hedging instruments. Financial instruments included in this category are recognised initially at fair value, transactions costs are taken directly to profit or loss. Gains and losses arising from changes in fair value are included directly in profit or loss.

The Group designates certain financial assets upon initial recognition at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- the application of the fair value option reduces or eliminates an accounting measurement mismatch or
- the financial assets are part of a portfolio of financial instruments which are risk managed and reported to senior management on a fair value basis.

Financial assets for which the fair value option is applied are recognised in the statement of financial position as 'Financial assets designated at fair value'. Fair value changes relating to financial assets designated at fair value through profit or loss are recognised in 'Net gains on financial instruments designated at fair value through profit or loss'.

Loans, advances and receivables

Loans and advances to customers and trade receivables are non-derivative financial assets with fixed or determinable payments and fixed maturities that are not quoted in an active market and which the Group does not intend to sell immediately or in the near term. Loans and advances to customers are recognised when cash is advanced to borrowers.

Held-to-maturity

These are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group has the positive intention and ability to hold to maturity. Where a sale occurs, other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.

Available-for-sale financial assets

Available-for-sale financial assets are assets that are intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices or that are not classified as (a) financial assets at fair value through profit or loss, (b) loans, advances and receivables, or (c) financial assets held to maturity.

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

h) Financial instruments (continued)

II. Classification (continued)

1. Financial assets (continued)

Available-for-sale financial assets (continued)

Available for sale financial assets are initially recognised at fair value and measured subsequently at fair value with gains and losses being recognised in other comprehensive income and accumulated in the investments revaluation reserve with the exception of:

- impairment losses
- interest calculated using the effective interest rate method
- foreign exchange gains and losses on monetary assets which are recognised in profit or loss

2. Financial liabilities

Financial liabilities are measured at amortised cost and include deposits from banks or customers, trade payables in the brokerage and lines of credit for which the fair value option is not applied.

III. Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers substantially all the risks and rewards of ownership incidental to the financial asset. A financial liability is derecognised when its contractual obligations are redeemed or otherwise extinguished.

IV. Measurement

Financial instruments are initially recognised at fair value plus transaction costs.

Financial assets at 'fair value through profit and loss' are subsequently carried at fair value. Gains and loss arising from changes in the fair value in those assets are recognised in profit or loss.

Gains and losses arising from changes in the fair value of 'available-for-sale financial assets' are recognised in the statement of comprehensive income in the period in which they arise and accumulated in the investment revaluation reserves.

When securities classified as available-for-sale are sold or impaired, the accumulated fair value adjustments previously recognised in the investment revaluation reserves are reclassified to profit or loss.

Dividends on available-for-sale equity instruments are recognised in profit or loss as part of other income when the Group's right to receive payments is established.

The fair values of quoted investments are based on current bid prices. If the market for a financial asset is not active (and for unquoted securities), the Group establishes fair value by using valuation techniques that include the use of most recent arm's length transactions.

Loans, advances and receivables and held to maturity investments are carried at amortised cost using the effective interest rate method.

Financial liabilities are subsequently measured at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

h) Financial instruments (continued)

V. Impairment of financial assets

1. Amounts carried at amortised costs

The Group reviews regularly, on a case-by-case basis, whether any objective evidence exists of impairment, individually for financial assets that are significant and individually or collectively for financial assets that are not individually significant. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Loans, advances and receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for impairment of loans, advances and receivables is established when there is objective evidence that the Group will not be able to collect all amounts due according to the original terms of the receivables. The amount of provision is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account, and the amount of the loss is recognised in the profit or loss as 'impairment loss on loans and receivables'. When a loan or receivable is uncollectible, it is written off against the related allowance account. Subsequent recoveries of amounts previously written off are credited through profit or loss.

Objective evidence that loans, advances and receivables are impaired can include significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments (more than 30 days overdue), the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the Group, or economic conditions that correlate with defaults in the Group are considered indicators that the loans, advances or receivables are impaired.

In assessing impairment losses, the Group considers the following factors, in each category:

(i) Individually assessed loans

- The aggregate exposure to the Group
- The viability of the customer's business model and its capacity to trade successfully out of financial difficulties and generate sufficient cash flows to meet its debt obligations
- The realisable value of the security (or other mitigants) and likelihood of successful repossession net of any costs involved in recovery of amounts
- The amount and timing of expected receipts and, in cases of liquidation or bankruptcy, dividend available
- The extent and complexity of other creditors commitment ranking pari passu with the Group and the likelihood of other creditors continuing to support the customer

(ii) Collectively assessed

- For loans not subject to individual assessment, to cover losses which have been incurred but have not yet been identified
- For homogeneous groups of loans that are not considered individually significant, where there is objective evidence of impairment

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

h) Financial instruments (continued)

V. Impairment of financial assets (continued)

1. Amounts carried at amortised costs (continued)

Homogeneous groups of loans

For homogeneous groups of loans that are not considered individually significant, or in other cases, when the portfolio size is small or when information is insufficient or not reliable enough, the Group adopts a formulaic approach which allocates progressively higher percentage loss rates in line with the period of time for which a customer's loan is overdue. Loss rates are calculated from the discounted expected future cash flows from a portfolio. These rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure they remain appropriate.

Loan write – offs

An uncollectible loan is written off against the relevant provision for impairment, either partially or in full, when there is no realistic prospect of recovery and the proceeds from realising the security have been substantially or fully recovered.

Restructured loans

Restructured loans, whose terms have been renegotiated are no longer considered to be past due but are treated as new loans after the minimum required number of payments under the new arrangement have been received.

2. Amounts classified as available for sale

In the case of financial assets classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is considered as an indicator that the securities are impaired. If any such evidence exists for available-for-sale financial assets, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from other comprehensive income and recognised in profit or loss. Impairment losses recognised in profit or loss on equity instruments are not reversed through profit or loss.

i) Impairment of non financial assets

At the end of each reporting period, the Group reviews the carrying amount of its intangible assets to determine whether there is any indication that these assets have suffered an impairment loss.

If objective evidence of impairment losses exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the profit or loss. In cases where the asset is carried at revalued amount, the impairment loss is treated as a revaluation decrease.

In determining the recoverable amount, the Group considers the higher of the fair value of the asset less costs to sell, and value in use. In estimating value in use, the Group is cognisant of the estimated future cash flows discounted to the present value using a pre-tax discount rate that is reflective of the current market assessment of time value of money and the risks specific to the asset itself.

Intangible assets with indefinite useful life are tested for impairment annually, and when there is indication that the asset may be impaired.

Where impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised, unless such asset is carried at revalued amount, in which case the reversal of the impairment loss is treated as revaluation income.

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

j) Offsetting

Financial instruments are set off and the net amount reported in the statement of financial position when there is a legal right to set off the amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

k) Employee expenses

I. Retirement benefit obligations

The Group operates a defined contribution plan under which the Group pays fixed contributions into a separate entity. The Group has no obligation, legal or constructive, to pay further contributions if the scheme does not have sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The assets of the scheme are held in a separate trustee administered fund, which is funded by contributions from both the Group and the employees.

In addition, the Group also contributes to the National Social Security Fund in Kenya and Parastatal Pension Fund in Tanzania, which are defined contribution scheme registered under respective Acts of Parliament in the respective countries.

The Group's contributions to the defined contribution schemes are charged to the profit or loss in the year in which they relate.

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

II. Short-term benefits

Short-term employee benefit obligations (e.g medical reimbursements and insurance) are measured on an undiscounted basis and are expensed as the related service is provided.

The monetary benefits in respect of employee accrued leave entitlement at the reporting date are recognised as an expense accrual.

l) Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised on straight line basis over the period of the lease.

m) Income tax expense

Income tax expense comprises current and deferred tax. Current tax is the expected tax payable on the taxable profit for the year, using currently enacted tax rates.

The current income tax charge is calculated on the basis of tax laws enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation.

Management establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities. Deferred tax is provided using the liability method, for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Currently enacted tax rates are used to determine deferred tax.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

n) Earnings per share

The Group presents basic and diluted earnings per share (EPS) in the financial statements. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding adjusted for the effects of all potentially dilutive ordinary shares.

o) Dividends on ordinary shares

Dividends are charged to equity in the period in which they are declared. Proposed dividends are not accrued until they have been ratified at the Annual General Meeting.

p) Cash and cash equivalents

Cash and cash equivalents comprise balances with less than three months' maturity from the date of acquisition. These includes notes and coins on hand, unrestricted balances held with Central Banks, items in the course of collection from other banks, deposits held at call with banks and treasury bills with original maturities of less than three months. Such assets are generally subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

q) Leases

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of an asset to the lessee, the arrangement is classified as a finance lease within loans, advances and receivables. All other lessees are classified as operating leases.

Minimum lease payments made under finance leases are apportioned between the finance income and the reduction of the outstanding principal. The finance income is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the asset.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease.

Rentals payable under operating leases are charged to profit or loss over the terms of the relevant lease.

r) Repurchase agreements

When the Group purchases a financial asset and simultaneously enters into an agreement to re-sell the asset (or a substantially similar asset) at a fixed price on a future date ('reverse repo or stock borrowing'), the arrangement is accounted for as a loan, advances or receivable, and the underlying asset is not recognised in the Group's financial statements.

s) Property and equipment

I. Recognition and measurement

Items of fixtures and equipment are stated at historical cost less accumulated depreciation. Buildings comprising mainly of the head office are stated in the statement of financial position at their revalued amounts, being the fair value at the date of revaluation, less any subsequent accumulated depreciation.

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to a working condition for its intended use. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items of property and equipment.

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

s) Property and equipment (continued)

II. Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are charged to profit or loss for the year as incurred.

In relation to buildings, revaluations are performed with sufficient regularity such that the carrying amounts do not differ materially from those that would be determined using fair value at the reporting date. Any increase arising on the revaluation is recognised in other comprehensive income and accumulated in the revaluation surplus on property. Decreases that offset previous increases of the same asset are recognised in other comprehensive income and charged against the revaluation surplus on property; all other decreases are charged to the profit or loss for the year.

The gain or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the profit or loss for the year.

III. Depreciation

Depreciation is calculated on a straight-line basis to allocate the costs or revalued amounts over their estimated useful lives as follows:

Buildings	2.5%
Furniture, fittings and equipment	20.0%
Motor vehicles	20.0%
Computers	33.3%

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus to revenue reserves.

t) Intangible assets

I. Goodwill

Goodwill arises on business combinations through acquisition of subsidiaries when the cost of acquisition exceeds the fair value of the Group's share of the identifiable assets, liabilities and contingent liabilities acquired. If the Group's interest in the fair value of the identifiable assets, liabilities and contingent liabilities of an acquired business is greater than the cost to acquire, the excess is recognised immediately in profit or loss.

Goodwill is allocated to cash-generating units for the purpose of impairment testing, which is undertaken at the lowest level at which goodwill is monitored for internal management purposes. Impairment testing is performed at least once annually, and whenever there is an indication that the cash-generating unit may be impaired, by comparing the present value of the expected future cash flows from a business with the carrying value of its net assets, including attributable goodwill. Goodwill is stated at cost less accumulated impairment losses which are charged to profit or loss.

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

t) Intangible assets (continued)

II. Computer software

Acquired computer software and related licences are stated at cost less accumulated amortisation. Subsequent expenditure on software products is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred. Where software is not an integral part of the related hardware it is recognised as an intangible asset.

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use. The estimate useful life of software is three to five years.

III. License

Separately acquired licences in business combination are initially recognised at their fair value at the acquisition date (which is regarded as cost). Licences with an indefinite useful life are not amortised and are reviewed at each reporting date to determine whether events and circumstances continue to support an indefinite useful life assessment of the asset. Where the Group re-assesses the useful life of an intangible asset as finite rather than indefinite, the asset may be considered to be impaired. The Group tests the asset for impairment annually and whenever there is an indication that the intangible asset may be impaired by comparing its recoverable amount, with the carrying amount and recognising any excess of the carrying amount over the recoverable amount as an impairment in profit or loss.

u) Legal and other claims

Provisions for legal claims are recognised when the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

v) Share capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, from the proceeds.

w) Statutory reserve

IAS 39 requires the Group to recognise an impairment loss when there is objective evidence that loans, advances and receivables are impaired. However, prudential guidelines issued by banking regulators require the Group to set aside amounts for impairment losses on loans, advances and receivables based on their guidelines. Extra losses over and above those already recognised under IAS 39 are accumulated under statutory reserves through appropriations of revenue reserves.

x) Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds are generally given by the Group to support performance by a customer to third parties. The Group will only be required to meet these obligations in the event the customer defaults. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

y) Fiduciary activities

The Group provides custody, trustee, corporate administration and advisory services to third parties, which involve the Group making allocation and purchase and sale decisions in relation to a wide range of financial instruments. Those assets that are held in a fiduciary capacity are not included in these financial statements. Some of these arrangements involve the Group accepting targets for benchmark levels of returns for the assets under the Group's care.

NOTES TO THE FINANCIAL STATEMENTS (continued)

3) Summary of significant accounting policies (continued)

z) Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker (Group management). The management then allocates resources to each operating segment of the Group and assesses their performance. The operating segments are based on the Group's management and internal reporting structure. In accordance with IFRS 8 the Group has the following business segments; corporate and institutional banking, treasury dealing and brokerage, retail banking, asset finance and investment banking and others (see note 6).

aa) Comparatives

Except otherwise required, all amounts are reported or disclosed with comparative information. Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

4) Financial risk management objectives

Group risk management framework and governance structures

Risk management overview

In the financial services sector, sustainable growth in profitability involves selectively taking and managing risks. Our goal is to earn, on behalf of our Group stakeholders, an optimal, stable and sustainable rate of return for every Shilling of risk we take, while continually investing in the business to meet our future growth objectives. Risk management resources and processes are designed to identify, understand, measure and report risks that our businesses are exposed to, and develop governance, controls, and risk management frameworks necessary to mitigate these risks as appropriate. These resources and processes are strengthened by our culture which emphasises transparency and accountability for managing risk.

The Group defines risk as an event or events of uncertainty which can be caused by internal or external factors resulting in the possibility of losses (downside risk). However, the Group appreciates that some risk events may result into opportunities (upside risk) and should therefore be actively sought and enhanced.

The Group operates in an environment of numerous risks as shown below that may cause financial and non-financial results to differ significantly from anticipated objectives. The Group has an enterprise-wide approach to the identification, measurement, monitoring and management of risks faced across the organisation. These risks are classified as follows:

Financial risks:

- Credit & counterparty risk
- Liquidity & funding risk
- Market risks that are further classified into:
 - Interest rate risk
 - Foreign exchange risk
 - Price risk

How we manage risk

The Group's management of risk is integrated with the strategic agenda and closely tied to capitalisation levels of the Group. This is intended to align risks incurred in pursuit of strategic objectives to shareholder expectations and acceptable international best practices. Through an enterprise – wide integrated risk management framework, the Group has embedded a strong risk management culture and ensures its alignment with strategic goals.

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

How we manage risk (continued)

The is governed by the following complementary risk principles:

- i. Enterprise-wide in scope – Risk management spans all areas of the Group's activities, including strategic alliances, and all boundaries, both geographic and regulatory
- ii. Enhanced accountability – Risks are explicitly owned, understood and actively managed by the business units' management and all employees, individually and collectively
- iii. Independent oversight – Risk policies, procedures and reporting will be established independently and objectively
- iv. Integrated risk and control culture – Risk management discipline will be integrated into the daily routines, decision-making and strategy of the Group
- v. Attainment of strategic balance – Risk will be managed to an acceptable level of exposure, recognising the need to enhance shareholder value whilst protecting shareholder equity and other stakeholders at all times
- vi. Transparent and effective communication – Matters related to risk will be communicated and escalated in a timely, accurate and forthright manner

The Group's risk management approach is comprehensive, proactive and continuous. It combines the experience and specialised knowledge of individual business units, risk professionals, and the corporate oversight functions. In managing risk, the Group:

- a) Defines acceptable risk appetite within a comprehensive framework, through the determination and maintenance of appropriate risk management policies, limits, guidelines and practices. Adherence to this framework is primarily managed by individual business units [risk owners] and assessed or monitored through independent oversight arms of management i.e Risk Management and Internal Audit departments. Key risk management objectives form a substantial input in performance appraisals across the Group
- b) Actively monitors internal and external risk events to determine and implement effective internal controls to withstand risk shocks. Each business unit and oversight function periodically identifies and assesses their own key risks and internal controls through structured risk models
- c) Allocates capital by thoroughly interrogating the risks faced and their potential impact on capital adequacy. This is done through the use of appropriate and validated risk measurement methodologies developed internally and/or from existing regulatory framework
- d) Communicates quantitative and qualitative elements of the risk profile to Senior Management, the Board of Directors and other relevant stakeholders through an integrated risk management information system
- e) Periodically employs stress testing approaches to assess /understand applicability and continued relevance of risk mitigants on potential vulnerabilities

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

NIC Bank Group's risk management framework

The Group's risk framework has five [5] main components which are continually reviewed and updated to ensure that they are consistent and appropriate to risk taking activities, and that they remain relevant to the Group's business and strategies. The five components are as follows:

Policies & limits

These define the Group's overall risk appetite, and are developed based on the requirements of regulatory authorities and input from the Board of Directors and Senior Management. The policies also provide guidance to the business units by setting boundaries on the types and levels of risks the Group is prepared to assume.

Guidelines

These are directives provided to implement policies and limits as set out above. They describe the facility types, aggregate facility exposures and conditions under which the Group is prepared to do business. Risk taking outside these guidelines has to be approved by Senior Management of the Group, or by the Board of Directors, depending on set approval limits.

Processes & standards

The processes and standards are associated with identifying, evaluating, documenting, reporting and controlling risk. They define the breadth and quality of information required to make decisions and the expectation in terms of quality of analysis and presentation. At the operating level these are the activities that must be achieved before risk decisions are taken.

Measurement, monitoring & reporting

Measurement, monitoring and reporting tools quantify risks across products, activities and business units and are used, among other things, to determine risk exposures. The Risk Management department is responsible for developing and maintaining an appropriate suite of such tools to support the operations of the various business units. Measurement information is compared against approved policies, limits and guidelines and presented to Senior Management and the Board of Directors to enable them understand the Group's risk profile. A comprehensive summary of the Group's risk profile and performance against defined tolerance goals is presented to Senior Management and the Board Risk Management Committee for their review and action.

Independent review

The Internal Audit department and the external auditors independently monitor the effectiveness of the risk management programs and internal controls through periodic testing of the design and operations of processes related to identification, measurement or assessment, monitoring, controlling and reporting of risks. Additionally, the Group's internal audit programs are derived from a risk based assessment so as to focus its audit assessment attention to risk areas of the business units deemed to be high on probability or impact.

The notes that follow provide high-level information on each of the key risk classes we face in line with the Group's objectives, policies and programs for identifying, measuring or assessing, monitoring, controlling and reporting / communicating those risks to stakeholders. It also elucidates the Group's management of its capital taking into account the approved risk appetite and profile.

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

a) Credit and counterparty risk

Credit risk is the potential for loss due to the Group's customers' or counterparties' failure or unwillingness to meet their contractual credit obligations. It is the single largest financial risk that the Group faces.

It arises principally from, but is not limited to, commercial and retail loans and advances, commitments from forward foreign exchange contracts, financial guarantees, letters of credit and acceptances, investments in debt securities and other exposures arising from trading and settlement activities with market counterparties.

The amounts presented in these financial statements are net of impairment allowances based on prudent assessment of customers' or counterparties' abilities to meet their contractual obligations.

The Group's lending principles are laid out in an elaborate series of corporate strategies, policies, standards, guidelines, directives and procedures, all of which are developed, approved and reviewed regularly by the Board Credit Risk and respective Risk Management Committees. This ensures policies are current and consistent with the Group's risk appetite. The structure, limits, collateral requirements, ongoing management, monitoring and reporting of credit exposures are all governed by these principles.

Who manages credit & counterparty risk

The Board of Directors and Senior Management pay special attention to credit risk exposure at all times. The Board retains responsibility for the under-writing and independent review of the credit risk exposures through specifically constituted Board Committees: the Board Credit Risk Committee and the Board Risk Management Committee respectively. To facilitate the day to day management of credit risk i.e. under-writing functions, monitoring and control, there is a specialised, independent and centralized credit review/approval team headed by the Head of Credit who reports to the Group Managing Director. The Board of Directors retains the authority to approve credit facilities that are significant in size or complexity.

Effective credit risk management begins with experienced and professional lending officers who have been mandated to authorise credit exposures for the Group. These individuals are subjected to a rigorous lender qualification process and operate within a disciplined environment with clear delegation of management discretionary limits at both the individual and joint levels depending on the size and complexity of credit decisions they make.

To facilitate quick credit decisions, the Board Credit Risk Committee has granted discretionary limits to several Senior Managers (at individual and committee levels), in line with their skills, experience and ability to make sound credit decisions.

To separate the sales and credit under-writing functions from credit operations, a credit administration unit that reports directly to the Head of Technology and Operations, handles post-approval credit administration as well as the daily monitoring of credit exposures against approved limits. This together with the complete segregation of sales activities from the underwriting process, maintains an adequate governance structure that eliminates conflicts of interest that may occur in the course of business.

Credit risk management key performance indicators, including the quality of our credit portfolios, portfolio concentrations, amongst others, are independently reviewed by the Head of Risk Management & Compliance with oversight from the Board Risk Management Committee.

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

a) Credit and counterparty risk (continued)

Who manages credit & counterparty risk (continued)

Regular independent audits of the approval process and adherence to credit risk management programs is carried out by Internal Audit Department. Adverse findings are submitted to Senior Management and the Board Audit & Compliance Committee for information and corrective action. Furthermore, audit programs are carried out using a risk based approach to concentrate activities where high probability and high impact risk events are envisaged.

How is credit and counterparty risk managed

Credit and counterparty risk measurement & assessment

The estimation of credit exposures at the individual and portfolio levels is complex and requires the use of special models, as the value of products or portfolios varies with changes in market variables, expected cash-flows and the passage of time. The assessment of a portfolio of assets' credit exposures entails further estimation of the likelihood of defaults occurring, of associated losses, and of default correlations between borrowers or counterparties, the facilities granted, and their industries. This is achieved using a credit rating model developed internally for use in the corporate business.

Credit & counterparty risk limit control and mitigation policies

The Board Credit Risk Committee regularly sets, reviews and approves exposure limits for the larger counterparties as well as tolerance limits on a portfolio basis. In turn, the Group manages the limits and controls concentrations of credit risk exposures against internal and regulatory requirements with respect to individual counterparties or related groups of counterparties, industry sectors, amongst others.

Exposures to any one borrower (including bank counterparties) are further restricted by sub-allocating limits covering separate on and off – balance sheet exposures, as well as daily delivery exposures in relation to trading items e.g. forward foreign contracts.

Lending limits are reviewed regularly in view of changing business / financial risks of the borrowers, in addition to industry and general economic conditions in which they operate. To enable prudent and consistent credit assessments at the individual level, the Group has robust approval processes and models covering different business segments. This process basically captures the borrower's financial viability, industry / economic performance, geopolitical risks and its managements' ability to steer the organisation. These models are suited to counterparties who are homogeneous in nature for ease of their use.

Limits for commercial and corporate clients are reviewed at least once annually. The credit review process ensures that an appropriate facility structure, including covenant monitoring, is in place for each client. The frequency of reviews is increased in accordance with the likelihood and size/complexity of potential credit losses, with deteriorating higher-risk situations referred to independent debt recovery units for closer attention where appropriate.

The risks in industry sectors are managed through limits and lending criteria / guidelines relevant to each particular industry. Borrower limits are set within the context of established guidelines for individual borrowers and particular industries to ensure the Group does not have excessive concentration in any related group of borrowers or industry. Through this portfolio management process, loans may be syndicated to reduce overall exposure to a single name.

Exposures against tolerance limits in relation to credit risk categories are measured and monitored periodically on an aggregated basis. Actual exposures against limits are monitored daily through the management information systems in place.

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

a) Credit and counterparty risk (continued)

Other specific control and mitigation measures are outlined below:

Although the Group only lends to counterparties that primarily demonstrate adequate capacity to repay loans, it also employs a range of policies, guidelines and models to mitigate credit risk as follows:

i) Collateral

The most common credit risk mitigant is taking acceptable collateral. The Group has developed specific policies and guidelines for the acceptance of different classes of collateral.

Estimates of the collateral's fair values are based on the value of the collateral independently and professionally assessed at the time of borrowing, and re-valued with a frequency commensurate with nature and type of the collateral and credit advanced. Collateral structures and covenants are subjected to regular review to ensure they continue to fulfil the intended purpose.

Collateral is generally not held in respect of deposits and balances due from banking institutions, items in the course of collection, and Government securities, except when securities are held for reverse purchase and securities borrowing activity.

Both short and long term lending to corporate entities is generally secured, and this is done in relation to the client's credit rating.

ii) Credit rating

The Group uses an internal credit rating system for its borrowing clients. The system sets maximum exposure limits for individual or groups of clients using a credit rating attained by the borrowers. The rating system will also inform the basis of determining the value and classes of collateral acceptable from the borrower(s).

iii) Settlement risk

This is the risk of loss due to the failure by counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed. It arises in situations where a payment in cash is made in anticipation of corresponding receipt of cash securities or other assets. Daily settlement limits are approved by the relevant authority levels and established for each counterparty to cover the aggregate of all settlement risks arising from the counterparty's market transactions on a single day. Acceptance of the counterparty's settlement risk is determined on the basis of financial strengths and other non-financial considerations subject to Board Credit Risk Committee approval.

Impairment policies

Across all its loan portfolios, the Group employs a disciplined approach to impairment allowances evaluation, with prompt identification of problem loans being a key risk management objective. The Group maintains both collective and specific impairment allowances for credit losses, the sum of which is sufficient to reduce the book value of credit assets to their estimated realisable value. Specific impairment allowances reduce the aggregate carrying value of credit assets where there is specific evidence of deterioration in credit quality. In line with regulatory guidelines, a collective allowance is maintained to cover potential impairment in the existing portfolio that cannot be associated with a specific credit. These allowances are reviewed and updated on a regularly basis.

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

a) Credit and counterparty risk (continued)

Write-off policy

The Group writes off loans and advances net of any related allowances for impairment losses when it determines that the loans are uncollectable and collateral unrealisable. This determination is reached after accessing objective evidence or occurrence of significant changes in the borrower or issuer's financial position such that they are no longer able to repay the obligation, or that proceeds from the sale of collateral will not be sufficient to pay back the entire exposure. This is done after exhausting all other means including litigation. For retail and asset finance loans, charge off decisions are generally based on product specific days past due status and the size of balances owed per borrower.

I. Maximum exposure to credit risk before collateral held

	2010		2009	
	Shs'000	%	Shs'000	%
Credit exposures				
On – balance sheet items				
Items in the course of collection	295,760	-	197,149	-
Deposits and balances due from banking institutions	6,374,825	10	4,936,616	9
Loans and advances to customers	40,754,979	65	32,511,082	67
Government securities	5,074,031	8	4,332,080	9
Other assets – trade receivables	21,992	-	21,743	-
Off-balance sheet items	52,521,587	83	41,998,670	85
Letters of credit	3,776,587	6	2,685,558	6
Guarantees and performance bonds	6,981,496	11	4,377,451	9
	10,758,083	17	7,063,009	15
	63,279,670	100	49,061,679	100

The above represents the worst case scenario of credit exposure for both years, without taking into account collateral held or other credit enhancements / mitigants.

Loans and advances to customers and off-balance sheet items comprise of 82% (2009: 82%) of the total credit exposure. While collateral is an important mitigant to credit risk, the Group's underwriting policy ensures that loans are strictly granted on a going concern basis with adequate demonstration of repayment capacity. Other than exposures amounting to Shs 939,551,000 (2009 - Shs 935,384,000) that are unsecured, all other facilities are secured by collateral in the form of charges over cash, land and buildings, marketable securities, plant and machinery, amongst others. The fair value of collateral held for impaired loans and advances is Shs 150,353,000 (2009 - Shs 414,179,000). The Group is confident that its credit policies and programs provide sufficient safeguards against the credit risk exposure shown in the table on the next page.

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

a) Credit and counterparty risk (continued)

II. Classification of loans and advances to customers

GROUP 2010

Loans and advances to customers

	Gross amounts Shs'000	Impairment allowances Shs'000	Net amounts Shs'000	%
Neither past due nor impaired	38,880,142	-	38,880,142	95
Past due but not impaired	1,789,157	64,673	1,724,484	4
Impaired	1,570,797	1,420,444	150,353	1
Total	42,240,096	1,485,117	40,754,979	100

2009

Loans and advances to customers

	Gross amounts Shs'000	Impairment allowances Shs'000	Net amounts Shs'000	%
Neither past due nor impaired	29,915,681	-	29,915,681	92
Past due but not impaired	2,262,068	80,846	2,181,222	7
Impaired	1,548,270	1,134,091	414,179	1
Total	33,726,019	1,214,937	32,511,082	100

BANK 2010

Loans and advances to customers

	Gross amounts Shs'000	Impairment allowances Shs'000	Net amounts Shs'000	%
Neither past due nor impaired	36,605,631	-	36,605,631	95
Past due but not impaired	1,738,344	64,673	1,673,671	4
Impaired	1,383,193	1,321,616	61,577	1
Total	39,727,168	1,386,289	38,340,879	100

2009

Loans and advances to customers

	Gross amounts Shs'000	Impairment allowances Shs'000	Net amounts Shs'000	%
Neither past due nor impaired	28,608,593	-	28,608,593	92
Past due but not impaired	2,220,231	80,846	2,139,385	7
Impaired	1,411,457	1,025,951	385,506	1
Total	32,240,281	1,106,797	31,133,484	100

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

a) Credit and counterparty risk (continued)

II. Classification of loans and advances to customers (continued)

Loans and advances that are neither past due nor impaired

The Group classifies loans and advances under this category if they are up to date and in line with their contractual agreements. Such loans would have demonstrated the meeting of their financial and non-financial conditions and the borrowers would have proven capacity to repay the loans. These exposures will normally be maintained largely within approved facility programs and with no depiction of impairment or distress signs. These exposures are categorised as normal accounts (category 1) in line with internal guidelines and those issued by regulators where applicable. A collective provision of 1% of the total outstanding balances is made and appropriated from revenue reserves to statutory reserves.

Past due but not impaired

This category includes exposures that are between 31 – 90 days past due, where losses have been incurred but have not been identified. These exposures are graded as category 2 in line with our internal guidelines and those issued by banking regulators. A collective impairment allowance is made to cover losses which have been incurred but have not yet been identified.

Impaired loans and advances

Impaired loans and advances are those which the Group determines that it is probable that it will be unable to collect all or part of the principal and interest due according to the contractual terms of the loan agreement(s). These loans are graded between categories 3 to 5 using the Group's internal credit rating system. These loans and advances, under guidelines issued by Central Bank of Kenya and Bank of Tanzania, are termed as non-performing loans. The Group establishes a specific allowance for impairment losses that represents the estimate of losses that will be incurred in its loan portfolio.

III. Concentrations of risk

The Group monitors concentration of risk exposures in its lending and other portfolios by individuals or groups of related borrowers and industry sector concentrations in line with Board of Directors' approved limits. These limits are reviewed regularly using economic risk indicators identified in particular industrial sectors. An analysis of concentrations within the loans and advances to customers and off balance sheet items are as follows:

Loans and advances to customers

	GROUP		BANK	
	2010 %	2009 %	2010 %	2009 %
Wholesale and retail	17	13	16	11
Real estate	3	4	3	4
Agriculture	5	6	6	6
Social community and personal services	22	22	22	24
Manufacturing	22	20	22	20
Transport and communication	18	21	18	21
Other	13	14	13	14
	100	100	100	100

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

a) Credit and counterparty risk (continued)

III. Concentrations of risk (continued)

Contingent liabilities

	GROUP		BANK	
	2010 %	2009 %	2010 %	2009 %
Agriculture	2	1	2	1
Business services	2	2	2	2
Wholesale and retail	13	14	13	14
Transport and communication	7	7	7	7
Manufacturing	34	30	34	29
Other	42	46	42	47
	100	100	100	100

b) Liquidity and funding risk

Liquidity risk is the potential for loss to an institution arising from either its inability to meet its obligations when they fall due or to fund increases in assets by incurring unacceptable costs or losses. Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, and to enable our core business to continue generating revenue even under adverse liquidity circumstances.

Who manages liquidity and funding risk

The Assets and Liabilities Committee (ALCO), a management committee, is tasked with the responsibility of ensuring that all foreseeable funding commitments and deposit withdrawals can be met as and when they fall due, and that the Group will not encounter difficulties in meeting its obligations or financial liabilities as they fall due.

ALCO relies substantially on the Group's Treasury Department to coordinate and ensure discipline across the Group's business units and ensure that there is sufficient liquidity under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Board Executive Committee has oversight over ALCO's activities through regular review of its minutes and significant reports outlining current exposures against approved risk limits. These reports are also reviewed by the Board Risk Management Committee on a quarterly basis.

Liquidity policies / guidelines and limits are reviewed periodically, or as need arises.

How is liquidity and funding risk managed

I. Liquidity and funding management

The Group's liquidity and funding policies require that it:

- Enters into lending contracts subject to availability of funds
- Projects cash flows by major currencies and considers the level of liquid assets necessary in relation thereto
- Monitors liquidity ratios against internal and regulatory requirements and guidelines
- Maintains an array of a diverse range of funding sources as back-up facilities

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

b) Liquidity and funding risk (continued)

I. Liquidity and funding management (continued)

- Monitors depositor concentration to avoid undue reliance on large individual depositors and ensure a satisfactory funding mix
- Invests in short term liquid instruments, which can easily be sold in the market when the need arises
- Ensures investments in large cash outlay projects e.g property and equipment purchases are budgeted for and carried out only when the Group has sufficient cash flows
- Maintains liquidity and funding contingency plans. These plans and key risk indicators clearly identify early stress conditions and describe actions to be taken in the event of difficulties arising from systemic or other crisis while minimising adverse long-term implications

II. Sources of funding

The Group's major source of funding is customer deposits. To this end, the Group maintains a diversified and stable funding base comprising of the core retail and corporate customers and wholesale banking clientele. The Group places considerable importance on the stability of these deposits, which is achieved through the Group's retail banking activities and by maintaining depositor confidence in the Group's business strategies and financial strength. An analysis of concentrations of the customer deposits is as follows:

Customer deposits

	GROUP		BANK	
	2010 %	2009 %	2010 %	2009 %
Co-operative societies	2	1	1	1
Insurance companies	10	7	10	8
Not for profit institutions and individuals	14	26	14	28
Private enterprises	74	66	75	63
	100	100	100	100

The Group also borrows from the inter bank and wholesale markets such as pension funds and insurance companies to meet its short term liquidity and other investment objectives.

The Group does not maintain cash reserves to meet all its obligations as experience over time has shown that a minimum level of reinvestment of maturing customer funds can be predicted with a high level of certainty. Although the contractual repayments of many customer accounts are on demand or short notice, in practice short-term deposit balances remain stable as inflows and outflows broadly match.

III. Exposure to liquidity risk

The key measures used by the Group for managing liquidity risk are:

- The ratio of net liquid assets to deposits from customers (liquidity ratio). For this purpose, net liquid assets include cash and cash equivalents and investments in securities for which there is an active and liquid market less any deposits from banks, as well as other borrowings and commitments maturing within the next month. The banking regulators require that the group maintains a cash reserve ratio computed as percentage of eligible customer deposits.

The banking regulations require that the Bank maintains a minimum liquidity ratio of 20%. The Group complied with the liquidity requirements during the year.

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

b) Liquidity and funding risk (continued)

III. Exposure to liquidity risk (continued)

The average liquidity ratio for the year was 34 % (2009 – 34%).

- The maturity analysis of financial liabilities and assets report (note 42 (a)). The Group uses the maturity mismatch ladders to compare cash inflows and outflows each month and over a series of time-bands. The maturity mismatch ladder shows the net cash flows of the Group in various time bands. The Group's net funding requirements are determined by analysing present and future cash flows of the entire statement of financial position at selected maturity dates, based on assumptions of the behaviour of assets, liabilities and off-balance sheet items. Calculations will include the cumulative net excess or shortfall over the time frame of the liquidity assessment.

The Group also monitors its liquidity exposures through an array of internally developed risk indicators such as advances to deposit ratios, proportion of largest depositors to total deposits, liquidity gap analysis ratios, inter-bank borrowings as a proportion of total deposits, amongst others. These enable the Group to detect any early warning signs and take timely corrective action.

As part of the ALCO function, Treasury receives information from business units regarding the liquidity profile of their financial assets and liabilities plus details of other projected cash flows arising from projected future business. Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment grade securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The liquidity requirements of business units and subsidiaries are met through various funding options to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements.

The table in note 42 (b) presents cash flows payable by the Group under financial liabilities by remaining contractual maturities at the reporting date, and the cash flows receivable from financial assets by expected maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows, whereas the Group manages liquidity risk based on a different basis (note 42 (a)), not resulting in a significantly different analysis.

c) Market risk

Market risk is the risk that the values of assets and liabilities or revenues will be adversely affected by changes in market conditions or market movements. Market risks in the Group arise from movements in market prices, particularly changes in interest rates, foreign currency exchange rates, fixed rate securities and equity prices which we are exposed to. It is often propagated by other forms of financial risks such as credit and market liquidity risk events. The objective of market risk management programs is to manage and control market risk exposures in order to optimise return on risk taken while maintaining a good market profile as a provider of financial products and services.

Who manages market risk

The Board Risk Management Committee reviews and approves market risk policies and limits periodically or as need arises. The Treasury department in consultation with the Risk Management Department are responsible for the development of detailed market risk management policies, subject to review and support by ALCO and approval by the Board Risk Management Committee.

The Board receives quarterly reports of market risk exposures or activities through relevant ALCO minutes and Treasury reports outlining current risk exposures against risk limits.

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

c) Market risk (continued)

How is market risk managed

The Group's Asset & Liability Committee (ALCO) oversees the application of the framework set by the Board of Directors and monitors the Group's market risk exposures as well as activities that give rise to these exposures. Overall responsibility for the management of market risks rests with ALCO which reviews market risk activity reports monthly. Treasury is responsible for the day to day implementation of those policies or programs and limits.

In view of the fact that our market risk operations are not very complex, we basically use interest rates variance analysis models (against budget and prior month), interest rate gap analysis, proportion of interest sensitive deposits to total deposits, amongst other models, appropriate to our operations. The management of market risk is supplemented by the monitoring of key market risk and economic performance variables.

The distinct market risk exposures faced by the Group are:

- Interest rate risk
- Foreign exchange risk
- Price risk

I. Interest rate risk

Interest rate risk represents exposures to instruments whose values vary with the level or volatility of interest rates. These instruments include, but are not limited to, loans and advances, debt securities, certain traded assets and liabilities, deposits, borrowings and derivative instruments. Generally, hedging instruments used by banks to mitigate such risks include related derivatives such as options and swaps.

The Group is exposed to the risk that the value of a financial instrument will fluctuate due to changes in market interest rates, as funds are sourced and invested at both fixed and floating rates. The maturities of financial assets and liabilities, plus the ability to replace interest bearing liabilities at an acceptable cost as they mature, are important factors in assessing the Group's exposure to changes in interest rates.

In addition to maintaining an appropriate mix between fixed and floating rates deposits, interest rates on loans and advances to customers and other risk assets are mainly pegged to the Group's base lending rate (floating rates). The base lending rate is adjusted from time to time to reflect prevailing market costs of deposits.

Interest rates on customer deposits are negotiated between the Group and its customers, with the Group retaining the discretion to re-negotiate the rates at maturity in line with changes in market trends. The interest rates given or charged to clients therefore fluctuate depending on the movements in the market interest rates. The Group also invests in fixed interest rate instruments issued by the Governments of Kenya and Tanzania through the Central Banks of Kenya and Tanzania. The interest rate risk assessment table is found under note 43.

The matching and controlled mismatching of the maturities and interest rates of financial assets and liabilities is fundamental to the management of the Group's interest rate risk. It is unusual for a bank ever to completely be matched due to the nature of business terms and types of products offered.

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

c) Market risk (continued)

I. Interest rate risk (continued)

Interest rate risk – stress tests

The Group monitors the impact of risks associated with the effects of fluctuations in prevailing interest rates. The following table summarises the estimated impact of an immediate hypothetical increase or decrease in interest rates of 125 basis points on consolidated profit before income tax expense, and current interest rate risk profile as at 31 December 2010:

	2010 Shs'000	2009 Shs'000
125 basis points increases in interest rates	127,398	95,220
125 basis points decrease in interest rates	(172,836)	(121,171)

The model does not take into account any corrective action in response to interest rate movements, particularly in adverse situations.

II. Foreign exchange risk

Foreign currency exchange risk refers to the potential changes in current and future earnings or capital arising from movements in foreign exchange market rates. The Group, through stringent intra-day and overnight exposure limits, ensures that the potential risk of loss arising from foreign exchange fluctuations to the Group's earnings and capital is within prudential guidelines and internal policies. Any material overnight position is covered by stop loss orders with our international counter-parties.

The Group is exposed to the risk that the value of foreign financial instruments it holds will fluctuate due to changes in market foreign exchange rates. The Board of Directors periodically approves policies and limits on the maximum level of exposures by currency and in total for both overnight and intra-day positions. Foreign currency risk is addressed through the following measures:

- On a daily basis, the overall foreign exchange risk exposure is measured using spot mid-rates and does not exceed 20% of the Group's core capital
- Any single currency exposure, irrespective of short or long positions does not exceed the limit of 20% of core capital
- Intra-day and overnight foreign exchange positions are limited within strictly defined exposure and stop loss limits approved periodically by the Board Risk Management Committee

The table under note 44 summarises the Group's exposure to foreign currency exchange rate risks as at 31 December 2010.

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

c) Market risk (continued)

II. Foreign exchange risk (continued)

Foreign exchange risk – stress test

At 31 December 2010, if the functional currencies in the economic environment in which the Group operates in i.e. the Kenya Shilling and the Tanzania Shilling had weakened or strengthened by 10% against the world's major currencies, with all other variables held constant, consolidated profit before income tax expense would have been higher or lower as depicted below:

	GROUP		BANK	
	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
10% depreciation/appreciation	5,497	15,055	3,741	13,856

III. Price risk

Shares quoted in the Nairobi Stock Exchange i.e. 'listed shares' and treasury bonds held for trading are stated at their fair value on the last day of business in the year. These values are subject to frequent variations due to changes in their market prices.

At 31 December 2010, if the prices at the Nairobi Stock Exchange had appreciated/depreciated by 5% with all other variables held constant, the impact on the shareholders equity would have been Shs 2,812,816 (2009 – Shs 2,099,916) higher/lower.

For the treasury bonds, an increase/reduction in interest rates by 1% with all other variables held constant, will yield a decrease / increase in shareholders equity of Shs 56,797,000 (2009 - Shs nil).

d) Capital management

The Group's objectives when managing capital are:

- To safeguard the Group's ability to continue as a going concern in order to provide acceptable returns to the shareholders and benefits for other stakeholders while maintaining an optimal capital structure
- To comply with capital requirements set by our regulators within the markets that the Group operates in
- To maintain a strong capital base to support continued business development
- To create an acceptable buffer catering for unexpected losses that the Group may incur in adverse market scenarios during the course of its business

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

d) Capital management (continued)

The Group's objective when managing capital is broadly covered as follows:

I. Banking

In line with our industry, the broader concept of capital and its adequacy is based on guidelines developed by the Basel Committee's Accords and implemented for supervisory purposes by the Central Bank of Kenya (CBK) and the Bank of Tanzania (BOT).

Both CBK and BOT largely segregate the total regulatory capital into two tiers:

- Tier 1 Capital (Core Capital), which includes ordinary share capital, share premium and retained earnings. The investment in subsidiaries or other financial institutions is deducted in arriving at tier 1 capital
- Tier 2 Capital (Supplementary Capital) includes, among others, 25% of property revaluation reserves (subject to regulatory approval) and collective impairment allowances

The risk weighted assets are measured by means of a hierarchy of four risk weights classified according to the nature of, and reflecting an estimate of, the credit risk associated with each asset and counterparty. A similar treatment is adopted for off-balance sheet exposure, with some adjustments to reflect the more contingent nature of the potential losses.

	GROUP		BANK	
	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Tier 1 capital	7,369,264	6,053,332	6,779,642	5,382,165
Tier 1 + Tier 2 capital	7,783,917	6,388,555	7,187,875	5,710,608
Risk weighted assets				
On-balance sheet	43,866,726	35,058,378	41,499,896	33,489,507
Off-balance sheet	5,508,056	4,049,748	5,454,944	3,395,939
Total risk weighted assets	49,374,782	39,108,126	46,954,840	36,885,446

Regulatory ratios

(Minimum requirements %)

Core capital/risk weighted assets	8%	14.63%	14.59%
Core capital/deposits	8%	15.20%	15.48%
Total capital/risk weighted assets	12%	15.50%	14.60%

NOTES TO THE FINANCIAL STATEMENTS (continued)

4) Financial risk management objectives (continued)

d) Capital management (continued)

II. Investment banking and brokerage businesses

The Capital Markets Authority, which regulates the Group's Investment Banking and Brokerage businesses i.e. NIC Capital Limited and NIC Securities Limited respectively, prescribes minimum capitalisation requirements and a working capital of not less than 20% of the prescribed minimum shareholders funds or three times the average monthly operating costs whichever is higher. The subsidiaries maintained their capital together with the other requirements well above the minimum regulatory requirements as outlined below:

	NIC Capital Shs'000	NIC Securities Shs 000
Minimum Capital	250,000	50,000
Capital held as at:		
31 December 2009	304,956	355,501
31 December 2010	331,913	369,683

e) Fair value of financial assets and liabilities

IFRS 7 specifies a hierarchy of valuation techniques based on whether inputs used in the valuation techniques of financial instruments are observable or unobservable. Financial instruments are grouped into 3 levels based on the degree to which fair value data / input is observable.

- i) Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities. This level includes listed debt and equity instruments traded mainly on the Nairobi Stock Exchange
- ii) Level 2 fair value measurements are those derived from inputs other than quoted prices that are observable for the asset or liability, either directly (i.e. as a price) or indirectly (i.e. derived from prices). Input data for this category is sourced mainly from Reuters and the Nairobi Stock Exchange
- iii) Level 3 fair value measurements are those derived from valuation techniques that include inputs that are not based on observable market data (unobservable inputs)

4) Financial risk management objectives (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

e) Fair value of financial assets and liabilities (continued)

The table below shows an analysis of financial instruments at fair value by level of the fair value hierarchy:

		GROUP		BANK	
Note		2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Level 1					
Treasury bonds - fair value through profit and loss	19	852,769	767,731	852,769	712,370
Investment in quoted shares at fair value	25(a)	50,703	41,998	-	-
Level 2					
Derivative assets held for risk management	20	3,323	1,400	3,323	1,400

There were no transfers between levels 1, 2 and 3 in the period.

5) Critical accounting estimates and judgments in applying the Group's accounting policies

a) Impairment losses on loans and advances

The Group reviews its loan portfolios to assess impairment regularly. In determining whether an impairment loss should be recorded in the statement of comprehensive income, the Group makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of loans, before a decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a group, or national or local economic conditions that correlate with defaults on assets in the group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

b) Held -to-maturity investments

The Group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgement. In making this judgement, the Group evaluates its intention and ability to hold such investments to maturity. If the Group fails to keep these investments to maturity other than for the specific circumstances – for example, selling an insignificant amount close to maturity – it will be required to reclassify the entire class as available-for-sale. The investments would therefore be measured at fair value, not at amortised cost.

5) Critical accounting estimates and judgments in applying the Group's accounting policies (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

c) Goodwill impairment

The Group's accounting policy for goodwill is described in Note 3(t). Goodwill is allocated to cash-generating units ('CGU') for the purpose of impairment testing. When the process of identifying and evaluating goodwill impairment demonstrates that the expected cash flows of a CGU have declined and/or that its cost of capital has increased, the effect is to reduce the CGU's estimated fair value. If this results in an estimated recoverable amount that is lower than the carrying amount of the CGU, a charge for impairment of goodwill will be recorded, thereby reducing by a corresponding amount the Group's profit for the year. Goodwill is stated at cost less accumulated impairment losses. Significant management judgement is involved in determining the cost of capital assigned to an individual CGU and in estimating its future cash flows.

d) Property and equipment

Critical estimates are made by the Directors in determining depreciation rates for property and equipment.

e) Fair value of trade receivables and payables

The carrying values less impairment provision of trade receivables and payables are assumed to approximate their fair values. The fair values of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Group for similar financial instruments.

f) Taxes

The Group is subjected to numerous taxes and levies by various Government and quasi-Government regulatory bodies. As a rule of thumb, the Group recognises liabilities for the anticipated tax /levies payable with utmost care and diligence. However, significant judgment is usually required in the interpretation and applicability of those taxes /levies. Should it come to the attention of management, in one way or the other, that the initially recorded liability was erroneous, such differences will impact on the income and liabilities in the period in which such differences are determined.

g) Impairment of available-for-sale equity investments

The Group determines that available-for-sale equity investments are impaired when there has been a significant or prolonged decline in the fair value below its cost. This determination of what is significant or prolonged requires judgement. In making this judgement, the Group evaluates, among other factors, the volatility in share prices. In addition, objective evidence of impairment may be deterioration in the financial health of the investee, industry and sector performance, changes in technology, and operational and financing cash flows.

6) Segmental reporting

NOTES TO THE FINANCIAL STATEMENTS (continued)

a) Geographical segments

As at 31 December 2010, with the acquisition of NIC Bank Tanzania Ltd (formerly Savings & Finance Commercial Bank Limited) with effect from 1 May 2009, the Group operations are within two geographical segments, Kenya and Tanzania. The table below contains segmental information provided to the Group Executive Committee of management for the year ended 31 December 2010.

2010

	Kenya Shs `000	Tanzania Shs `000	Total Shs `000
Total operating income	4,744,743	468,737	5,213,480
Profit before tax and impairment allowances	2,764,017	161,015	2,925,032
Impairment on loans and advances	290,145	26,495	316,640
Profit after tax	1,771,161	92,757	1,863,918
Loans and advances to customers	38,340,879	2,414,100	40,754,979
Customer deposits	45,317,661	3,174,563	48,492,224

2009

Total operating income	3,676,948	164,130	3,841,078
Profit before tax and impairment allowances	1,958,452	31,825	1,990,277
Impairment on loans and advances	424,579	38,905	463,484
Profit after tax	1,073,348	12,370	1,085,718
Loans and advances to customers	31,133,484	1,377,598	32,511,082
Customer deposits	36,977,360	2,536,915	39,514,275

b) Business segments

The Group maintains the following business segments for allocation of resources and assessment of performance:

I. Corporate and Institutional banking

Targets medium to large corporate clientele and institutions, with a focus on liability mobilization and asset growth.

II. Treasury dealing and brokerage

Treasury dealing targets corporate clientele and institutions, with a focus on those with a foreign exchange component in their business, whereas the brokerage focuses on the execution of transactions at the Nairobi Stock Exchange for high net worth and institutional clients.

III. Retail banking

Targets the mass affluent to high net worth and business banking clientele, with a focus on becoming the customers' core deposit and transactional banker.

6) Segmental reporting (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

b) Business segments (continued)

IV. Asset finance

Targets both the retail and corporate end of the market as the preferred financier in the motor vehicles, machinery and equipment segments in addition to Insurance Premium Financing (IPF) segment.

V. Investment banking

Targets large and medium sized companies for research, advisory and capital restructuring requirements.

The segment information provided to the Executive Committee of management for the reported segments is contained under note 45.

There were no changes in the reportable segments during the year.

7) Interest income

	2010 Shs `000	2009 Shs `000
Finance leases	1,513,355	1,482,372
Loans and advances to customers	2,887,414	2,533,879
Government securities - Held to maturity	284,991	269,659
Government securities - Fair value through profit or loss	124,549	39,950
Government securities - Available for sale	61,271	-
Deposits and balances due from banking institutions	71,784	99,580
	4,943,364	4,425,440

Interest income includes Shs 9,922,000 (2009 Shs 6,558,000) of interest income earned on impaired financial assets. This represents the unwinding of discounting in accordance with IAS 39.

8) Interest expense

	2010 Shs `000	2009 Shs `000
Customer deposits	1,506,497	1,953,450
Deposits and balances due to banking institutions	23,590	37,307
Line of credit	13,806	20,619
	1,543,893	2,011,376

9) Foreign exchange income

Gains on foreign currency dealings arose from trading in foreign currency transactions and also on the translation of assets and liabilities denominated in foreign currency.

10) Other operating income

NOTES TO THE FINANCIAL STATEMENTS (continued)

The following items are included in other operating income:

	2010 Shs `000	2009 Shs `000
Rental income	4,112	7,614
Gain on disposal of motor vehicle & equipment	2,193	1,843
Bad debt recoveries	29,477	45,623

11) Impairment on loans and advances

a) Specific allowance for impairment

	GROUP		BANK	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
At 1 January	1,134,091	621,360	1,025,951	621,360
Acquired from subsidiary	-	74,694	-	-
Exchange difference on translation	(35,807)	(3,680)	-	-
Charge for the year	332,813	468,657	306,318	431,531
Write-offs	(10,653)	(26,940)	(10,653)	(26,940)
At 31 December	1,420,444	1,134,091	1,321,616	1,025,951

b) Collective allowance for impairment

At 1 January	80,846	86,019	80,846	86,019
Release for the year	(16,173)	(5,173)	(16,173)	(5,173)
At 31 December	64,673	80,846	64,673	80,846

c) Total allowance for impairment

At 1 January	1,214,937	707,379	1,106,797	707,379
Acquired from subsidiary	-	74,694	-	-
Exchange difference on translation	(35,807)	(3,680)	-	-
Charge for the year	316,640	463,484	290,145	426,358
Write-offs	(10,653)	(26,940)	(10,653)	(26,940)
At 31 December	1,485,117	1,214,937	1,386,289	1,106,797

12) Employee expenses

NOTES TO THE FINANCIAL STATEMENTS (continued)

The following items make up employee costs:

	2010 Shs `000	2009 Shs `000
Salaries and wages	1,180,829	959,354
Gratuity provision	836	336
NSSF contributions	7,782	4,360
Pension costs – defined contribution	72,830	66,109
	1,262,277	1,030,159

13) Other operating expenses

The following items are included under this category:

Auditors' remuneration	6,313	5,930
Directors' emoluments – fees	8,111	5,705
– other	97,742	85,495
Depreciation (note 26)	148,454	121,344
Amortisation of computer software (note 27)	26,240	24,854
Amortisation of operating lease prepayments (note 28)	125	125
Share registrations costs/listing costs	23,465	22,495

14) Income tax

a) Income tax expense

Current tax

Income tax based on taxable profit for the year at 30%
Prior year under/(over) provision - current taxation

742,984	474,960
136	(1,375)
743,120	473,585

Deferred taxation: credit (note 23)

Current year
Prior year over provision

11,916	(29,154)
(10,562)	(3,356)
744,474	441,075

b) Reconciliation of tax expense to expected tax base based on accounting profit

The taxation on the Group's profit before tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	2010 Shs `000	2009 Shs `000
Profit before tax	2,608,392	1,526,793
Income tax calculated at the statutory rate of 30 %	782,518	458,038
Tax effect of expenses not deductible for tax	29,794	9,921
Tax effect of revenues that are not taxable	(59,347)	(22,153)
Prior year under/(over) provision - current tax	136	(1,375)
Deferred tax – Current year	1,935	-
– Prior year	(10,562)	(3,356)
	744,474	441,075

14) Income tax (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

c) Current income tax payable/ (recoverable) movement

	GROUP		BANK	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
At 1 January	(69,703)	92,502	(37,334)	94,724
Acquired tax asset	-	(297)	-	-
Exchange difference on translation	17	(6,683)	-	-
Tax charge (note 14(a)) - current year	743,120	473,585	694,582	468,308
Income tax paid	(502,270)	(628,810)	(483,033)	(600,366)
At 31 December	171,164	(69,703)	174,215	(37,334)
Comprising:				
Current income tax recoverable	(8,180)	(70,563)	-	(37,334)
Current income tax payable	179,344	860	174,215	-
At 31 December	171,164	(69,703)	174,215	(37,334)

15) Earnings per share

The earnings and weighted average number of ordinary shares used in the calculation of basic and diluted earnings per share are as follows:

	2010	2009
Profit for the year attributable to owners of the parent company (Shs'000)	1,817,232	1,079,117

The calculation of basic and diluted earnings per share is based on continuing operations attributable to the ordinary equity holders of the parent company. There were no discontinued operations during the year.

	2010	2009
Weighted average number of ordinary shares for the purposes of basic and diluted earnings per share	358,997,784	358,997,784

During the year, the company issued bonus shares in the ratio of one bonus share for every ten shares held. Because the bonus issue was without consideration, it is treated as if it had occurred before the beginning of 2009, the earliest period presented. The calculated prior year weighted average number of ordinary shares has been restated accordingly.

Earnings per share is calculated by dividing the profit attributable to owners of the parent company by the weighted average number of ordinary shares.

	2010	2009
Basic earnings per share	Shs 5.06	Shs 3.01
Diluted earnings per share	Shs 5.06	Shs 3.01

There were no potentially dilutive ordinary shares outstanding as at 31 December 2010 and at 31 December 2009. Diluted earnings per share is therefore the same as basic earnings per share.

16) Cash and balances with Central Bank of Kenya and Bank of Tanzania

NOTES TO THE FINANCIAL STATEMENTS (continued)

	GROUP		BANK	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Cash on hand	581,101	635,529	476,633	546,664
Balances with Central Banks - Other (available for use by the Group)	1,736,350	955,874	1,590,897	837,892
Included in cash and cash equivalents [note 38(b)]	2,317,451	1,591,403	2,067,530	1,384,556
- Mandatory reserve deposits	2,381,286	2,163,375	1,997,084	1,888,132
	4,698,737	3,754,778	4,064,614	3,272,688

The mandatory reserve deposits mainly represents regulatory cash ratio requirements based on the customer deposits with the Group. As at 31 December 2010 the cash ratio requirement in Kenya was 4.5% (2009 – 4.5%) and in Tanzania 10.0% (2009 – 10.0%) of eligible deposits. These funds are not available for the day to day operations of the Group and are non interest bearing.

17) Items in the course of collection

	GROUP		BANK	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Clearing account balances	295,760	197,149	285,701	155,876

18) Deposits and balances due from banking institutions

	GROUP		BANK	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Deposits due from banking institutions	3,937,135	586,458	2,669,889	785,218
Balances due from banking institutions	2,437,690	4,350,158	1,942,046	3,271,083
	6,374,825	4,936,616	4,611,935	4,056,301
Weighted average effective interest	1.0%	1.3%	0.7%	1.1%

19) Government securities

NOTES TO THE FINANCIAL STATEMENTS (continued)

Securities held to maturity are stated at amortised cost while those classified as "Fair value through profit or loss" and "Available for sale" are stated at fair value.

a) Government securities are categorised as follows:

	GROUP		BANK	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Held to maturity	1,808,041	3,564,349	1,580,418	3,145,733
Fair value through profit or loss	852,769	767,731	852,769	712,370
Available for sale	2,413,221	-	2,413,221	-
	5,074,031	4,332,080	4,846,408	3,858,103

b) The maturity profile of Government securities is as follows:

GROUP 2010

	Held to maturity Shs `000	Fair value through profit or loss Shs `000	Available for sale Shs `000	Total Shs `000
Included in cash and cash equivalent	-	-	-	-
Less than 1 year	1,040,777	98,106	292,850	1,431,733
1-5 years	767,264	149,930	651,748	1,568,942
Over 5 years	-	604,733	1,468,623	2,073,356
	1,808,041	852,769	2,413,221	5,074,031

2009

Included in cash and cash equivalent	418,616	-	-	418,616
Less than 1 year	2,141,182	55,361	-	2,196,543
1-5 years	1,004,551	199,113	-	1,203,664
Over 5 years	-	513,257	-	513,257
	3,564,349	767,731	-	4,332,080

19) Government securities (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

b) The maturity profile of Government securities is as follows (continued):

BANK

2010

	Held to maturity Shs `000	Fair value through profit or loss Shs `000	Available for sale Shs `000	Total Shs `000
Included in cash and cash equivalent	-	-	-	-
Less than 1 year	1,040,777	98,106	292,850	1,431,733
1-5 years	539,641	149,930	651,748	1,341,319
Over 5 years	-	604,733	1,468,623	2,073,356
	1,580,418	852,769	2,413,221	4,846,408

2009

Included in cash and cash equivalent	-	-	-	-
Less than 1 year	2,141,182	-	-	2,141,182
1-5 years	1,004,551	199,113	-	1,203,664
Over 5 years	-	513,257	-	513,257
	3,145,733	712,370	-	3,858,103

c) The table below summarises the weighted average effective interest rate for Government securities:

	GROUP		BANK	
	2010 %	2009 %	2010 %	2009 %
Held to maturity	8.42	8.73	7.78	9.35
Fair value through profit or loss	10.58	7.95	10.63	9.66
Available for sale	7.32	-	7.32	-

20) Derivatives assets held for risk management

NOTES TO THE FINANCIAL STATEMENTS (continued)

GROUP AND BANK

The amount represents the fair value of forward foreign exchange contracts Shs 3,323,000 (2009 Shs 1,400,000). These derivative assets and liabilities are measured at fair value through the profit or loss. Notional principal amounts are the amounts underlying the contract at the reporting date.

	2010 Shs `000	2009 Shs `000
Notional value of forward contracts	5,053,510	4,368,836

21) Loans and advances to customers

	GROUP		BANK	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Finance lease receivables	11,213,390	10,708,632	11,213,390	10,708,632
Personal loans	7,674,174	5,769,171	7,662,728	5,769,171
Commercial loans	23,343,820	17,226,844	20,842,338	15,741,106
Bills discounted	8,712	21,372	8,712	21,372
Gross loans and receivables	42,240,096	33,726,019	39,727,168	32,240,281
Provisions for impairment				
Specific allowance	1,420,444	1,134,091	1,321,616	1,025,951
Collective allowance	64,673	80,846	64,673	80,846
	1,485,117	1,214,937	1,386,289	1,106,797
Net loans and advances	40,754,979	32,511,082	38,340,879	31,133,484
Net non performing loans and receivables	150,353	414,179	61,577	385,506

Finance lease receivables, may be analysed as follows:

	2010 Shs `000	2009 Shs `000
GROUP AND BANK		
Gross investment in finance lease receivables		
Not later than 1 year	2,171,665	1,761,716
Later than 1 year and not later than 5 years	9,059,503	8,118,265
Over 5 years	10,146	855,240
	11,241,314	10,735,221
Unearned future finance income on finance leases	(27,924)	(26,589)
Present value of minimum lease payments receivable	11,213,390	10,708,632

21) Loans and advances to customers (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

The Group and Bank enters into finance leasing arrangements for certain plant, equipment, motor vehicles and aircraft. The average term of finance leases entered into is 3 years. Unguaranteed residual values of assets leased under finance leases are estimated at nil (2009: nil).

The weighted average effective interest rates on loans and advances to customers at year end were as follows:

	GROUP		BANK	
	2010 %	2009 %	2010 %	2009 %
Finance lease receivables	14.19	15.30	14.19	15.30
Personal loans	13.86	14.06	13.87	14.06
Commercial loans	10.45	12.11	10.17	9.66
Bills discounted	7.42	7.08	7.42	7.08
22) Other assets				
Prepayments	52,776	65,930	38,081	58,513
Other receivables	140,126	102,849	130,745	96,490
Trade receivables	21,992	21,743	-	-
	214,894	190,522	168,826	155,003
23) Deferred tax (asset) /liability				

The net deferred tax computed at the enacted rate of 30%, is attributable to the following items:

	GROUP		BANK	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Assets:				
Leave pay provision	(5,616)	(4,954)	(5,409)	(4,696)
Excess depreciation over capital allowances	(29,045)	(26,598)	(28,693)	(26,293)
Collective allowance for impairment	(19,401)	(24,254)	(19,401)	(24,254)
Other provisions	(8,030)	(3,995)	-	-
Tax losses	(3,250)	(17,790)	-	-
	(65,342)	(77,591)	(53,503)	(55,243)
Liabilities:				
Unrealized exchange gains	-	6	-	-
Revaluation surplus	63,517	73,894	63,517	73,894
	(1,825)	(3,691)	10,014	18,651

23) Deferred tax (asset) /liability (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

	GROUP		BANK	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Movement in net deferred tax is as follows:				
At 1 January	(3,691)	22,138	18,651	22,303
Acquired from subsidiary	-	(2,042)	-	-
Exchange difference on translation	512	8,723	-	-
(Credit)/charge to profit or loss 14 (a) - current year	11,916	(29,154)	1,925	(3,652)
- prior year	(10,562)	(3,356)	(10,562)	-
At 31 December	(1,825)	(3,691)	10,014	18,651
Comprising:				
Deferred tax asset	(11,839)	(22,342)	-	-
Deferred tax liability	10,014	18,651	10,014	18,651
At 31 December	(1,825)	(3,691)	10,014	18,651

24) Amounts due from Group companies

BANK

Due from NIC Capital	1,562	-
Due from NIC Securities	1,954	2,268
Due from NIC Insurance Agents	-	78
Due from NIC Bank Tanzania	478,196	-
	481,712	2,346

25) Investments

a) Other investments (GROUP AND BANK)

	2010 Shs `000	2009 Shs `000
Investment in quoted shares at fair value	50,703	41,998
Investment in an unquoted equity security - CDSC	1,000	1,000
	51,703	42,998

The movement in investments is as follows:

At 1 January	42,998	34,229
Additions at cost - investment in quoted shares	50,000	-
Changes in fair value - investment in quoted shares (note 35 (c))	703	8,769
Disposal - quoted shares	(41,998)	-
At 31 December	51,703	42,998

All available-for-sale financial assets are denominated in Kenya Shillings. None of the financial assets are impaired.

25) Investments (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

b) Investments in subsidiary companies

BANK			COST	
	Principal activity	Holding %	2010 Shs `000	2009 Shs `000
NIC Bank Tanzania	Banking	51	596,285	596,285
NIC Capital	Investment bank	100	500,000	500,000
NIC Insurance Agents	Bancassurance	100	1,000	1,000
National Industrial Credit Trustees	Dormant	100	500	500
Mercantile Finance Company	Dormant	100	50,000	50,000
The African Mercantile Banking Company	Dormant	100	1	1
			1,147,786	1,147,786

All the subsidiary companies have their financial year ending 31 December and are incorporated as limited liability companies. Except for NIC Bank Tanzania Limited (formerly Savings & Finance Commercial Bank Limited) which is incorporated and domiciled in Tanzania, all other subsidiaries are incorporated and domiciled in Kenya.

NIC Bank Limited acquired 51% of Savings & Finance Commercial Bank Limited, now renamed NIC Bank Tanzania Limited, with effective control being passed on 1 May 2009. The audited financial statements show that the company made profit of Shs 92,757,000 (2009 a profit of for the eight months period ended 31 December 2009 of Shs 12,370,000).

NIC Capital Limited was established in 2005 to offer investment banking services. The audited financial statements for the year ended 31 December 2010 show that the company made a profit of Shs 22,803,000 (2009 –Shs 4,525,000).

NIC Capital Limited (NICCL) acquired 57.66% of NIC Securities Ltd (NICSL) (formerly NIC Capital Securities Limited) with effective control being passed on 1 January 2008. Subsequently, substantially through rights issues, the holding by NICCL in NICSL has increased to 91.3%. NICSL offers brokerage services and is a registered broker with the Nairobi Stock Exchange. The audited financial statements for the year ended 31 December 2010 show that the company made a profit of Shs 14,182,000 (2009 –Shs 6,932,000).

NIC Insurance Agents Limited, formerly known as Finance Services (Insurance Agents) Limited was a 68% subsidiary of Mercantile Finance Company Limited (MFC). In 2009, NIC Bank Limited acquired the non-controlling interest and now directly owns 100% of the company. The company offers Bancassurance services. The audited financial statements for the year ended 31 December 2010 show that the company made a profit of Shs 3,779,000 (2009 –Shs 1,312,000).

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2009 – Shs nil).

Mercantile Finance Company Limited did not trade during the year ended 31 December 2010. Its activities are limited to the recovery of its non performing debts. The audited financial statements show that the company made no profit or loss for the year (2009 – Shs nil).

The African Mercantile Banking Company Limited did not trade during the year ended 31 December 2010. The audited financial statements show that the company made no profit or loss for the year (2009 – Shs nil).

26) Property and equipment

NOTES TO THE FINANCIAL STATEMENTS (continued)

GROUP

	Buildings Shs `000	Furniture, fittings and equipment Shs `000	Motor vehicles Shs `000	Work in progress Shs `000	Total Shs `000
COST OR VALUATION					
At 1 January 2009	370,000	688,468	14,863	32,555	1,105,886
Additions	-	208,563	4,209	7,792	220,564
Transfers	-	37,269	-	(37,269)	-
On acquisition of subsidiary	-	42,902	5,334	-	48,236
Exchange difference on translation	-	(666)	(222)	-	(888)
Disposals	-	(11,273)	(2,748)	-	(14,021)
At 1 January 2010	370,000	965,263	21,436	3,078	1,359,777
Additions	-	69,431	2,379	30,233	102,043
Transfers - WIP	-	3,078	-	(3,078)	-
Translation adjustments	-	(2,097)	(667)	-	(2,764)
Disposals	-	(18,617)	(4,334)	-	(22,951)
At 31 December 2010	370,000	1,017,058	18,814	30,233	1,436,105
Comprising:					
Cost	144,617	1,017,058	18,814	30,233	1,210,722
Valuation - 2008	225,383	-	-	-	225,383
	370,000	1,017,058	18,814	30,233	1,436,105
DEPRECIATION					
At 1 January 2009	-	425,108	6,781	-	431,889
On acquisition of subsidiary	-	16,152	4,710	-	20,862
Charge for the year	11,212	107,142	2,990	-	121,344
Exchange difference on translation	-	487	128	-	615
Eliminated on disposals	-	(10,512)	(2,676)	-	(13,188)
At 1 January 2010	11,212	538,377	11,933	-	561,522
Translation adjustments	-	(1,278)	(381)	-	(1,659)
Charge for the year	11,212	133,089	4,153	-	148,454
Eliminated on disposals	-	(18,408)	(4,334)	-	(22,742)
At 31 December 2010	22,424	651,780	11,371	-	685,575
NET BOOK VALUE					
At 31 December 2010	347,576	365,278	7,443	30,233	750,530
At 31 December 2009	358,788	426,886	9,503	3,078	798,255

Buildings were revalued at Shs 370 million as at 31 December 2008 by registered professional valuers, Knight Frank Limited on an open market value basis by reference to market evidence of recent transactions for similar properties. Buildings are revalued every 3-5 years. At 31 December 2010, the net book value of buildings based on original cost was Shs 106,718,000 (2009 - Shs 117,738,000). Work in progress relates to the ongoing branch expansion programme in Tanzania. There were no capitalised borrowing costs related to the acquisition of property and equipment during the year 2010 (2009 - Shs nil).

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 410,158,202 (2009 - Shs 319,164,165) which were fully depreciated. The notional depreciation charge on these assets would have been Shs 90,667,041 (2009 - Shs 70,598,376). Computer equipment is included under furniture, fittings and equipment.

26) Property and equipment (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

BANK

	Buildings Shs `000	Furniture, fittings and equipment Shs `000	Motor vehicles Shs `000	Work in progress Shs `000	Total Shs `000
COST OR VALUATION					
At 1 January 2009	370,000	685,550	14,863	32,555	1,102,968
Additions	-	206,137	1,974	7,792	215,903
Transfers	-	37,269	-	(37,269)	-
Disposals	-	(11,273)	(2,748)	-	(14,021)
At 1 January 2010	370,000	917,683	14,089	3,078	1,304,850
Additions	-	55,680	2,300	-	57,980
Transfers	-	3,078	-	(3,078)	-
Disposals	-	(18,363)	(1,600)	-	(19,963)
At 31 December 2010	370,000	958,078	14,789	-	1,342,867
Comprising:					
Cost	144,617	958,078	14,789	-	1,117,484
Valuation – 2008	225,383	-	-	-	225,383
	370,000	958,078	14,789	-	1,342,867
DEPRECIATION					
At 1 January 2009	-	424,397	6,781	-	431,178
Charge for the year	11,212	104,293	2,006	-	117,511
Eliminated on disposals	-	(10,512)	(2,676)	-	(13,188)
At 1 January 2010	11,212	518,178	6,111	-	535,501
Charge for the year	11,212	125,423	2,379	-	139,014
Eliminated on disposals	-	(18,314)	(1,600)	-	(19,914)
At 31 December 2010	22,424	625,287	6,890	-	654,601
NET BOOK VALUE					
At 31 December 2010	347,576	332,791	7,899	-	688,266
At 31 December 2009	358,788	399,505	7,978	3,078	769,349

Buildings were revalued at Shs 370 million as at 31 December 2008 by registered professional valuers, Knight Frank Limited on an open market value basis by reference to market evidence of recent transactions for similar properties. At 31 December 2010, the net book value of buildings based on original cost was Shs 106,718,000 (2009 – Shs 117,738,000).

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 396,101,289 (2009 – Shs 304,803,088) which were fully depreciated. The notional depreciation charge on these assets would have been Shs 87,714,028 (2009 – Shs 68,869,844). Computer equipment is included under furniture, fittings and equipment.

27) Intangible assets

NOTES TO THE FINANCIAL STATEMENTS (continued)

	Note	GROUP		BANK	
		2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Computer software	27(a)	141,070	66,280	129,357	57,893
Goodwill	27(b)	375,426	375,426	-	-
NSE Licence	27(c)	251,000	251,000	-	-
At 31 December		767,496	692,706	129,357	57,893

Details of the intangible assets are as follows:

a) Computer software

	GROUP		BANK	
	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
COST				
At 1 January	226,451	188,962	217,406	188,962
On acquisition of subsidiary	-	795	-	-
Exchange difference on translation	(490)	(531)	-	-
Work in progress	45,876	-	45,876	-
Additions	55,481	37,225	49,297	28,444
At 31 December	327,318	226,451	312,579	217,406
AMORTISATION				
At 1 January	160,171	135,052	159,513	135,052
On acquisition of subsidiary	-	265	-	-
Exchange difference on translation	(163)	-	-	-
Charge for the year	26,240	24,854	23,709	24,461
At 31 December	186,248	160,171	183,222	159,513
NET BOOK VALUE				
At 31 December	141,070	66,280	129,357	57,893

Computer software of the Group with a gross value of Shs 145,590,123 (2009 – Shs 86,281,160) is fully amortised but still in use. The notional amortisation charge on these assets would have been Shs 29,118,025 (2009 – Shs 17,256,232).

Work in progress relates to mobilisation and progression fees paid towards the purchase of banking software.

27) Intangible assets (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

b) Goodwill

	Note	2010 Shs'000	2009 Shs'000
At 1 January		375,426	119,371
On purchase of additional shares in NIC Securities	36(a)	-	4,059
On acquisition of NIC Bank Tanzania Ltd	36(b)	-	251,996
At 31 December		375,426	375,426

Goodwill is reviewed annually for impairment or more frequently when there are indications that impairment may have occurred. There was no impairment identified in 2010 (2009: Shs nil).

c) NSE Licence

	2010 Shs'000	2009 Shs'000
	251,000	251,000

This licence refers to the seat at the Nairobi Stock Exchange held by the Group through NIC Securities Limited. The license has an indefinite useful life and is reviewed at the end of each reporting period to determine whether events and circumstances continue to support an indefinite useful life assessment of the asset.

28) Operating lease prepayments – Leasehold land

GROUP AND BANK

COST

At 31 December

	2010 Shs `000	2009 Shs `000
	10,000	10,000

AMORTISATION

At 1 January

Charge for the year

	2010	2009
	2,250	2,125
	125	125

At 31 December

	2,375	2,250
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NET BOOK VALUE

	7,625	7,750
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29) Customer deposits

GROUP

BANK

	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Current accounts	20,912,252	14,098,495	20,280,121	12,097,064
Savings accounts	2,450,211	1,515,384	1,974,406	1,011,510
Call deposits	1,694,100	2,709,443	1,694,100	2,709,443
Fixed deposits	23,293,234	21,070,658	21,240,596	21,039,049
Other deposits	142,427	120,295	128,438	120,294
	48,492,224	39,514,275	45,317,661	36,977,360
Weighted average effective interest	3.45%	5.30%	3.35%	5.28%

29) Customer deposits (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

Customer deposits only include financial instruments classified as liabilities at amortised cost. Fixed and call deposits are at fixed interest rates and all other deposits are at variable rates.

Other deposits are those held as collateral for irrevocable commitments mainly under import letters of credit and performance bonds. Their fair value approximates the carrying amount.

30) Deposits and balances due to banking institutions

	GROUP		BANK	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Maturing within 90 days:				
Deposits due to banking institutions	733,452	56,767	101,479	-
Weighted average effective interest	1.8%	2.0%	2.0%	5.0%

Deposits due to banking institutions only include financial instruments classified as liabilities at amortised cost.

31) Line of credit

GROUP AND BANK

The Bank has an unsecured revolving medium term line of credit with Agence Francaise De Development (PROPARCO) for on-lending to customers with varying maturities as shown below. As at 31 December 2010, the amount outstanding was US \$ 3,763,000 (2009 – US \$ 6,140,000) equivalent to Shs 303,284,000 (2009 – Shs 465,202,000).

	2010 Shs `000	2009 Shs `000
Maturity		
Payable within one year	130,521	210,336
Payable after one year and within three years	158,889	218,472
Payable after three years	13,874	36,394
	303,284	465,202
Weighted average effective interest	2.8%	3.5%

Line of credit includes financial instruments classified as liabilities at amortised cost.

32) Amounts due to Group companies

BANK

	2010 Shs `000	2009 Shs `000
Deposits held		
- NIC Capital	38,602	11,522
- Mercantile Finance Company	5,210	5,210
- NIC Securities	120,572	163,886
- NIC Insurance Agents	3,994	1,452
Other payables		
- Mercantile Finance Company	42,020	42,020
- NIC Bank Tanzania	54,420	-
	264,818	224,090

33) Other liabilities

NOTES TO THE FINANCIAL STATEMENTS (continued)

	GROUP		BANK	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Bills payable	292,454	192,001	235,900	177,190
Other payables and accruals	498,179	349,566	403,284	274,400
Legal and other claims	21,132	52,389	1,713	24,980
Trade payables	61,708	51,551	-	-
Leave pay provision	18,721	20,900	18,029	15,653
	892,194	666,407	658,926	492,223

Legal and other claims relate substantially to a provision for charges brought against the Group by customers of the brokerage subsidiary, NIC Securities Limited. In the directors' opinion, after taking appropriate legal advice, the outcome of these legal claims will not give rise to any significant loss beyond the amounts provided at 31 December 2010.

34) Dividends

At the Annual General Meeting scheduled for 25 May 2011, a final dividend in respect of 2010 of Shs 0.25 per share (2009 - Shs 0.25 per share) amounting to a total of Shs 89,749,000 (2009 - Shs 81,590,000) is to be proposed by the Board of Directors.

During the year an interim dividend in respect of 2010 of Shs 0.25 per share (2009 - Shs 0.25 per share) amounting to a total of Shs 89,749,000 (2009 - Shs 81,590,000) was paid.

The total estimated dividend for the year to be paid is therefore Shs 0.50 per share (2009 - Shs 0.50 per share) amounting to a total of Shs 179,498,000 (2009 - Shs 163,180,000). The final proposed dividend for the year is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

GROUP AND BANK

The movement in unclaimed dividends is as follows:

	2010 Shs `000	2009 Shs `000
At 1 January	43,825	36,552
Final dividend declared	81,590	74,173
Interim dividend declared	89,749	81,590
Dividends paid	(164,983)	(148,490)
At 31 December	50,181	43,825

Payment of dividends to members with shareholding of up to 12.5% is subject to withholding tax at the rate of 5.0% for residents and 10.0% for non-residents.

35) Share capital and reserves

NOTES TO THE FINANCIAL STATEMENTS (continued)

a) Share capital and share premium

GROUP AND BANK

	Number of shares	Share capital Shs `000	Share premium Shs `000
At 1 January 2009	296,692,384	1,483,462	340,946
Bonus issue	29,669,238	148,346	(148,346)
At 31 December 2009	326,361,622	1,631,808	192,600
At 1 January 2010	326,361,622	1,631,808	192,600
Bonus issue	32,636,162	163,181	(163,181)
Bonus issue expenses	-	-	(571)
At 31 December 2010	358,997,784	1,794,989	28,848

As at 31 December 2010 the authorised share capital of the Bank comprised of 400,000,000 ordinary shares with a par value of Shs 5. The issued shares as at 31 December 2010 are 358,997,784 (2009: 326,361,622) and are fully paid. Issued and fully paid ordinary shares, which have a par value of Shs 5, carry one vote per share and carry a right to dividend.

During the year, the Bank capitalized the sum of Shs 163,180,810 from the credit of the share premium account and appropriated the amount to ordinary shareholders by way of a 1 for 10 bonus issue. The bonus issue was approved by way of ordinary resolution at the Annual General Meeting held on 12 May 2010. The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at General Meetings of the Bank.

Premiums from the issue of shares are reported as share premiums. During the year, a portion of this was utilised to cater for the bonus issue and related bonus issue expenses.

b) Revaluation surplus on property

Revaluation reserve is made up of the periodic adjustment arising from the fair valuation of buildings, net of the related deferred taxation. The reserve is not available for distribution to the shareholders.

c) Investments revaluation reserves

This represents the unrealized increase or decrease in the fair value of available-for-sale investments, excluding impairment losses. The reserves are not available for distribution to the shareholders.

d) Foreign currency translation reserve

This reserve represents exchange differences arising from translation of the net assets of the Group's foreign operation (NIC Bank Tanzania Limited) from their functional currency (Tanzania Shillings) to the Group's presentation currency (Kenya Shillings). These differences are recognised directly through other comprehensive income and accumulated in the foreign currency translation reserve. The Group acquired effective control of NIC Bank Tanzania Limited on 1 May 2009. The reserve is not available for distribution to the shareholders.

e) Statutory reserves

Where impairment losses required by prudential guidelines issued by the banking regulators exceed those computed under the International Financial Reporting Standards (IFRS), the excess is recognised as a statutory reserve and accounted for as an appropriation from revenue reserves. The reserves are not available for distribution to the shareholders.

f) Revenue reserves

This represents cumulative profits from current and previous years. The reserves are available for distribution to the shareholders.

36 Business combinations

NOTES TO THE FINANCIAL STATEMENTS (continued)

a) NIC Securities

On 31 December 2007, the Bank acquired 57.7% of NIC Securities Limited (formerly Solid Investment Securities Limited) through its wholly owned subsidiary NIC Capital Limited. Through combinations of direct buy-outs and additional rights issues, the Group increased its share of the subsidiary to 91.3% in 2009.

I. Purchase consideration

	2010 Shs `000	2009 Shs `000
Purchase consideration	-	14,949
Fair value of net assets acquired	-	(10,890)
Goodwill (note 27(b))	-	4,059

Goodwill is attributable to the acquisition of NIC Securities Limited, one of the brokerage companies in the country. The brokerage has a seat in the Nairobi Stock Exchange which gives the Group the right to directly deal and trade on the bourse.

II. Acquisition of subsidiary, net of cash used

	2010 Shs `000	2009 Shs `000
Fair value of net assets	-	345,869
Non-controlling interest	-	(30,929)
Goodwill	-	123,430
Total purchase consideration	-	438,370
Purchase consideration settled in cash	-	438,370
Less: amounts paid out in prior years	-	(423,421)
Cash outflow on acquisition	-	14,949

III. Non-controlling interest

	2010 Shs `000	2009 Shs `000
At 1 January	30,929	41,279
On purchase of additional shares in NIC Securities	-	(10,890)
Share of profit	1,235	540
At 31 December	32,164	30,929

NOTES TO THE FINANCIAL STATEMENTS (continued)

b) NIC Bank Tanzania

On 1 May 2009, the Group acquired a 51% stake in one of Tanzania's mid-sized commercial bank, NIC Bank Tanzania Limited. NIC Bank Tanzania Ltd was founded as a non-bank financial institution in 1994, converted to a fully fledged commercial bank in 2005 and has branches in Dar es Salaam, Mwanza and Arusha.

I. Purchase consideration

	2010 Shs '000	2009 Shs '000
Purchase consideration	-	561,475
Direct costs relating to the acquisition	-	34,810
Total purchase consideration	-	596,285
Fair value of net assets acquired (51%)		
Cash and cash equivalents	-	993,161
Loans and advances to customers	-	870,488
Other assets	-	19,722
Customers deposits	-	(1,380,762)
Other liabilities	-	(158,320)
	-	344,289
Goodwill (note 27(b))	-	251,996

The goodwill arising from this acquisition is attributable to the expected benefits of providing the Group's regionally and internationally connected businesses and individuals a regional on-the-ground branch presence.

II. Acquisition of subsidiary, net of cash used

	2010 Shs'000	2009 Shs'000
Fair value of net assets	-	675,076
Non-controlling interest	-	(330,787)
Goodwill	-	251,996
Total purchase consideration	-	596,285
Purchase consideration settled in cash	-	596,285
Cash and cash equivalents in acquired subsidiary	-	(1,688,477)
Cash inflow on acquisition	-	(1,092,192)

III. Non-controlling interests

At 1 January	336,849	-
On acquisition of subsidiary	-	330,787
Share of post acquisition profit	45,450	6,062
At 31 December	382,299	336,849

36 Business combinations (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

c) Non-controlling interests

	2010 Shs'000	2009 Shs'000
At 1 January	367,781	41,279
On acquisition of NIC Bank Tanzania	-	330,787
On acquisition of additional share capital in NIC Securities	-	(10,886)
Share of profit for the year	46,686	6,601
At 31 December	414,467	367,781

The total non controlling interest consists of equity interest in subsidiaries:

	2010		2009	
	Ownership %	Amount Shs'000	Ownership %	Amount Shs'000
NIC Bank Tanzania	49.0	382,299	49.0	336,852
NIC Securities	8.7	32,168	8.7	30,929
At 31 December		414,467		367,781

d) Total Goodwill

	Note	2010 Shs'000	2009 Shs'000
At 1 January		375,426	119,371
On acquisition of NIC Bank Tanzania	36(b)	-	251,996
On subscription of additional shares in NIC Securities	36(a)	-	4,059
At 31 December		375,426	375,426

The total goodwill consists of equity interest held by the Group in:

	2010		2009	
	Ownership %	Amount Shs'000	Ownership %	Amount Shs'000
NIC Bank Tanzania	51.0	251,996	51.0	251,996
NIC Securities	91.3	123,430	91.3	123,430
At 31 December		375,426		375,426

37) Off balance sheet financial instruments, contingent liabilities and commitments

NOTES TO THE FINANCIAL STATEMENTS (continued)

a) Contingent liabilities

	GROUP		BANK	
	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Letters of credit	3,776,587	2,685,558	3,763,662	2,539,359
Letters of guarantee and performance bonds	6,981,496	4,377,451	6,818,173	4,299,236
	10,758,083	7,063,009	10,581,835	6,838,595

In the ordinary course of business, the Group conducts business involving acceptances, letters of credit, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for purchase and sale of foreign currencies, the nominal amounts of which are not reflected in the statement of financial position.

Letters of credit are commitments by the Group to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers. Letters of guarantee and performance bonds are issued by the bank, on behalf of customers, to guarantee performance by customers to third parties. The Group will only be required to meet these obligations in the event of default by the customers.

b) Operating lease prepayments

i) The Group as a lessor

At the end of the reporting period, the Group had contracted with tenants for the following future lease receivables:

	2010 Shs'000	2009 Shs'000
Within one year	1,976	1,194
In the second to fifth year inclusive	2,038	4,774
	4,014	5,968

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months notice to vacate the premises.

ii) The Group as a lessee

At the end of the reporting period, the Group had non cancellable operating leases which fall due as follows:

	Premises		Office equipment	
	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Within one year	58,749	25,487	2,696	1,210
In the second to fifth year inclusive	185,747	77,332	2,696	-
	244,496	102,819	5,392	1,210

Operating lease payments represent rentals payable by the Group for its office premises and office equipment. Premises leases are negotiated for an average term of 6 years, while office equipment is for an average term of 3 years.

37) Off balance sheet financial instruments, contingent liabilities and commitments (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

c) Capital commitments

	2010 Shs `000	2009 Shs `000
Authorised and contracted for	24,734	-
Authorised but not contracted for	289,600	251,792
	314,334	251,792

d) Other credit commitments

Commitments to lend are agreements to lend to customers in future subject to certain conditions. Such commitments are normally made for fixed periods. The bank may withdraw from its contractual obligations to extend credit by giving reasonable notice to the customers.

38) Notes to the consolidated statement of cashflows

a) Cash generated from operations

	2010 Shs `000	2009 Shs `000
Reconciliation of profit before tax to cash generated from/(used in) operations		
Profit before tax	2,608,392	1,526,793
Adjustments for:		
Depreciation	148,454	121,344
Amortisation of operating lease prepayments	125	125
Amortisation of intangible assets	26,240	24,854
Gain on sale of investments	(3,681)	-
Gain on revaluation of fair value through profit and loss investment	(703)	-
Cumulative loss reclassified to equity on sale of investment	4,154	-
Gain on sale of equipment	(2,193)	(1,843)
Profit before working capital changes	2,780,788	1,671,273
Increase in balances with Central Banks		
– Mandatory reserve deposits	(217,911)	(158,935)
Increase in loans and advances to customers	(8,243,897)	(920,464)
Outflows on purchase of quoted shares held for trading	(50,000)	-
Inflows on disposal of quoted shares – available for sale	45,679	-
Increase in Government securities maturing after 90 days	(1,257,162)	(1,686,285)
Net movement in derivatives held for risk management	(1,923)	(82,963)
(Increase)/decrease in other assets	(24,372)	20,172
Increase in customer deposits	8,977,949	1,598,308
Increase/(decrease) in other liabilities	246,037	(413,570)
Decrease in line of credit	(161,918)	(198,073)
Cash generated from/(used in) operations	2,093,270	(170,537)

38) Notes to the consolidated statement of cashflows (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

b) Cash and cash equivalents

	Note	2010 Shs `000	2009 Shs `000
Analysis of balances of cash and cash equivalents as shown in the consolidated statement of financial position and notes			
Cash and balances with central banks	16	2,317,451	1,591,403
Government securities	19	-	418,616
Deposits and balances due from banking institutions	18	6,374,825	4,936,616
Items in course of collection	17	295,760	197,149
Deposits and balances due to banking institutions	30	(733,452)	(56,767)
		8,254,584	7,087,017

c) Proceeds from sale of equipment

Cost of equipment sold	26	22,951	14,021
Depreciation eliminated on disposal	26	(22,742)	(13,188)
Gain on disposal of equipment	10	2,193	1,843
Proceeds from sale of equipment		2,402	2,676

39) Related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

In the normal course of business, a number of banking transactions are entered into with related parties i.e. staff, directors, their associates and companies associated with directors. These include loans, deposits and foreign currency transactions. Loans and advances to customers at 31 December include loans and advances to staff and to companies associated with directors. Contingent liabilities at 31 December include guarantees and letters of credit for companies associated with directors.

	Companies associated to directors		Employees/Staff	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Loans and advances to customers:				
At 1 January	796,813	444,408	390,319	300,014
Net movement during the year	244,016	352,405	88,777	90,305
At 31 December	1,040,829	796,813	479,096	390,319
Interest earned	80,406	50,507	26,659	25,533
Guarantees and letters of credit to companies associated with directors	325,883	325,078	-	-
These loans and advances are performing and are adequately secured.				

39) Related party transactions (continued)

NOTES TO THE FINANCIAL STATEMENTS (continued)

	Companies associated to directors		Employees/Staff	
	2010 Shs `000	2009 Shs `000	2010 Shs `000	2009 Shs `000
Customer deposits:				
At 1 January	4,786,074	4,501,976	81,925	50,487
Net movement during the year	221,222	284,098	(2,927)	31,438
At 31 December	5,007,296	4,786,074	78,998	81,925
Interest paid	280,860	276,324	1,661	2,910
Other amounts outstanding at the end of the reporting period are disclosed in notes 24 and 32.				

Key management compensation

The remuneration of directors and other members of key management during the year were as follows:

	2010 Shs `000	2009 Shs `000
Salaries and other benefits	276,977	318,154
Directors' remuneration		
Fees for services as directors	8,111	5,705
Other emoluments (included in key management compensation above)	97,742	85,495
	105,853	91,200

In line with policy, the above compensation is a consolidated salary package encompassing all employment benefits and pension.

40) Assets pledged as security

As at 31 December 2010, there were no assets pledged by the Group to secure liabilities and there were no secured Group liabilities (2009: Shs nil).

41) Fiduciary activities

The Bank holds asset security documents on behalf of customers with a value of Shs 24,073,563,551. (2009 – Shs 23,403,759,517). These securities are held by the custody services department and comprise deposits with financial institutions, Government securities and quoted and unquoted securities, among others.

NOTES TO THE FINANCIAL STATEMENTS (continued)

42) (a) Maturity analysis of financial liabilities and assets

2010	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	4 to 5 Years Shs'000	Over 5 Years Shs'000	Total Shs'000
FINANCIAL LIABILITIES							
Customer deposits	25,675,507	14,601,419	8,056,803	158,495	-	-	48,492,224
Deposits and balances due to banking institutions	733,452	-	-	-	-	-	733,452
Line of credit	29,204	-	101,317	158,889	13,874	-	303,284
Unclaimed dividends	50,181	-	-	-	-	-	50,181
Other liabilities	425,890	20,807	462,694	172,161	-	-	1,081,552
Total financial liabilities	26,914,234	14,622,226	8,620,814	489,545	13,874	-	50,660,693
FINANCIAL ASSETS							
Cash and balances with Central Banks	3,746,255	524,513	373,565	6,407	-	47,997	4,698,737
Items in the course of collection	295,760	-	-	-	-	-	295,760
Deposits and balances due from banking institutions	5,515,724	770,441	88,660	-	-	-	6,374,825
Government securities	-	622,738	708,402	1,392,159	246,365	2,104,367	5,074,031
Derivative assets held for risk management	3,323	-	-	-	-	-	3,323
Loans and advances to customers	4,243,189	4,713,068	10,860,673	10,546,275	6,135,754	4,256,020	40,754,979
Other Assets	286,616	-	-	-	-	-	286,616
Total financial assets	14,090,867	6,630,760	12,031,300	11,944,841	6,382,119	6,408,384	57,488,271
Net liquidity gap	12,823,367	7,991,466	(3,410,486)	(11,455,296)	(6,368,245)	(6,408,384)	(6,827,578)
2009							
Total financial liabilities	17,680,752	17,306,798	5,376,173	302,534	36,394	-	40,702,651
Total financial assets	11,068,872	3,108,134	12,613,583	9,987,644	5,669,126	3,476,268	45,923,627
Net liquidity gap	6,611,880	14,198,664	(7,237,410)	(9,685,110)	(5,632,732)	(3,476,268)	(5,220,976)

NOTES TO THE FINANCIAL STATEMENTS (continued)

42) (b) Liquidity risk (undiscounted)

2010	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	25,742,721	14,718,040	8,296,953	173,264	-	48,930,978
Deposits and balances due to banking institutions	808,603	-	-	-	-	808,603
Line of credit	29,271	-	104,123	118,911	68,208	320,513
Total financial liabilities	26,580,595	14,718,040	8,401,076	292,175	68,208	50,060,094
FINANCIAL ASSETS						
Cash and balances with Central Banks	2,742,932	524,513	376,888	6,407	47,997	3,698,737
Items in the course of collection	295,760	-	-	-	-	295,760
Deposits and balances due from banking institutions	5,452,441	770,833	89,786	-	-	6,313,060
Government securities	-	635,815	767,908	1,720,558	3,338,039	6,462,320
Loans and advances to customers	4,283,155	4,840,426	12,027,719	13,837,861	14,020,581	49,009,742
Total financial assets	12,774,288	6,771,587	13,262,301	15,564,826	17,406,617	65,779,619
Net liquidity gap	13,806,307	7,946,453	(4,861,225)	(15,272,651)	(17,338,409)	(15,719,525)
2009						
Total financial liabilities	17,823,483	17,660,345	5,834,123	355,171	40,226	41,713,348
Total financial assets	11,363,786	3,166,235	13,941,150	14,253,094	11,945,351	54,669,616
Net liquidity gap	6,459,697	14,494,110	(8,107,027)	(13,897,923)	(11,905,125)	(12,956,268)

NOTES TO THE FINANCIAL STATEMENTS (continued)

43) Interest rate risk

2010	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Non – interest Bearing Shs'000	Total Shs'000
FINANCIAL ASSETS							
Cash and balances with Central Banks	-	-	-	-	-	4,698,737	4,698,737
Items in the course of collection	-	-	-	-	-	295,760	295,760
Deposits and balances due from banking institutions	5,515,724	770,441	88,660	-	-	-	6,374,825
Government securities	-	622,738	708,402	1,392,159	2,350,732	-	5,074,031
Derivative assets held for risk management	3,323	-	-	-	-	-	3,323
Loans and advances to customers	40,161,437	19,734	157,275	311,027	105,506	-	40,754,979
Total financial assets	45,680,484	1,412,913	954,337	1,703,186	2,456,238	4,994,497	57,201,655
FINANCIAL LIABILITIES							
Customer deposits	17,812,081	14,601,419	8,056,803	158,495	-	7,863,426	48,492,224
Deposits and balances due to banking institutions	733,452	-	-	-	-	-	733,452
Line of credit	29,204	-	101,317	158,889	13,874	-	303,284
Total financial liabilities	18,574,737	14,601,419	8,158,120	317,384	13,874	7,863,426	49,528,960
Interest rate sensitivity gap	27,105,747	(13,188,506)	(7,203,783)	1,385,802	2,442,364	(2,868,929)	7,672,695
2009							
Total financial assets	36,243,580	302,247	3,666,350	942,713	626,288	3,951,927	45,733,105
Total financial liabilities	5,510,858	17,090,656	5,134,008	118,114	27,767	12,098,074	39,979,477
Interest rate sensitivity gap	30,732,722	(16,788,409)	(1,467,658)	824,599	598,521	(8,146,147)	5,573,628

NOTES TO THE FINANCIAL STATEMENTS (continued)

44) Foreign exchange (currency) risk

2010	GBP Shs'000	USD Shs'000	EURO Shs'000	Others Shs'000	Total Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Banks	271,583	510,929	107,843	92,681	983,036
Deposits and balances due from banking institutions	372,459	1,541,568	1,142,311	574,350	3,630,688
Loans and advances to customers	340,398	12,465,164	590,191	-	13,395,753
Other assets	77,292	394,677	78,212	6,219	556,400
Total financial assets	1,061,732	14,912,338	1,918,557	673,250	18,565,877
FINANCIAL LIABILITIES					
Customer deposits	1,011,031	9,578,182	2,295,184	46,642	12,931,039
Deposits due to banking institutions	7,991	81,451	8,170	884	98,496
Other liabilities	-	653,389	-	-	653,389
Line of credit	-	289,580	13,704	-	303,284
Total financial liabilities	1,019,022	10,602,602	2,317,058	47,526	13,986,208
Net balance sheet position	42,710	4,309,736	(398,501)	625,724	4,579,669
OFF BALANCE SHEET POSITION	(73,336)	(4,355,702)	376,478	(686,930)	(4,739,490)
2009					
Total financial assets	917,503	11,167,031	1,080,852	484,614	13,649,999
Total financial liabilities	794,063	7,059,016	858,331	10,814	8,722,223
Net balance sheet position	123,440	4,108,015	222,521	473,800	4,927,776
OFF BALANCE SHEET POSITION	(121,634)	(3,887,537)	(210,402)	(458,695)	(4,678,268)

NOTES TO THE FINANCIAL STATEMENTS (continued)

45) Segmental reporting – by business segments

	Corporate & Institutional Banking Shs '000	Treasury Dealing and Brokerage Shs '000	Retail Banking Shs '000	Asset Finance Shs '000	Investment Banking and Others Shs '000	Total Shs'000
2010						
Total operating income	2,101,776	1,008,486	708,731	894,262	500,225	5,213,480
Profit before tax and impairment allowances	1,286,412	569,690	290,061	553,426	225,443	2,925,032
Impairment allowances	182,971	-	-	107,174	26,495	316,640
Profit before tax	1,103,441	569,690	290,061	446,252	198,948	2,608,392
Loans and advances to customers	27,070,664	-	2,271,532	8,998,683	2,414,100	40,754,979
Customer deposits	33,214,327	-	12,103,334	-	3,174,563	48,492,224

2009

Total operating income	1,657,560	473,388	742,690	704,790	262,650	3,841,078
Profit before tax and impairment allowances	951,132	247,251	293,905	458,038	39,951	1,990,277
Impairment allowances	324,000	-	9,800	90,779	38,905	463,484
Profit before tax	627,132	247,251	284,105	376,259	1,046	1,526,793
Loans and advances to customers	20,474,881	-	3,330,225	8,435,175	1,485,738	33,726,019
Customer deposits	28,157,135	-	8,820,225	-	2,536,915	39,514,275

Liabilities and all other assets, other than advances to customers, are not directly attributable and neither can they be allocated to a particular segment. Consequently, these have not been included in segment information.

There were no revenues deriving from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the fifty first Annual General Meeting of the shareholders of NIC Bank Limited will be held at the Kenyatta International Conference Centre (KICC), Nairobi, on Wednesday 25 May 2011, at 11.00 am for the following purposes:

1. To receive, consider and if thought fit, adopt the Financial Statements for the year ended 31 December 2010 and the Directors' and Auditors' Reports thereon.
2. To confirm the payment of the interim dividend of 5% (Shs 0.25 per share) paid on 5 October 2010 and to approve the payment of a final dividend of Shs 0.25 (2009 Shs 0.25 per share) on the paid up capital of Shs 1,794,988,918.
3. To approve the payment of fees to the Directors for the year ended 31 December 2010.
4. To note that Deloitte & Touche will continue in office as the Auditors by virtue of section 159(2) of the Companies Act (Cap.486) subject to Central Bank of Kenya approval in accordance with section 24(1) of the Banking Act (Cap.488) and to authorize the directors to fix their remuneration.
5. To elect Directors:

In accordance with Articles 108, 109 and 110 of the Company's Articles of Association, the following directors retire by rotation and being eligible, offer themselves for re-election:

- i) A S M Ndegwa
- ii) G A Maina
- iii) I Ochola - Wilson

6. Special business:

i. Bonus issue

To consider and if thought fit, pass the following resolution which will be proposed as an ORDINARY RESOLUTION:

'That it is desirable in pursuance of Article 152 of the Articles of Association to capitalize the sum of Shs 179,498,890 being the amount standing to the credit of the share premium reserve and part of the revenue reserves of the company and accordingly that such sum be capitalized and that the Directors be and are hereby authorized and directed to appropriate such sum to the holders of ordinary shares registered at the close of business on 7th April, 2011 subject to receipt by the Company

of the necessary consent from the relevant authorities, from whom permission has been sought, in proportion to the number of ordinary shares held by them respectively on 7 April 2011 and to apply such sum on behalf of such holders in paying up in full at par 35,899,778 of the unissued shares of the capital of the company, such shares to be allotted, distributed and credited as fully paid up to and amongst such holders in the proportion of one new ordinary share for every ten ordinary shares then held, and that such new shares shall rank for all purposes *pari passu* with the existing issued ordinary shares of the Company and that the directors be and are hereby also authorized generally to do and effect all acts and things required to give effect to this Resolution and to deal with fractions in such manner as they think fit subject always to the Articles of Association of the Company'.

ii. Miscellaneous amendments to the Articles of Association regarding payment of dividends, unclaimed dividends and notices.

In view of the emerging trends and the transformation in the Information and Communication Technology (ICT) sector, it has become necessary to amend the Articles of Association to cater for electronic delivery of information to shareholders and payment of dividends to shareholders using various means, including electronic means.

The Articles of Association of the Company shall therefore be amended by deleting the existing Articles 146, 147, 149, 160, 161 and 163 in their entirety and substituting them with new Articles 146, 147, 149, 160, 161 and 163 as follows:

a) Article 146:

Any dividend or other money payable in cash on or in respect of shares may be paid by electronic funds transfer or other automated system of bank transfer, electronic or mobile money transfer system, transmitted to such bank or electronic or mobile telephone address as shown in the share register of the Company or by cheque or warrant payable at such place of business as the Company shall specify in writing, sent through the post to the address of the member or person entitled to it as shown in the share register of the Company or if two or more persons are registered as joint holders of the shares, to the registered address of the joint holder who is first named in the share register of the Company or in the case of two or more

NOTICE OF THE ANNUAL GENERAL MEETING

persons being entitled thereto in consequence of the death or bankruptcy of the holder, to any one of such persons at such address as the persons being entitled to receive payment may in writing direct.

b) Article 147:

Every such cheque or warrant or funds transfer shall be made payable to or to the order of the person to whom it is sent or to such person who may be entitled to the same (as described in Article 146 aforesaid). Payment of the cheque or warrant, if purporting to be endorsed or enfaced, by the addressee or as the case may be, confirmation of payment having been made by the transmitting entity to the addressee of a direct debit, bank transfer or other automated system of bank transfer or via a mobile money transfer system, shall in each case be a good discharge to the Company. Every such payment whether by cheque or warrant or electronic funds transfer or mobile money payments system shall be sent at the risk of the person entitled to the money represented by it.

c) Article 149:

All dividends, interest or other sum payable and unclaimed for 12 months after having become payable may be invested or otherwise made use of by the Directors for the benefit of the Company until claimed and the Company shall not be constituted a trustee in respect thereof. All dividends unclaimed for a period of 7 years after having been declared or become due for payment shall be forfeited and be paid by the Company to the Investor Compensation Fund in accordance with Section 18(ee) of the Capital Markets Act (Cap 485A) and shall cease to remain owing by the Company.

d) Article 160:

Any notice or other document may be served by the Company on any member or Director either personally or by sending it through the post (by airmail where service is available) in a prepaid letter, or by facsimile or through electronic media addressed to such Member or Director at his registered address as appearing in the Register of Members or the Company's other records, whether such address shall be within or outside Kenya.

e) Article 161:

Any notice required to be given by the Company to the Members, or any of them, and not expressly provided for by these Articles, shall be sufficiently given if given by advertisement. Provided that in the case of an Annual General Meeting, such notice may also be given by: (a) Publishing a notice containing a summary of both the annual financial statements and auditors' report, in at least two daily newspapers with national circulation for at least two days drawing attention to the website on which the accounts in full may be read; or (b) sending to every member, a notice through the electronic media containing a summary of both the annual financial statement and auditors' report.

f) Article 163:

Where a notice or other document is sent by post it shall be deemed to have been served on the third day after the day on which it was posted, if addressed within Kenya, and on the fifth day after the day on which it was posted, if addressed outside Kenya. In proving such service or sending, it shall be sufficient to prove that the cover containing the notice or document was properly addressed and put into the post office as a prepaid letter or prepaid airmail letter. Where a notice is sent by facsimile or electronic media it shall be deemed to have been served at the expiration of twenty-four hours after the time at which it was sent. Where notice is published in a daily newspaper, it shall be deemed to be served on the day on which it is first published.

7. To transact any other business of the Annual General Meeting of which due notice has been received.

BY ORDER OF THE BOARD

L MURAGE
Group Company Secretary
Nairobi,
12 April 2011

"A Member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his, her or its behalf. A proxy need not be a Member of the Company. To be valid a proxy must be duly completed by the Member and lodged with the Group Company Secretary at the Company's registered office situated at NIC Bank Limited, NIC House, Masaba Road, Nairobi, Kenya, before 11 am on Tuesday 24th May 2011, failing which it will be invalid. In the case of a Member which is a corporate body then the proxy must be given under its common seal."

TANGAZO LA MKUTANO MKUU WA MWAKA

Ilani inatolewa hapa kwamba Mkutano Mkuu wa Mwaka, wa hamsini na moja, wa wenye hisa wa kampuni ya NIC Bank Limited utafanyika katika Jumba la Mikutano la Kimataifa la Kenyatta (KICC), Nairobi, mnamo Jumatano tarehe 25 Mei 2011, saa tano asubuhi kwa malengo yafuatayo:

1. Kupokea, kuchunguza na ikionekana ni muhimu, kukubali Ripoti ya Kifedha ya mwaka uliomalizikia tarehe 31 Desemba 2010 pamoja na Ripoti za Wakurugenzi na Wakaguzi wa Kifedha.
2. Kuthibitisha malipo ya mgao wa muda wa asilimia 5 (Shilingi 0.25 kwa kila hisa) yaliyotolewa mnamo Oktoba 5, 2010 na kuidhinisha malipo ya mgao wa mwisho wa Shilingi 0.25 (2009 ya Shilingi 0.25 kwa kila hisa) kwa mtaji uliolipwa wa Sh 1, 794, 988, 918.
3. Kuidhinisha ada ya malipo kwa Wakurugenzi ya kipindi kilichomalizikia mnamo tarehe 31, Desemba 2010.
4. Kufahamu ya kwamba ukaguzi wa mahesabu ya kifedha utaendelea kutekelezwa na shirika la ukaguzi wa kifedha la Deloitte & Touche kwa mujibu wa sehemu ya 159(2) ya kifungu cha Sheria ya Kampuni (Ibara ya 486) lakini kwa idhini ya Benki Kuu ya Kenya kulingana na sehemu ya 24(1) ya kifungu cha Sheria ya Benki (Ibara ya 488) na kuidhinisha Wakurugenzi kujiamulia ada ya malipo yao.
5. Kuchagua Wakurugenzi:

Kulingana na Vifungu vya sheria nambari 108, 109 na 110 vya Kanuni za Kiushirika za Kampuni, wakurugenzi wafuatao wanastaafu kwa zamu, ijapokuwa wanaweza kujitokeza ili wapigwiwe kura upya.

 - i) A S M Ndegwa
 - ii) G A Maina
 - iii) I Ochola - Wilson

6. Shughuli maalum

i. Kutolewa kwa bonasi

Kuchunguza na ikionekana muhimu, kupitisha azimio lifuatalo na ambalo litapendekezwa kama AZIMIO LA KAWAIDA.

'Kwamba ingekuwa bora kwa kuzingatia Kifungu cha 152 cha Kanuni za Kiushirika za Kampuni, kuwekeza kwenye soko la hisa kiasi cha Shilingi 179, 498, 890 ambazo ni pesa zilizosalia kama thamani ya ziada ya mkopo katika hifadhi ya hisa na sehemu ya hifadhi ya mapato ya kampuni na hali kadhalika fedha hizo kuwekezwa kwenye soko la hisa na kwamba Wakurugenzi wanaruhusiwa na kupewa muongozo wa

jinsi ya kugawanya pesa hizo kati ya wamiliki wa hisa za kawaida zilizosajiliwa kabla ya kipindi cha mwisho cha biashara kilichofanywa kuwa tarehe 7 Aprili, 2011. Hata hivyo, hii ni baada ya kampuni kupokea idhini inayofaa kutoka kwa waidhinishaji wanaostahili, kulingana na idadi ya hisa za kawaida zinazomilikiwa na kila mmoja, kufikia tarehe 7 Aprili, 2011 na kutumia fedha hizo kwa niaba ya wenye hisa ili kulipa kikamilifu pesa zilizoko za hisa ambazo hazijatumiwa za mtaji wa kampuni za kiasi cha shilingi 35,899, 778. Hisa hizo zitatengwa, zigawanywe na ziratibiwe kama zilizolipwa kikamilifu kwa wenye hisa hao katika mgao wa hisa moja mpya ya kawaida kwa kila hisa kumi zinazomilikiwa kwa wakati huo, na kwamba kila hisa mpya kama hiyo itafuzu kwa usawa pari passu kuwa kama hisa za kawaida za Kampuni zilizotolewa na kwamba Wakurugenzi wanaruhusiwa kwa ujumla kutekeleza sheria na vitu vinavyopaswa kuipa nguvu Azimio na kushughulikia akisami kwa njia ambayo wanaonelea itafaa na inayoendana sambamba na Kanuni za Kiushirika za Kampuni'.

ii. Marekebisho kwa matumizi ya ziada katika Kanuni za Kiushirika za Kampuni kuhusiana na malipo ya migao, migao ambayo haijachukuliwa na matangazo.

Kwa mtazamo wa masuala ibuka na maendeleo katika sekta ya Teknolojia ya Habari na Mawasiliano (ICT), imekuwa muhimu kurekebisha Kanuni za Kiushirika za Kampuni ili kutoa nafasi ya usambazwaji wa habari kwa wenye hisa kwa njia ya elektroniki pamoja na kulipa mgao wa wenye hisa kwa kutumia mbinu mbalimbali, ikiwemo ile ya elektroniki.

Kwa hivyo, Kanuni za Kiushirika za Kampuni zitarekebishwa kwa kufuta kabisa kwa Vifungu hivi vifuatavyo; 146, 147, 149, 160, 161 na 163 na badala yake kubuniwa kwa Vifungu vipya vya 146, 147, 149, 160, 161 na 163 kama ifuatavyo:

a) Kifungu 146:

Mgao wowote au malipo mengine yanayotolewa kwa njia ya pesa taslimu au kwa kuzingatia hisa yanaweza kulipwa kieletroniki au mfumo mwingineo wa kimitambo unaotumiwa na benki, mfumo wa elektroniki au malipo ya simu ya rununu, yanayotumwa kwa benki au Kampuni husika au kupitia hundi au amana inayolipwa mashirika hayo ya kibiashara kama kampuni itakavyobaini katika njia ya maandishi, yatakayotumwa kwa njia ya posta kwa anwani ya mwanachama au mtu anayestahili kupokea kama ilivyoandikwa katika masjala ya Kampuni ama kama ni watu wawili au zaidi waliosajiliwa ama wamiliki hisa kwa pamoja, yatumwe kwa anwani ya mshirika aliyesajiliwa wa kwanza katika masjala ya hisa ya Kampuni, au katika hali

TANGAZO LA MKUTANO MKUU WA MWAKA

ambapo wawili hao au zaidi wanastahili kupokea kutokana na kifo au kufilisika kwa mmiliki hika malipo hayo na anaweza kupokea kwa njia ya maandishi ya moja kwa moja.

b) Kifungu 147:

Kila hundi ya aina hiyo au amana au utumaji pesa zitalipwa kwa au kwa amri ya mpokeaji ama kwa mtu yeyote yule anayestahili kuipata (kama inavyoelezwa katika Kifungu 146 kilichotajwa hapo juu). Malipo ya hundi au amana, ikiwa yanaonekana kuidhinishwa au kuandikwa, na mpokeaji au kama hali inavyoweza kuwa, thibitisho la malipo yaliyotolewa kwa kuhamisha moja kwa moja hadi kwa hazina ya mtoaji mpaka kwa mpokeaji, uhamisho wa benki au mfumo mwingine wowote wa kimitambo unaotumiwa katika uhamishaji fedha kwenye benki ama kupitia mfumo wa kuhamisha pesa kwa njia ya rununu, kwa hali zote hivi, yatakuwa ni malipo yatakayofaa kwa Kampuni. Kila malipo kama hayo, yawe kupitia hundi au dhamana au uhamisho wa fedha kwa njia ya elektroniki au mfumo wa malipo ya pesa kupitia rununu yatatumwa kwa mtu anayehusika ambaye atawajibika hatari inayohusiana na mbinu hiyo.

c) Kifungu 149:

Migao yote, riba au fedha nyinginezo zinazostahili kulipwa au ambazo hazijachukuliwa kwa muda wa miezi 12 baada ya siku ya inayofaa kulipwa zinaweza kuwekezwa au vinginevyo zitumiwe na Wakurugenzi, na wala Kampuni haitaunda mfuko wa dhamana kutokana na hali hiyo. Migao yote isiyochukuliwa kwa muda wa miaka 7 baada ya kutangazwa au kuwa tayari kwa malipo itatwaliwa na kuwekwa na Kampuni katika Mfuko wa Fidha ya Uwekezaji kulingana na Sehemu ya 18 (ee) ya Sheria ya Soko la Hisa (Ibara 485A) na atajiondoa katika wanaoidai Kampuni.

d) Kifungu 160:

"Tangazo au nakala yoyote inaweza kuhudumiwa na Kampuni au mwanachama yeyote au Mkurugenzi ama mwenyewe binafsi au kwa kuituma kupitia posta (barua itakayosafirishwa kwa ndege iwapo huduma hiyo inapatikana) kwa waraka ulioliwa kwanza, au nakala halisi ya mwandiko (facsimile) au kupitia mbinu ya elektroniki iliyotumwa kwa Mwanachama kama huyo ama Mkurugenzi katika anwani yake iliyosajiliwa kama inavyoonekana katika Sajili ya Wanachama au maelewano mengineyo ya Kampuni, bila kuzingatia kama anwani hiyo itakuwa ya humu nchini Kenya au nje ya nchi.

e) Kifungu 161:

Kukiwa na tangazo lolote ambalo Kampuni inafaa kuwafahamisha Wanachama, au mmoja wao, na halijaeleza katika Vifungu hivi, litatolewa kikamilifu iwapo limetangazwa katika Matangazo ya Kibiashara. Kwamba iwapo kutakuwepo na Mkutano wa Mwaka, tangazo linaweza pia kutolewa kwa: (a) kuchapisha ilani yenye muhtasari wa ripoti ya fedha ya mwaka na ile ya mkaguzi wa mahesabu, anagalau katika magazeti mawili ya kila siku yanayouzwa sana kote nchini kwa angalau siku mbili za kuwavutia watu kwa mtandao ambao ripoti hizo zinaweza kusomwa kwa ukamilifu; au (b) kutumia kila mwanachama, notisi yenye muhtasari wa ripoti ya fedha ya mwaka na ripoti ya mkaguzi wa mahesabu kwa njia ya runinga na radio.

f) Kifungu 163:

Pale ambapo tangazo au nakala nyingineyo imetumwa kwa njia ya posta, itaeleweka kuwa imepokelewa katika siku ya tatu baada ya siku ya kutumwa kwake, ikiwa mpokeaji yumo nchini Kenya, na katika siku ya tano baada ya kutumwa, iwapo mpokeaji anaishi nje ya Kenya. Kwa kutoa huduma kama hiyo au kutuma, itatosha kuthibitisha nakala iliyomo katika tangazo au nakala hiyo iliyoandikwa anwani kamili na kutiwa katika sanduku la posta kama barua iliyolipiwa mbeleni au barua ya kusafirishwa kwa ndege iliyolipiwa mbeleni. Pale ambapo ilani inatumwa kwa njia ya barua ya muandiko ama runinga au radio, itachukuliwa kuwa imepokelewa kwa kuzingatia kukosa umuhimu baada ya saa 24 za wakati ilipotumwa. Pale ambapo ilani imechapishwa katika gazeti, itachukuliwa kuwa imepokelewa vyema katika siku ya kwanza ya kuchapishwa kwake.

7. Utekelezaji wa shughuli nyingine yoyote ya Mkutano Mkuu wa Mwaka ambayo ilani kamili imepokelewa.

KWA AMRI YA HALMASHAURI KUU

L MURAGE
Katibu Mkuu wa Kampuni
Nairobi,
12 Aprili 2011

"Mwanachama aliyeidhinishwa kuhudhuria na kupiga kura kwenye mkutano na yule ambaye hataweza kuhudhuria ana fursa ya kumchagua mwakilishi wake ili kumwakilisha. Mwakilishi huyo sio lazima awe mwanachama wa kampuni hii. Ili kukubalika kama mwakilishi, mwanachama huyo anahitajika kufikisha jina la yule atakayemwakilisha kwa afisi ya Katibu wa Kampuni iliyosajiliwa na iliyoko kwenye jumba la NIC Bank Limited, NIC House, Masaba Road, Nairobi, Kenya, kabla ya saa tano asubuhi tarehe 24 Mei 2011. Baada ya saa hizo, mwakilishi huyo hata kubalika kama mwakilishi halali. Mwakilishi akiwa anaiwakilisha kampuni yoyote, ni lazima achaguliwe chini ya muhuri rasmi wa kampuni hiyo".

PROXY FORM

The Group Company Secretary,
NIC Bank Limited
NIC House
Masaba Road,
P. O. Box 44599,
00100,GPO Nairobi

I/We _____

of _____

being a member / members of NIC Bank Limited and entitled to _____

votes hereby appoint _____

of _____

or failing him _____

of _____

as my / our Proxy to vote for me / us on my / our behalf at the Annual General meeting of the company to be held on 25 May 2011 and at any adjournment thereof.

As witness my / our hand this _____ day of _____ 2011

Signature (s) of

Note : In case of a Corporation, the Proxy must be made under its Common Seal

Katibu wa Kampuni,
NIC Bank Limited
NIC House
Masaba Road,
P. O. Box 44599,
00100,GPO Nairobi

Mimi / Sisi _____

wa anuani hii _____

nikiwa mwanachama / tukiwa wanachama wa NIC Bank Limited na _____

nikiwa /tukiwa na haki ya kura _____

namchagua / tunamchagua _____

wa sanduku la posta _____

na akiwa hatapata nafasi nimechagua / tumechagua _____

wa sanduku la posta _____

akiwa mwakilishi wangu / wetu kunipigia / kutupigia kura kwa niaba yangu / yetu katika Mkutano wa Mwakawa Kampuni utakaofanyika tarehe 25 Mei 2011 au tarehe yoyote iwapo mkutano utahairishwa. Nashuhudia kwa mkono / mikono yangu / yetu siku hii ya

Tarehe _____ mwezi wa _____ 2011

Sahihi

Elewa : Mwakala akiwa anawakilisha kampuni yoyote au shirika nilazima atumie muhuri rasmi wa kampuni hiyo
(common seal)

BRANCH NETWORK

NAIROBI

NIC HOUSE BRANCH

NIC House, Masaba Road
P.O. Box 44599 – 00100 Nairobi, Kenya
T: +254 (20) 2888000/4948000
M: +254 (711) 041 000
F: +254 (20) 2888505

CITY CENTRE BRANCH

Prudential Building, Kaunda Street
P.O. Box 30090 – 00100 Nairobi, Kenya
T: +254 (20) 229251/2, 341705/6
F: +254 (20) 251180

THE JUNCTION BRANCH

Dagoretti/Ngong Road
P.O. Box 44599 – 00100 Nairobi, Kenya
T: +254 (20) 3878204/3874730
F: +254 (20) 2888505

PRESTIGE BRANCH

Prestige Plaza, Ngong Road
P.O. Box 44599 – 00100 Nairobi, Kenya
T: +254 (20) 3874050/3873970
F: +254 (20) 2888505

THE MALL BRANCH

The Mall, Westlands
P.O. Box 44599 – 00100 Nairobi, Kenya
T: +254 (20) 4451721/2
F: +254 (20) 2888505

HARAMBEE AVENUE

Jeevan Bharat Building, Harambee Ave.
P.O. Box 44599 – 00100 Nairobi, Kenya
T: +254 (20) 2210661/9
F: +254 (20) 2888505

GALLERIA (BOMAS) BRANCH

Galleria Shopping Mall, Langata Road
P.O. Box 44599 – 00100 Nairobi, Kenya
T: +254 (20) 2888770/4948770
M: +254 (711) 041 770
F: +254 (20) 2888505

VILLAGE MARKET BRANCH

Village Market, Limuru Road
P.O. Box 44599 – 00100 Nairobi, Kenya
T: +254 (20) 7120872/4/8
F: +254 (20) 7120875

MOMBASA

NKRUMAH BRANCH

NSSF Building, Nkrumah Road
P.O. Box 99793 – 80107 Mombasa, Kenya
T: +254 (041) 2228397/1743
F: +254 (041) 2223535

NYALI BRANCH

Nyali Nakumatt
P.O. Box 99793 – 80107 Mombasa, Kenya
T: +254 (041) 5487683/4
F: +254 (041) 5487682

HARBOUR HOUSE BRANCH

Moi Avenue
P.O. Box 99793 – 80107 Mombasa, Kenya
T: +254 (041) 223215/223253
F: +254 (041) 223255

UPCOUNTRY

NAKURU BRANCH

Vickers House, Kenyatta Avenue
P.O. Box 13614 Nakuru, Kenya
T: +254 (051) 2216624/68
F: +254 (051) 2216761

MERU BRANCH

Njuri Ncheke Street
P.O. Box 44599 – 00100 Nairobi, Kenya
T: +254 (064) 30254/5/6/7
F: +254 (064) 32058

THIKA BRANCH

Thika Arcade
P.O. Box 1601 – 01000 Thika, Kenya
T: +254 (067) 20214/7
F: +254 (067) 20220

KISUMU BRANCH

Oginga Odinga Street
P.O. Box 3200 – 40100 Kisumu, Kenya
T: +254 (057) 2021369/73/74/77
F: +254 (057) 2021402

ELDORET BRANCH

Zion Mall, Uganda Road
P.O. Box 44599 – 00100 Nairobi, Kenya
T: +254 (053) 2031690/1/2/3, 2031690-3
F: +254 (053) 2031694

NIC BANK LIMITED

Head Office

NIC House, Masaba Road

P.O. Box 44599 - 00100 GPO Nairobi

Tel: +254 (20) 2888000 / 4948000 | Fax: +254 (20) 2888505

Email: info@nic-bank.com

Website: www.nic-bank.com